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CORPORATE PROFILE

The Koç Group marked its 75th year in 2001 as Turkey's largest and most admired business group*.

Founded in 1926, the Koç Group is an Istanbul-based conglomerate with well-established businesses in the automotive industry, durable goods, food, retailing, energy, financial services, building materials, construction, international trade, hospitality related services and information technologies.

In 2001, Koç Holding and its subsidiaries posted consolidated, inflation adjusted sales revenues of •5.5 billion, which includes foreign exchange earnings of •2.3 billion.** Koç is comprised of 73 consolidated companies, 39,866 employees, a local distribution network of 11,000 dealers and an overseas presence that includes 24 companies and eight offices in 22 countries.

Earnings stability, sustainable growth, increasing shareholder value and long-term relationships with business partners characterize the Koç Group, which is majority owned by Koç family members. Shares in Koç Holding and 15 Koç Group company shares are traded on the Istanbul Stock Exchange. Koç is committed to providing value to all its stakeholders by applying the best international practices in corporate governance, social responsibility, environmental protection, customer satisfaction and human resource management.

In 2002, Koç will embark on a restructuring plan that aims to identify sectors to grow

in, divest from and enter in order to achieve an average growth of 14% per year and thus transform the Group into one of the largest 200 companies in the world in 15 years.

Vision

To be among the top 200 companies in the world.

Mission

We, with all our people, aspire to ensure customer satisfaction and sound growth by providing products and services of universal quality and standards. We are committed to being a symbol of **trust, continuity and esteem** for all our stakeholders: our country, customers, shareholders, dealers, and suppliers.

Strategy

We will restructure and optimize our portfolio around the common theme of **"The Group closest to the consumer"** in line with the following principles:

- ➔ Focus on business areas where we have differential competitive advantage.
- ➔ Expand in global markets to earn a significant part of our revenue from operations abroad.
- ➔ Concentrate and invest further in our own brands and technologies.
- ➔ Be the local market leader or a close second in every area in which we are active locally.

* In a survey of "Turkey's Most Admired Companies" published in Capital, Turkey's leading monthly business magazine, December 2001.

** Koçbank A.Ş. and its subsidiaries are not included in these figures due to some regulatory restrictions imposed by the Banking Regulation and Supervision Agency (BRSA).



VALUES

Values of the Koç Group:

The customer is the focus of everything we do.

Our top priority is to create value for our customers; to respond steadily to their expectations with quality. It is our duty to take responsibility for our products for the long term.

To be “the best” is our ultimate goal.

To be the best in quality, service, supplier, and dealer relationships; as an investment opportunity for our shareholders; and to sustain this public image are our primary goals. To achieve these goals we are committed to managing our businesses to be the leader in the market.

Our most important asset is our people.

The quality of our products and services is based on the quality of our people. For the continuity of the Koç Group, we follow a policy of recruiting the best people, and providing opportunities for development and advancement. To fully utilize the talents, strength, and creativity of our people, we create a work environment which nourishes increased productivity, cooperation and solidarity.

Creation of wealth for continuous development is our key objective.

Creation of value for our shareholders is a guiding principle to assure continuity of service, investment in our future, and contribution to the economic and social development of our people and our society. Therefore, creation of value, elimination of waste and efficient utilization of resources are key objectives.

Honesty, integrity and superior business ethics are the foundations of our behavior.

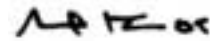
The conduct of our business is pursued with good intentions, mutual benefit, and fair treatment in all our relationships. We are committed to conforming at all times to the highest ethical and legal standards. We are a leader in serving our society, and safeguarding the interests of future generations. Protection of the environment and promotion of a higher level of environmental awareness are our duty to both our country and the world.

We aspire to strengthen the Turkish economy from which we derive our own strength.

I would like to express a guiding principle of our Group with these words:

“This is my code: I live and prosper with my country. As long as democracy exists and thrives, so do we. We shall do our utmost to strengthen our economy. As our economy prospers, so will democracy and our standing in the world”

Vehbi Koç





CHAIRMAN'S STATEMENT

The Koç Group succeeded in preserving its markets, increasing exports, reducing costs and leveraging its competitive advantages amidst extremely difficult market conditions.

Markets all over the world suffered in 2001. Turkey was particularly hard hit as it grappled with the effects of unstable financial markets, steep and sudden depreciation of the currency and plunging domestic demand.

The year was the mirror opposite of 2000, which was characterized by declining inflation and interest rates, fixed foreign currency rates supporting the appreciation of the Turkish lira, widespread consumer lending and a boom in imports. All this changed in 2001, necessitating rapid shifts in corporate strategy.

I am pleased to report that in this very difficult environment the Group succeeded in preserving its market share, increasing exports, reducing costs and leveraging its competitive advantages to attain satisfactory results. Consolidated revenues remained relatively steady at •5.5 billion*. Exports rose to •1.8 billion from •1.1 billion the previous year, an increase of 64%, while total foreign exchange revenues, including operations abroad, reached •2.3 billion. Despite these achievements, the Group posted a net loss of •242 million, largely due to the high Turkish Lira devaluation effect on our foreign exchange liabilities.

Critical importance of exports

The past year highlighted the importance of exports, revealing starkly the pitfalls of heavy reliance on the unstable domestic market. Koç's success in boosting export volumes and revenues reflect the efforts over the past decade, for the change from domestic to export production does not and cannot occur overnight. It calls for a consistent investment program; at Koç we have invested •5.3 billion over the past decade to improve our manufacturing capabilities. In 2001, despite the downturn, we persisted with our investment program, pouring •526 million into our business.

The excellent result obtained by Tofaş is a case in point. Tofaş invested a total of •212 million over two years to become the sole manufacturer of Fiat Doblò, a brand new Multi Purpose Vehicle. The investment transformed Tofaş into Turkey's top automotive exporter. In 2001, Tofaş exported 100,000 vehicles, mainly Doblò, to earn •780 million. Our Consumer Durables business is less dependent on the domestic market than ever before. Exports reached •510 million and we target exporting 80% of total production volume in 2002.

2001 was a proving ground for change, not only in Koç Group but in Turkey as a whole. The government has eschewed short-term fixes and taken courageous decisions to push through essential reforms of Turkey's

* Koçbank A.Ş. and its subsidiaries are not included in these figures due to some regulatory restrictions imposed by the Banking Regulation and Supervision Agency (BRSA)

laws and institutions in line with the recommendations of the International Monetary Fund.

This is an unusual achievement under a coalition government and will have a positive effect on Turkey's growth in future years. The transformation of the banking sector is a central component of the reform program. We hope that an efficient, stronger and tightly regulated banking sector will start to lend to the real economy in 2002 and thus prime the pump to reactivate the economy.

We see 2001 as a watershed year for Turkey; a year of drastic and often painful change that clearly delineates the way things used to be and the way they will be. We have evaluated Koç Group in this light and set a new strategic direction aimed at aggressive future growth through a focused business strategy.



Ali Y. Koç, Mustafa V. Koç, George Bush, Rahmi M. Koç, Ömer M. Koç, Dr. Nüsret Arsel
April 4, 2001 Rahmi M. Koç Museum

Restructuring for Growth

The restructuring plan aims to identify sectors to grow in, divest from and enter. Growth will be derived from some existing businesses but mainly from development of new opportunities in distribution and marketing along a central, defining theme: Koç is closest to the consumer.

Critical objectives of the restructuring are:

- ➔ merge companies in related areas to create more efficient and effective operations.
- ➔ issue initial and secondary public offerings as market conditions improve to create funds for selected sectors
- ➔ create a balanced portfolio structure made up of existing profitable businesses, growth business and seed businesses with upside potential

We are fully committed to achieving our targets.

To support our efforts, we launched "e- Koç" in 2001. The three year project aims to boost efficiency by conducting as many Koç business processes and applications as possible through the internet.

Human Resources policies were redefined to enable Koç to achieve its corporate vision of being among the top 200 companies in the world. A new program has been developed to recruit, develop and retain successful employees able to take Koç Group forward.

Adding Value to Society

The challenges of 2001 cleared the deck so to speak. Strong companies with viable businesses weathered the storm and emerged stronger; companies that grew very fast on political influence and largess were swept away by harsh market conditions and changing government policies prevalent during the year. We see this as a significant and hopeful change in business culture in Turkey. It is now clear to all that in the long run companies cannot

make money without adding value to their products and services.

Koç has taken the lead in Turkey in applying superior standards of corporate governance. Professionalism, accountability, transparency, social responsibility, observance of the rule of law and high ethical standards are our top priorities. Koç is the first Turkish company to implement inflation adjusted international accounting standards in its financial disclosures.

Our pioneering role in the area of corporate citizenship continued in 2001 with the opening of the new building of the Rahmi M. Koç Museum, the acquisition of a new archaeological collection by Sadberk Hanım Museum, the purchase by Suna-İnan Kıraç of a building in the Tepebaşı area of Istanbul for conversion into a painting gallery, completion of American Hospital and the adjacent Koç University School of Health Sciences building.

During this period of economic hardship, human resources management played an important role in the success of Koç Group. The year was marked by an exceptional degree of cooperation between management and unions, that enabled us to apply a flexible time system for blue collar workers. We safeguarded the jobs of most of our white collar staff, although everyone suffered from the decline in real incomes and drop in GNP. I would like to take this opportunity to thank all of our employees for their loyalty and hard work in these discouraging circumstances.

Looking ahead

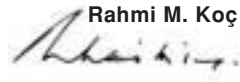
We hope that rate of inflation will drop in 2002 in line with IMF objectives and that demand will revive in the domestic market.

However, based on disappointing sales figures for the first months of the year, we do not expect to see an upswing until the second half of the year.

Conflicts in the region as part of the American led War on Terrorism will highlight Turkey's staunch support of the United States and its critical position in world geopolitics.

Koç Group will be led by a new CEO in 2002. Bülend Özyıldın, Chief Operating Officer since August 2001, replaces Temel Atay who steered the Group through very difficult times. I would like to express my thanks to Mr. Atay for his excellent contribution and work and warm relations with all Group members. He will continue to be active as Vice Chairman.

Under Mr. Özyıldın, the Group will move ahead forcefully with its restructuring plans. By leveraging Koç's basic strengths -customer base, distribution network, manufacturing capabilities, superior corporate image, strong brands, goodwill and creative power-, we aspire to generate high rates of growth in the coming years and thus provide excellent returns to our shareholders.

Rahmi M. Koç


BOARD OF DIRECTORS 2001



Back from left

Mustafa V. Koç *Member*
H. Oswald Maucher *Member*
John H. McArthur *Member*
Erdoan Gönül *Member*

Front from left

Hasan Subaşı *Vice Chairman*
Temel Atay *Vice Chairman*
W. Wayne Booker *Member*
Semahat Arsel *Member*

Rahmi M. Koç *Chairman*
Suna Kırar *Vice Chairman*
Sevgi Gönül *Member*
Alpay Bararık *Member*
Evren Artam *Auditor*





Vice Chairman

The technological revolution has been deeply felt in Turkey. Developments in information technologies have affected the way we learn, work, think and have fun to an important degree. Friendship, cooperation and hospitality are no longer bound by geography or physical presence; a global market for information, goods and services accessible to all is coming into being.

Ko   Group is making every effort to seize this opportunity to become a global player in the new world economy by maximizing its competitive strengths.

The pursuit of excellence drives the Ko   Group. Implementation of a Total Quality Project in the 1990s has paved the way for a new push aimed at profitable growth in a globalizing world.

Change begins in the minds of managers and individuals, encouraged by the belief that change is possible. At Ko  , we are fostering change by nurturing new ideas, bringing in new people and utilizing new technologies. Our goal is to grow as a diversified corporation in a smaller, more competitive and more transparent world.

The knowledge and experience accumulated over three quarters of a century has taught us that as hard as it is to reach the top, staying there is even more difficult.

I have full confidence in the ability of Ko   Group to achieve prominence and success in a period of great change.

Suna Kır  



CEO and Vice Chairman

The adverse economic and financial developments Turkey experienced during the last year shook the nation, causing significant damage. Yet, these developments taught us valuable lessons and spurred us to embark on a corporate restructuring with new enthusiasm and energy.

Foremost in our minds is the realization that things will never be the same again. Accordingly, we are striving to reorganize our approach to business to fit present-day conditions.

2002 will be a vital turning point in the country's and the Group's future.

The Koç Group emerged from this period with minimum damage due to our educated and well-trained human resources, assimilation of competitive technologies

and strong financial structure. We enhanced our business effectiveness by merging companies to form larger, better-managed entities as well as by divesting from non-core businesses. We started new initiatives in energy, retailing, finance, information and service sectors. We set ambitious targets to revise our business portfolio and invest in areas where we can shine.

Our most important asset is the Koç name. Millions of people use and trust Koç products and services. The reputation and recognition we have built over the past 75 years is the result of our pioneering spirit, high standards and international awareness. These same qualities will guide the Group's growth in the years ahead as Koç advances toward its goal of becoming a major multinational company.

Temel Atay

BUSINESSES

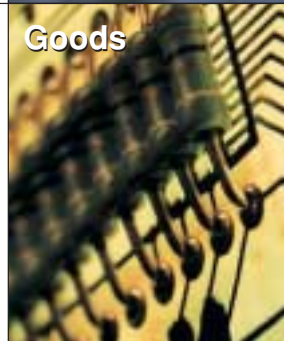
Passenger cars
Commercial vehicles
Farm tractors and equipments
Components

Automotive



Durable Goods

Refrigerators
Washing Machines
Dishwashers
Ovens & Cookers
Televisions
Air Conditioners
PCs
Small household appliances, including vacuum cleaners



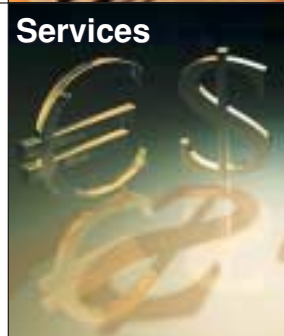
Food & Retailing

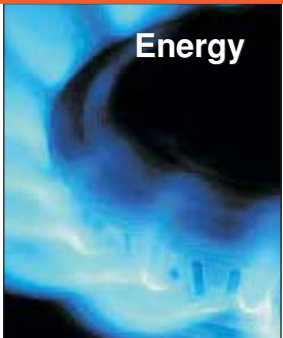
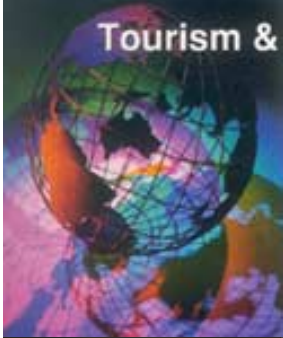
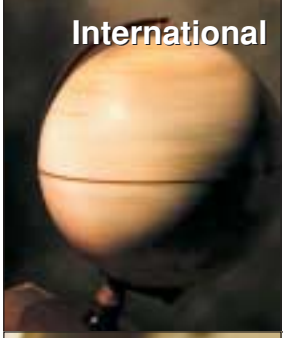
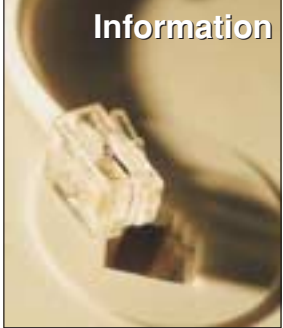
Pasta
Fresh and processed meats
Dairy products
Tomato paste, ketchup, and preserved foods
Livestock farm, Vegetable seeds
Supermarket and shopping mall chain
Do-It-Yourself hypermarkets
Real estate development & management



Financial Services

Banking
Brokerage
Asset Management
Factoring
Leasing
Insurance
Consumer finance



	Energy - Liquified Petroleum Gas (LPG) distribution - LPG storage, pressure reducing and heating equipment - Electricity production - Industrial and special gases distribution - Coal, iron ore, copper and zinc mining
	Tourism & Construction - Marina operation - Accommodation - Food & beverage - Patisserie products - Travel agency - Duty free operations - Car rental - Shipbuilding - Insulation Materials - Radiators, Water Heaters - Contracting
	International Trade - International trade activities - Distribution - Representations - Logistics - Trade finance
	Information Technologies - Systems integration - Services, consultancy and outsourcing - Managed network services - ISP & VISP Services - Hosting - Application service provider infrastructure services - B2B and B2C platforms - Training & e-learning - Cable TV operator - Venture capital projects



The automotive industry in Turkey went from boom to bust in 2001 as depressed market conditions, lack of confidence and low purchasing power combined to send sales to record lows. Overall, 203,300 vehicles were sold during the year, down 68.4% from 2000's record sales volume of 642,900 units.

All segments of the market were affected. Passenger car sales skidded 70% to 137,800 units from 458,200 the previous year; light commercial vehicles sales dropped by 63.2% to 55,200 units; heavy trucks plummeted to 3,300 units, 75.8% lower than the year before.

Fiat Group

Exports to Europe boom with introduction of new models of light commercial vehicles.

Tofaş successfully countered the domestic downturn by improving its export

capabilities. Fiat Doblò, a Multi Purpose Vehicle launched in September 2000 and manufactured exclusively in Turkey, was an instant hit. More than 100,000 vehicles were exported during the year to generate revenues of •780 million, or 85% of total sales. This makes Tofaş the number one automotive exporter in Turkey and the top exporter overall. The high volume of exports will continue in 2002.

In the local automotive market, Tofaş sold a total of 54,300 vehicles, maintaining its position as the second best selling brand with a market share of 14.9%. In the A-B segment, Tofaş is the leading brand with a market share of 22%. The popularity of Doblò and some other models also made Tofaş an important player in the Light Commercial Vehicle sector with a 15.9% market share.



Restructuring of the Fiat Group created a leaner, cost effective, customer-focused corporate structure. The merger of Tofaş Türk Otomobil Fabrikası A.Ş. and Tofaş Oto Ticaret A.Ş. combined manufacturing and distribution activities into one entity. Tofaş sold its engine and transmission box production unit and its existing stock to Powertrain, a joint venture of Fiat and General Motors for •73.5 million. The sale was finalized on August 13. **Birmot** was established to take over the activities of 11 Koç-owned dealers as the major sales and distribution company for both Tofaş and Otoyol. Birmot is now the largest dealer in the country, offering sales, spare parts and service.

Otoyol, a joint venture with Iveco of Italy, was able to survive in the hard hit truck market by exporting light and medium trucks and mini and midi buses to many different countries in small volumes, generating •28 million in export earnings. Otoyol Sanayi merged its back office

functions such as information technology, logistics and accounting with Otoyol Pazarlama, lowering costs and improving efficiency while maintaining separate identities. This application serves as a model for other companies in Group.

Türk Traktör developed new export models for Europe and United States for Case and New Holland brands, contributing to engineering and technical studies. It is the leading brand of farm tractors in Turkey with a 52% market share.

New Holland Trakmak, farm tractor and equipment distributor, increased its market share from 40% in 2000 to 54% in 2001 due to aggressive sales campaigns.



Ford Otosan

With a total investment of •800 million, the Gölcük Ford Otosan plant is the biggest one-time investment ever made by the private sector in Turkey.

The new Gölcük plant was officially opened on April 20, 2001 at a ceremony attended by the Deputy Prime Minister of Turkey and top executives of Ford Motor Company and Koç Group, culminating four years of work on the project. The new plant, with a capacity to produce 150,000 commercial vehicles per year, is the cornerstone of Ford Otosan's thrust to become a major



exporter of light commercial vehicles to Ford Europe.

Production of the new Transit van began at Gölcük in January 2001. Otosan contributed significantly to the design and development testing of a new light commercial vehicle primarily intended for export markets, code named V-227.

Ford Otosan will be the sole manufacturer source of this vehicle, which is set to come off the assembly line in June 2002.

In 2001, exports, marketing programs, financing deals and other incentives enabled Ford Otosan to improve its overall market share from 11% to 12% and generate sufficient cash to continue investing in a new plant and new products. The company allocated •140 million for the plant and •36 million for product development in 2001. In addition to the V-227, work started on a new product program for the heavy truck range.

Due to local market shrinkage, Ford Otosan concentrated on developing export sales. Exports increased significantly, jumping from •12 million in 2000 to •80 million, largely due to a •50 million order for Transit from Ford Europe. This is a prelude to V-227 exports. The company also started CKD exports to Ford Vietnam. In 2002 Ford Otosan targets exporting 12,000 Transits and 24,000 V-227s to generate •400 million in exports to Ford Europe.

The Istanbul plant will continue to operate for stamping dies and producing spare parts until end 2003. During the year, an order for prototypes and stamping dies for a new Land Rover vehicle was received.

In the local market, Ford Otosan maintained a 6.8% market share for passenger cars and improved its share in light commercial vehicles from 25.3% to 26.2%. Market share for trucks, the most depressed segment of the market, slipped to 28% from 32.6%. A total of 19,600 vehicles were produced in 2001, down from 41,100 the previous year.



Ford Otosan-Gölcük

In the passenger car segment, Ford Otosan offers a full line up of Ford Europe vehicles. Focus has been very successful and Mondeo moved up in its segment. The new Fiesta will be introduced in the fourth quarter of 2002.

Otokoç, established in June 2001 to take over the activities of six Koç-owned dealers, handles 28% of all Ford sales in Turkey. The restructuring resulted in significant cost savings and improved coordination and information flow.



Components & Other Commercial Vehicles

Importance of exports highlighted by weak and volatile local market.

Weak domestic demand heavily impacted the automotive sector, which had a direct effect on the components business. Local after sales market declined although exports remained at •122 million, the same



Döktaş-Orhangazi

level as in 2000. Faced with exchange rate losses due to devaluation in February, component manufacturers focused on cutting costs by shutting down plants and merging management. New projects in the pipeline will boost capacity and help improve productivity in the years ahead.

Döktaş concentrated on exports, making 80% of total sales abroad. New customers and projects in high pressure casting for the aluminum foundry will have a positive affect on results in 2002. Capacity of the alloy wheel plant was increased to meet demand from export markets.

Mako compensated for the drop in local demand by exporting to Europe through Marelli. The company increased sales volume by 20% in the local after market, representing an important gain in market share.

Beldeyama, which produces motorcycles, mopeds and bicycles under Yamaha license, was negatively affected by a foreign exchange loss and a 60% drop in market demand for two wheelers, but succeeded in increasing exports to Yamaha to •10 million. Introduction of new mopeds is expected to generate better results in local market and boost exports to Africa in 2002.

Tekersan, the sole source of Michelin Kronprinz light commercial wheel rims to be sold in Europe, worked on new projects for Tofaş, Ford Otosan and Michelin which will contribute to revenues in 2002 and beyond. The sharp drop in the local market meant 80% of sales were made abroad in 2001.



Takosan was prompted by the huge drop in the local OEM market to search for projects abroad, landing a contract in Romania that will have a positive impact on 2002 results. **Matay**, the major manufacturer of exhaust systems and catalytic converters in Turkey, continued to serve local customers.

Sachs Beldesan, a joint venture with ZF Sachs of Germany for shock absorbers, fully concentrated on new projects for Tofaş and Ford Otosan and Fiat Auto Italia, the effect of which will be seen in 2002. The decrease in OEM market and a foreign exchange loss had an adverse effect on 2001 results.

Otomotiv Lastikleri increased sales of Döktaş wheels and targets becoming the market leader in the wheel segment in two

years while making an effort to keep market share in Turkey's shrinking tire market against heavy competition.

Fruehauf experienced a heavy drop in domestic demand parallel to developments in the automotive industry and Uzbekistan partially cancelled the contract to deliver 550 tankers. The company recouped by concentrating on exports to GT-Freuhauf in France and signing a contract with Iraq for the delivery of 200 tankers in 2002.

Otokar coped with a steep drop in minibus demand and cuts in military budgets but profited from the exchange rate gain and good financial management to end the year profitably. Exports to Algeria will contribute to revenues in 2002.



Durable Goods

Success in export markets and a strong market position in Turkey propelled growth.



A favorable cost structure and high quality enabled the Durable Goods Group to grow in 2001 in spite of slack local demand. A 40% decline in local unit sales, and the market preference for less expensive models and goods, was countered by a 23% increase in exports to ₺510 million. The Durable Goods Group was less dependent on local demand than ever before in 2001, exporting 65% of the five million television sets and major appliances manufactured during the year. Although margins are lower on exports, higher volumes protect against devaluation and the volatility of domestic demand. In 2002, production is planned for 7.5 million with 30% exports.

The strength of the distribution network minimized problems with collections. Profits and cash position improved during the year due to excellent collection of installment payments.

Arçelik ranks as the most admired company and the best known brand in Turkey, according to surveys conducted by respected business publications. In 2001, Arçelik retained a market share above 50% in Turkey's household appliance market. Its 900 authorized service centers extended

their working hours to 10 pm seven days a week in order to provide the best possible service to Arçelik customers. Two new noiseless products -- the Orbital 5950 Washing Machine and Orbital VCC Refrigerator – were introduced. Orbital Washers use DirectDrive, a system developed internally using Arçelik's own technology. Digital Living through smart internet controlled appliances were launched and the fitted kitchen business got off to a successful start. A new Electric Vacuum Cleaner and Appliance Motor Factory was opened in Çerkezköy and an investment was made to increase capacity of the refrigerator plant in Tunisia. In April, Arçelik signed a senior term loan for \$80 million arranged by International Finance Corporation (IFC) and ABN AMRO Bank N.V. The 10-year loan, earmarked for general corporate purposes and



investments, stands as a benchmark transaction at a critical juncture for Turkey.

During 2001, Arçelik pursued its international expansion plans with a bid for Brandt, the French appliance maker. The company was one of four appliance makers short-listed to submit bids. Although Arçelik submitted a very competitive business plan, the French commercial court awarded Brandt to Israel's Elco Holding. Arçelik will continue to look seriously at international mergers and acquisition opportunities as part of its growth strategy in the years ahead.

Beko Elektronik boosted exports and increased its domestic market share for television sets up to 50%. A three-year sales agreement with Grundig AG in December 2001 for the export of one million television sets per year will have a positive impact on revenues in the coming years. Manufacturing capacity will be increased to four million units to achieve production targets. Beko was awarded the Award for Excellence by the Japanese Institute of Plant Maintenance (JIPM) in awards related to Total Quality Management. Beko has applied TQM since 1996.

Arçelik LG Klima secured a 50% share in Turkey's air conditioning market and exported 25% of production in its first operating year, a remarkable achievement in a year marked by poor local demand and a negative business environment.

ArDutch N.V., fully owned by Arçelik, was founded in the Netherlands to hold shares of international trading and manufacturing companies, including a trading company in China.



Food & Retailing

Excellent results from Russian supermarkets and shopping centers boost profits.

The urban middle class—the prime consuming group in Turkey—was hard hit by 2001's economic crisis. Purchasing power declined significantly due to high levels of white collar unemployment and low salaries. Consumers curtailed expenditures on food and non-food products, shopped more frequently for smaller amounts and selected products primarily by price. Accordingly, retailers made important changes in the way they conduct businesses, starting price wars, closing stores and scaling down their investment programs.



SEK-Istanbul

Migros, operating 150 supermarkets, 292 small discount stores and three shopping malls in Turkey, posted net sales of •750 million. In 2002, Migros seeks to decrease operational costs while retaining customers and improving sales in existing stores.

Rapid growth and excellent profits characterized **Ramstore** operations, particularly those in Russia in 2001. Net sales rose nearly 60% to •210 million. Expansion in the Russian market will deepen in 2002 with the opening of two shopping centers (70,000 m² and 30,000 m²) with hypermarkets and four supermarkets in Moscow, bringing the total number of outlets in the Russian capital to 13.

Koçtaş opened its first large format store opened in Kartal/Istanbul in June 2001 and closed an unprofitable store in Adana, bringing its total number of stores to five and its selling space to 22,000 sq. meters. During the year, the Do-It-Yourself segment in Turkey suffered from a 52% slide in sales in response to depressed economic conditions. Koçtaş will focus on improving its performance and operational efficiency in 2002.

Koç Ece, a joint venture with E.C.E. GmbH, completed its first operational year in 2001 with management contracts for Beylikdüzü and Antalya shopping centers.

Düzey, serving a customer profile consisting of 2,000 wholesale and 10,000 retail outlets, signed a partnership and exclusive distribution agreement with British American Tobacco (BAT) for cigarettes to be produced in a new factory in Turkey, pursuant to the deregulation of the tobacco sector.

Tat produced 45,000 tons of tomato paste in 2001 or 28% Turkey's total, selling 30% abroad and 70% locally due to attractive prices in the domestic market. **Maret**, the second largest red-meat processor in Turkey, emphasized carcass meat in 2001 as sales of higher priced delicatessen meats decreased, selling branded long-lasting fresh meat at Migros stores. Maret launched turkey products at the end of 2001 and will add chicken products to the product mix in 2002. **Pastavilla** performed solidly in 2001, increasing its market share

to 11.4% from 8.9% due to closures of four other macaroni producers and raising volumes. Exports to the United States increased and the company entered new export markets. **SEK** grew in 2001 through excellent management of its milk and yogurt brands and launch of the first ready-to-drink Salep, a favorite winter beverage of Turks, in long-life UHT packaging.

Koç Ata, a livestock farming regeneration project in southeastern Anatolia aims to obtain high quality milk and beef for the lowest possible prices and at the highest hygienic conditions by using up-to-date technologies and management systems. Koç Ata won tenders for the privatization of state cattle breeding farms in the provinces of Kars and Denizli.



Ramstore-Bulgaria



Implementation of new strategies improves performance significantly.

Koç Financial Services (KFS) was established in March 2001 as an investment and management company with a paid in share capital of •130 million. The purpose of the company is to:

- ➔ bring under one umbrella the widely dispersed ownership of Koç Group's financial sector companies by acquiring majority shares
- ➔ streamline the business activities of the various companies under KFS

➔ merge operational activities if and where feasible

➔ create value for shareholders as a whole.

As of December 31, 2001, 26% of Koçbank shares, 90% Koç Yatırım shares and 87% **Koçlease** shares had been acquired. The paid in share capital of KFS is expected to increase to approximately •385 million when all the completed share acquisition transactions in cash and in kind are finalized.

Koçbank, which has implemented a sweeping restructuring program in order to grow in core banking activities, steered successfully through the troubled waters of 2001 successfully. Segmentation of business lines into corporate, commercial, retail and private banking improved market focus, gained new customers and established a firm base for commercial activities. Confidence in the Koç name, opening of 18 new branches and higher utilization of alternative delivery channels helped attract new deposits, raise business volumes and increase operational efficiency. In line with growth targets and economic conditions, the balance sheet was reshaped in favor of commercial loans



Koçbank-İstanbul

and liquid assets as the percentage of government securities declined. A \$ 160 million syndicated loan facility signed on September 27 with the participation of 24 international banks evidenced the Bank's success in a very special time for the banking sector. With 106 branches, a shared ATM network of 3,600 machines and a popular internet banking service for individuals and companies, Koçbank is well positioned to grow.

Koçbank Nederland N.V. emphasized asset quality, profitability and efficient liquidity management in 2001. During the year, Koçbank Nederland opened a branch in Frankfurt, set up Stichting Custody Services-KBN in Amsterdam to provide custodian services to its clients and is in the process of establishing **Koç Asset Management S.A.**, a wholly-owned subsidiary in Geneva, Switzerland, to expand its private banking product range and activities.

Koç Yatırım ranks 12th in Turkey for equity brokerage. In 2001, it increased its market share in mutual funds from 8.5% in 2000 to

17.7%. **Koçlease** is the largest and most profitable leasing company in Turkey with a 13% market share.

Koç Faktoring, with a 15% market share, is considered the top factoring company in Turkey. It is active in both export and domestic factoring.

Koç Allianz Sigorta increased direct premium production to over •170 million in 2001 to gain 11% of the non-life market, up from 10% previous year, making it the second largest insurance carrier in Turkey.

Koç Allianz Hayat ranks third in life and second in health insurance with market shares of 8% and 22% respectively and total premiums of •90 million.

Koçfinans, while limiting its activities in 2001 in line with market conditions, developed an internet platform and improved its operational procedures.





Higher prices for Liquefied Petroleum
Gas raise net income.

Revenues and net income increased substantially in 2001 on Koç's core business of LPG distribution, reflecting the Government's mandated automatic pricing mechanism.

Aygaz, Mogaz and Lipet posted combined revenue of •960 million in 2001 compared to •700 million in 2000 despite lower volumes for cylinder and bulk sales. Auto

LPG became an increasingly important part of the product mix during the year. Aygaz was the first and only to introduce LPG1 in compliance with European Union EN-589 standards in summer 2001 and intends to aggressively grow in the market with this environmental safe and fuel efficient product. Separate importation, storage and transportation lines were set up at a cost of •3 million to ensure the purity of LPG1 and thus distinguish Aygaz from other producers in this segment. A five-year agreement with OPET to open Auto LPG filling facilities in their service stations was extended to ten years. At year-end, Aygaz Group had 196 filling facilities at OPET and 256 at other service stations, in addition to 84 solely auto gas stations of its own. In 2001, continued exporting LPG tanks, cylinders, valves and heating equipment to different countries throughout the world and is keen to develop further business opportunities outside Turkey. In December, exports of small quantities of LPG to Bulgaria, Romania and Greece began and will continue in 2002. Aygaz received the TÜSİAD-KalDer National Quality Award for 2001 in recognition of its efforts in applying total quality management.



As part of a move to boost operational efficiency, **Akpa**, **Akyak** and **Porsuk** – three small regional companies active in LPG distribution, appliance sales, transportation and distribution of oil products – merged with **Bursa Gaz**.

Entek, Koç Group's autoproducer power plant in Bursa, provides energy to automotive and textile plants in the Bursa area and 33 other factories in various parts of Turkey. The plant produces 800 million kwh of electricity annually and 115 tons of steam per hour.

BOS, a joint venture with BOC of U.K., is leading producer of industrial and special gases. The company seeks to grow in compressed gas and on-site gas production.

Demir Export, a long-established supplier, extractor and exporter of coal, iron ore, copper, zinc and manganese, aims to develop business opportunities locally and internationally in 2002.

Plans progressed to establish **Koç Statoil Gaz A.Ş.** as a 50-50 joint venture for natural gas distribution and marketing, following signing of a partnership agreement with Statoil, the national oil company of Norway, in November 2000. The new company is expected to start operating in the second half of 2002, pursuant to the liberalization of Turkey's natural gas sector. Turkey ranks as the world's fastest growing national market for natural gas while Statoil has large holdings in Azerbaijan's massive offshore Shah- Deniz gas field.

Zinerji is the Group's portfolio company for power generation and distribution investments. Although Zinerji, along with its partner NRG of the U.S., completed the Implementation and Electricity Sales Agreement for Kangal and Seyitömer power plants in 2000, there have been some delays in completion of the the transfer of operating rights. However, it is expected that the transfers will be finalized in 2002 with the necessary Treasury guarantees.

Aygaz-Istanbul



International Trade

Application of new business models drive growth.

Devaluation of the Turkish Lira promoted exports in 2001 despite a slowdown in the economies of western economies. Demand increased for Koç products, reflecting its well-established network, brands and competitive quality. Higher export sales enabled the Koç Group to compensate for the sharp drop in local sales during the year. The Group had notable success in

exporting commercial vehicles and automotive components, household appliances and electronics and construction materials.

In 2001, Koç started working with Iraq under UN oil for food program and Turkish Treasury Border Trade Agreement, exporting •54 million of ambulances, tankers and televisions and importing 500,000 tons of crude oil worth approximately •90 million.

Ram International Trade Co., which functions as a general trading company, international business organizer and a provider of trade facilitating services, exported •904 million worth of goods in 2001 with an emphasis on Iraq, Algeria, Syria and Iran. The company stopped imports to Turkish customers due to depressed market conditions. Ram's trading activities center on iron & steel, automotive, foodstuff, plastic resins, crude oil and general merchandise.

Ram Man, a joint venture company with ED&F Man of France, successfully exported 120,000 tons of sugar, equivalent to 20% of Turkey's total.



Ram Pacific, Koç Group's gateway to Asia Pacific, formed a partnership with a Chinese company in Shanghai and won contract for Shanghai renewal project. The company also imported street furniture (kiosks and bus stops) to Turkey. Koç seeks to expand joint manufacturing and sales agreements in China in the coming years.

Kofisa, with headquarters in Geneva, has adopted a new business model focusing trade finance. Kofisa aims to facilitate business development in emerging markets and provide risk mitigation through structural enhancement of financial transactions connected to international trade operations.

TNT Lojistik, a joint venture with TNT Post Group of the Netherlands, got off to a strong start in 2001 with orders from Migros for central warehouse management and from Ford Otosan for inbound logistics. The acquisition of Cargotech, a successful logistics company active with top tier FMCGs in Turkey creates a broader base of customers and sectors. The acquisition increased the size of the company from 180 employees to 850.





Well-established brand names profit from new business opportunities.

The Turkish tourism industry thrived in 2001, until the September 11 terrorist attack virtually halted international travel. The number of incoming tourists reached 11 million, generating revenues of •11 billion.



Divan Hotels improved its operations and profitability in 2001. The centrally located **Divan Hotel** in Istanbul continued to renovate rooms floor by floor. **Palmira**, a boutique hotel on the Bodrum peninsula which opened in May proved very successful, becoming one of the resort area's hot spots during the season. **Mares**,

a seaside resort in Marmaris on the southern Aegean coast, was chosen as the best five star hotel in the Dalaman area by Airtour. The resort continued to improve its facilities by renovating the lobby and restaurant and adding 25 new bungalows. In Antalya on the Mediterranean, **Talya** increased its occupancy rate and started outside catering, supplying 500 lunches per day and operating Ship In Restaurant in the Marina. Divan targets growth in Food & Beverage activities. Eight new outlets were opened in Istanbul and Bodrum during the year in various formats to make a total of 29 locations. **Divan Kuruçeşme**, located on the Bosphorus in Istanbul, transformed its restaurant into a multipurpose room suitable for conferences. **Divan Patisserie**, opened two new tearooms in Istanbul to increase the number of outlets to 18 and reorganized the company to serve a younger age group and grow in packaged sales to supermarkets.

Setur is very active in organizing international congresses, international tours, ticketing and duty free sales. In-flight duty free sales on Turkish Airlines and eight charter airlines resulted in significant growth in 2001. Setur was voted the most admired tourism company in Turkey by Capital, a monthly magazine. Launch of an online

reservation system BookinTurkey.com marked Setur's entry into e-commerce.

Setur Marinas also operates eight marinas in Istanbul and popular spots on the Aegean and Mediterranean. Closure of the yacht charter department in 2001 resulted in a 54% increase in turnover and 700% increase in profit. **Avis** reduced the sizes of its fleet by 30% in response to poor economic conditions, leasing cars to cover demand during peak seasons. The number of offices increased from 50 to 53 and activities in Kazakhstan and Azerbaijan continued smoothly.

RMK Marine has grown into one of the largest privately owned and most successful shipyards in Turkey. In 2001, its yacht lifting capacity increased to 320 tons, largest in the eastern Mediterranean. During the year RMK Marine received final approval and acceptance from the Turkish Navy for two tankers, delivered two chemical tankers to the Netherlands and completed three super luxury mega yachts. It currently has contracts to build two chemical tankers with stainless steel cargo tanks, three 36 meter mega yachts and one 40 meter composite hull sailing yacht.

Demirdöküm became more competitive in Europe for water heaters and boilers in 2001 by improving its cost structure.

Exports increased by 8% to •40 million. It spun off its panel radiator business into a new company, **Panel Radiator A.Ş.**, with Beko U.K. as a 50% shareholder to support exports to Europe. **İzocam** maintained position as largest producer of mineral wool in the region, boosting exports by 13% to •14 million. Investments were made to increase production capacity of rock wool and extruded. The company also invested in manufacture of glass wool without bakelite fillers and prefabricated pipe.

Garanti Balfour Beatty completed works on Koç University campus, Ford Otosan Gölcük plant, American Hospital additional building, German Red Cross Hospital in Bolu and Ramstore in Sofia, Bulgaria. The company relocated from Istanbul to Gebze and will concentrate on winning projects outside of Turkey in 2002. **Tek-İz** started exporting prefabricate buildings to Bulgaria and Israel and will begin marketing steel frame houses in 2002. **Ark İnşaat** worked on a variety of construction projects, mainly for Group companies.

İzocam-Gebze



Information Technologies

Koç plays a key role in modernizing business processes of both the public and private sector in Turkey.

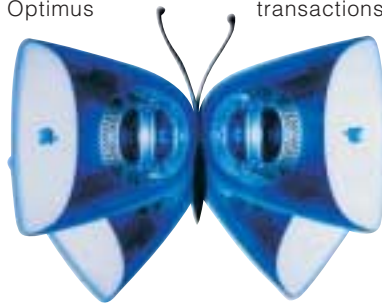
The vision of the Koç Information Technologies Group (Koç ITG) is to pioneer the e-Transformation of its customer, Koç Group of Turkey, and to become one of the leading Information and Communication Technology players in the region. The Koç e-Transformation 2003 Project aims to redesign the business processes of each company in the group in order to use information and communication technologies as fully as possible and thus become more competitive in the global business arena.

KoçSistem aspires to become a full outsourcing company. During 2001, KoçSistem pursued a differentiation strategy to spur growth in depressed market conditions by branding its services as Maximus (Support), Optimus (Outsourcing), Primus (Consultancy). KoçSistem is a strong competitor in the government sector; winning tenders for Modernization of

Customs, Communication Infrastructure for the Security Services, Modernization of the Navy, University Selection Examination project, Social Security Administration Insurance Services and the Census Bureau.

Koç.net offers business communications services as an “e-business enabler”. It envisions being the leader “alternate operator/Telco” with the highest market value in the region following the deregulation of the telecommunications industry at the end of 2003. Koç.net aims to provide maximum customer satisfaction in Managed Services (MSP) and Application Service Provider (ASP) areas with its high technology infrastructure.

Kobiline was founded in June within Koç.net to act as a one stop shop of IT & Financial Services for small and medium sized enterprises (SME's). Kobiline provides a full range e-business platform to all SME's to conduct their commercial transactions online. Within six months, Kobiline has gained 18,000 members and established 4,000 web sites. **Kotonline**, another Koç.net initiative in 2001, is the first and the only e-marketplace for cotton trading.



Promena was set up in the second half of 2001 as a joint venture with Carlisle Group of the U.S. to develop e-procurement, e-tenders and an e-marketplace in Turkey and the Middle East.

Bilkom strengthened its distribution network in 2001 and increased its product offer by adding Xerox, Tektronix, Lacie, Sony, JVC, ForMac and MGE to its core line of Apple computers. Bilkom began selling products through selected Arçelik dealers, enabling it to reach a very large number of consumers. Bilkom has also developed an interactive education portal, Elma, with interactive content and tutoring services. **Ultra Kablo TV** continued to give high quality service to more than 190,000 subscribers for cable television in 12 provinces under a revenue sharing agreement with Turk Telekom. During 2001, Ultra started to offer high speed internet cable services to its subscribers.

Koç Bryce, an IT training company, has developed a blended training program combining classroom and on-line training and also introduced an e-learning course on finance for non-financial managers.

Kangurum, under the umbrella of Migros, is the leading B2C player in Turkey. The

site hosts more than 60 different on-line merchants selling a wide variety of goods and services. **Biletix**, Turkey's leading ticket agency, began to expand its services into the cinema ticketing market.

BookInTurkey, launched in 2001, targets becoming the primary online real-time travel agency for B2B and B2C companies.

GVZ has developed speech recognition, text-to-speech and speaker verification for telephony and desktop applications to be used by corporate and individual users in Turkey.

In 2002, Information Technologies Group will be restructured as an independent company (**Koç Bilgi Grubu İletişim ve Teknoloji A.Ş.**). By focusing on strategic planning, customer relationship management, marketing, communications, market research and analysis, human resources management and financial management, valuable synergies will be created between Koç ITG companies as well as with the rest of Koç Group. Special attention will be given to coordination of business processes, knowledge management and customer service in order to realize the Group's potential to the fullest extent and make Koç a leader in information technologies.



ENVIRONMENTAL PROTECTION

Koç is committed to meeting the needs of customers and consumers in an environmentally sound and sustainable manner.

Koç strives to continuously improve its environmental performance to promote sustainable development and thus help meet the needs of an ever-growing world population. The Group rigorously applies environmental management practices and has invested a total of •62 million in environmental protection programs.

Koç gives priority to health, safety and environmental concerns at the development stage of new products and production processes in order to minimize the impact on humans and the environment. Scientific and technological advances in safety, health, environmental protection and product safety are viewed as an essential component of corporate responsibility. Manufacturing facilities actively seek ways to reduce waste, conserve energy and recycle materials.

Industrial and domestic waste water treatment plants using advanced technologies have been erected at 53 out of 54 factories. Each year, more than six million cubic meters of wastewater is treated in compliance with EU standards. Wastewater recycling systems at six major manufacturing facilities conserve thousands of tons of water. Natural gas, the cleanest energy source, is used in 39

of the Group's industrial facilities. The other 12 factories use low-sulphur fuel. Since 1995, 2,000 tons of CFC gases have been obstructed. Air pollution audits and analyses are carried out periodically for all factories in the Group. Noise levels at all production facilities are monitored and tested. EU "Green Point" requirements are being studied and implemented. ISO 14001 Certificates have been received by 15 industrial facilities and several others will qualify in 2002.

Koç established **Zinerji** in 1998 as a vehicle company for the environment and power related investments. Currently, Zinerji consults with Group Companies to improve their environmental performance and operates 14 wastewater treatment

A pond created from recycled water.
Beko Elektronik-İstanbul

plants for nine companies. Zinerji's target is to become a leading company in the field of environmental infrastructure services.

The Koç Group considers environmental protection as a local as well as a global issue. The Group is actively involved in many non-governmental organizations (NGOs), such as TÜSİAD (Turkish Industrialists' and Businessmen's Association), Automotive Manufacturers Association, WBCSD (World Business Council for Sustainable Development) and UNICE (Union of Industrial and Employers' Confederations of Europe). Group companies are also represented in governmental organizations such as the Ministry of Environment National Waste Management Committee and Istanbul Chamber of Industry Environment Commission.

Two group companies have received international environmental awards and numerous other group companies have obtained various national environmental awards and certificates.



SOCIAL RESPONSIBILITY AND PHILANTHROPY

The concept of corporate citizenship, institutionalized in Koç Group since the foundation of Vehbi Koç Foundation in 1969, flourishes today through a variety of programs and foundations.

The Koç Group takes a leading role in raising the quality of life in Turkey by establishing model institutions in education, healthcare and cultural heritage.

EDUCATION

Suna Kiraç Library was opened at **The Koç School** in September. The Library



TRT 24th International 23rd April Children's Festival-Ankara

contains 30,000 volumes, with a special collection of 3,500 books on Atatürk and the history of the Turkish Republic. During the year, the buildings and facilities of The Koç School, a top-rated private primary and secondary school, were renovated and plans to extend the high school program from three to four years were finalized. **Sevgi Gönül Auditorium** was

opened at **Koç University** in November. The 370 seat auditorium will be used for concerts, films and conferences. The 13 elementary schools constructed by Vehbi Koç Foundation have been named as model institutions by the Ministry of Education.

HEALTHCARE

Koç University School of Health

Sciences moved to new premises in the **Semahat Arsel Building** next to American Hospital. The school, considered the most preferred nursing school in Turkey, sets the standard for nursing education in Turkey. **American and Italian Hospitals**, which are owned by the Vehbi Koç Foundation, provide care in 42 specialized branches of medicine, with an emphasis on clinical research, diagnosis and outpatient and inpatient treatment.

CULTURAL HERITAGE

Rahmi M. Koç Museum opened its new building at the historic Hasköy Shipyard on the Golden Horn in July. The new facility features sections on modern industrial processes (What-How Does it Work?), agricultural machinery, transportation equipment, classic automobiles, diesel and steam engines, an olive oil factory, a carpenter's workshop, outboard motors and railway transportation. A large section is devoted to various types of small boats and outboard engines. The private railway carriage of Sultan Abdulaziz is of special

interest. The market section features replicas of old-fashioned shops. Since the opening, the number of visitors has increased three times. The Museum was awarded prizes from the General Directorate of Foundations and the Ministry of Culture for its contribution to culture and education in Turkey. **Sadberk Hanım Museum** enriched its archaeological exhibits by acquiring the Caria collection at the beginning of year. **Suna & İnan Kır   Research Institute on Mediterranean Civilizations** published a two-volume set of 19th century photographs of Bursa.



CIVIC INVOLVEMENT

Semahat - Dr. N  sret Arsel Etimesgut

Education Park and **Suna-İnan Kır  **

Antalya Education Park provides

thousands of students with free after school programs in sports, art, dance, drama, computer, English and mathematics. The Education Parks, a project of Volunteers for Education Foundation, are two of six such facilities in the country. Ford Otosan has invested •12 million in social facilities in Kocaeli region, including a high school, two year college, First Aid Center and a •7 million Kocaeli University Medical School Diagnostic Center. Ko  sponsored the 23 April Children's Day festivities for the fourth consecutive year. In 2001, 1100 children from 41 countries traveled to Turkey to participate in the event.

Ko  University-İstanbul



EXECUTIVE MANAGEMENT 2002

Board of Directors

Rahmi M. Koç	Chairman
Suna Kırar	Vice Chairman
Temel Atay	Vice Chairman
Mustafa V. Koç	Vice Chairman
Semahat Arsel	Member
Sevgi Gönül	Member
Erdoğan Gönül	Member
F. Bülend Özaydınlı	Member
Hasan Subaşı	Member
Yavuz Alangoya, PhD	Member
H.Oswald Maucher	Member
John H. McArthur	Member
W. Wayne Booker	Member
Nevzat Tüfekcioğlu	Auditor

CEO (Chief Executive Officer)

F. Bülend Özaydınlı	CEO
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Group Presidents*

Hasan Bengü	International Trade Group
Mehmet Ali Berkman	Strategic Planning & Human Resources
Bülent Bulgurlu, PhD	Tourism and Construction Group
Aydın Çubukçu	FIAT Group
Selçuk Gezdur	Automotive Supplies and Other Automotive Companies Group
Burhan Karaçam	Finance Group Companies
Ali Y. Koç	Information Technologies Group
Ömer M.Koç	Energy Group
Nadir Özşahin	Auditing and Accounting
Rüşdü Saraçoğlu, PhD	Finance
Cengiz Solakoğlu	Durable Goods Group
H. Hasan Yılmaz	Food and Retailing Group

* The Group Presidents are listed in alphabetical order

**FINANCIAL
STATEMENTS**

AUDITORS' REPORT

To the Board of Directors of Koç Holding A.Ş.

- 1.We were engaged to audit the consolidated balance sheet of Koç Holding A.Ş. ("Koç Holding" or "the Group") at 31 December 2001 and the related consolidated statements of loss and of cash flows for the year then ended, all expressed in the equivalent purchasing power of the Turkish lira as at 31 December 2001. These consolidated financial statements are the responsibility of Koç Holding's management.
- 2.We were not engaged to audit the financial statements of a number of Subsidiaries and Joint Ventures of the Group, the financial statements of which reflect total assets of TL1,821,253 billion (19% of total assets before consolidation adjustments) at 31 December 2001, and total net loss of TL95,258 billion (22% of total net loss before consolidation adjustments) for the year ended 31 December 2001. These statements were audited by other auditors, whose respective reports thereon were made available to us, and our opinion expressed herein, insofar as it relates to the amounts included for those Subsidiaries and Joint Ventures, is based solely on the respective reports of other auditors.
- 3.As disclosed in Note 3 to the accompanying consolidated financial statements, International Accounting Standard ("IAS") 27 "Consolidated financial statements and accounting for investments in subsidiaries" requires subsidiary undertakings to be consolidated. Koçbank A.Ş. ("Koçbank"), the banking subsidiary of the Group, and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001 due to some regulatory restrictions imposed by the Banking Regulation and Supervision Agency ("BRSA"). Under the terms of the recapitalization programme issued by the BRSA, Turkish banking companies are prohibited from the publication of financial statements before the finalization of this process. Consequently, Koç Holding management was not able to include the financial statements of these subsidiaries at 31 December 2001 and was thus precluded from preparing consolidated financial statements in accordance with IAS. Koçbank is significant to the consolidated financial position and consolidated net results of the Group. The comparability of accompanying consolidated financial statements at 31 December 2001 with the previous period is also fundamentally affected by the exclusion of Koçbank from scope of consolidation in 2001. For these reasons, the Koç Holding management was not able to present the consolidated financial position and results of the Group in accordance with International Accounting Standards. Thus, due to regulatory restrictions we were unable to obtain all information and explanations we required to audit the IAS consolidated financial statements of the Group.
- 4.Because of the significance of the matter discussed in the preceding paragraph, we do not express an audit opinion on the accompanying financial statements.

We also draw attention to the following issues:

- 5.As explained in Note 3 to the consolidated financial statements, the statements include the accounts of the parent company, its Subsidiaries, Joint Ventures and the Associate except the banking subsidiary of the Group and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) as explained under paragraph 3 above. Subsidiaries are companies in which Koç Holding has power to control the financial and operating policies for the benefit of Koç Holding through the exercise of voting power relating to shares held by Koç Holding and its Subsidiaries together with voting power which Koç Holding effectively exercises relating to shares held by Koç family members and enterprises controlled by them (the "control basis"). Joint Ventures are companies in respect of which there are contractual arrangements through which an economic activity is undertaken subject to joint control by Koç Holding and its Subsidiaries (through the "control basis") and one or more other parties. In effect the Koç family members allow Koç Holding to exercise the voting power in respect of their shares held in these companies. In the consolidated financial statements, the shares held by Koç family members are treated as minority interest.
- 6.As explained in Note 2 to the consolidated financial statements, Euro ("EUR") amounts shown in the accompanying consolidated financial statements have been included solely for the convenience of the reader of the consolidated financial statements and are translated from Turkish lira ("TL"), as a matter of arithmetic computation only, at the official EUR bid rates announced by the Central Bank of Turkey at 31 December 2001. Such translation should not be construed as a representation that the TL amounts have been or could be converted into EUR at this or any other rate.

Başaran Nas Serbest Muhasebeci
Mali Müşavirlik Anonim Şirketi
a member of
PricewaterhouseCoopers



Cansen Başaran - Symes, SMMM
İstanbul, 10 May 2002

KOÇ HOLDİNG A.Ş.

UNAUDITED CONSOLIDATED BALANCE SHEET

AT 31 DECEMBER (Note 3.b)

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

	Notes	2001 EUR'000(*)	2001 TL billions	Audited 2000 TL billions
ASSETS				
Current assets:				
Cash and cash equivalents	6	636,211	806,789	1,400,823
Current investments	7			
-held-for-trading	7.a	66,450	84,267	369,306
-held-to-maturity	7.b	8,470	10,741	10,489
-available-for-sale	7.c	186,471	236,466	766,803
Reserve deposits with the Central Bank of Turkey	8	-	-	185,661
Banking loans	9	-	-	2,059,765
Consumer loans	10	83,057	105,326	170,892
Trade receivables	11	779,378	988,341	1,796,462
Due from related parties	12	97,867	124,106	68,897
Inventories	13	512,064	649,356	857,272
Other current assets	14	235,185	298,242	414,313
Total current assets		2,605,153	3,303,634	8,100,683
Non-current assets:				
Banking loans	9	-	-	385,431
Consumer loans	10	31,166	39,522	193,589
Investments	15			
-held-for-trading	15.a	-	-	393,797
-held-to-maturity	15.b	1,612	2,044	657
-available-for-sale	15.c	528,733	670,495	957,863
Investment in associated undertaking	16	836	1,060	1,601
Investment property	19	18,439	23,383	16,288
Property, plant and equipment	17	1,868,874	2,369,948	2,567,575
Intangible assets	18	141,756	179,762	151,992
Other non-current assets	20	127,358	161,504	124,631
Total non-current assets		2,718,774	3,447,718	4,793,424
Total assets		5,323,927	6,751,352	12,894,107

(*) Euro amounts presented above are translated from Turkish lira ("TL") for convenience purposes only, at the official TL exchange rate announced by the Central Bank of Turkey at 31 December 2001, and therefore do not form part of these consolidated financial statements prepared in accordance with International Accounting Standards ("IAS") (see Note 2).

The accompanying notes form an integral part of these consolidated financial statements.

KOÇ HOLDİNG A.Ş.

UNAUDITED CONSOLIDATED BALANCE SHEET

AT 31 DECEMBER (Note 3.b)

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

	Notes	2001 EUR'000(*)	2001 TL billions	Audited 2000 TL billions
LIABILITIES AND SHAREHOLDERS' EQUITY				
Current liabilities:				
Bank borrowings	21	872,413	1,106,320	1,958,458
Banking customer deposits	22	-	-	3,545,297
Bonds issued	28	-	-	26,574
Insurance technical reserves	24	93,037	117,981	147,725
Trade payables	23	494,230	626,741	991,033
Due to related parties	12	100,841	127,878	153,030
Taxes on income	27	40,500	51,358	148,728
Other current liabilities	25	244,570	310,144	740,428
Total current liabilities		1,845,591	2,340,422	7,711,273
Non-current liabilities:				
Bank borrowings	21	502,236	636,892	803,417
Insurance technical reserves	24	85,690	108,665	109,784
Provision for employment termination benefits	29	52,082	66,046	90,677
Deferred tax liabilities	27	232,856	295,289	297,788
Other non-current liabilities	26	31,562	40,026	67,452
Total non-current liabilities		904,426	1,146,918	1,369,118
Total liabilities		2,750,017	3,487,340	9,080,391
Minority interest - Koç family members	5	506,333	642,088	824,206
- Other	5	622,440	789,326	1,056,208
Minority interest	5	1,128,773	1,431,414	1,880,414
Shareholders' equity:				
- Share capital	30	80,102	101,578	64,102
- Adjustment to share capital	30	499,163	632,996	507,441
Total paid-in share capital		579,265	734,574	571,543
Translation reserve	4.q	26,712	33,874	(2,818)
Cumulative loss on hedging	4.ac	(16,717)	(21,200)	-
Retained earnings	31	855,877	1,085,350	1,364,577
Total shareholders' equity		1,445,137	1,832,598	1,933,302
Total liabilities and shareholders' equity		5,323,927	6,751,352	12,894,107
Commitments and contingent liabilities	35			

(*) Euro amounts presented above are translated from Turkish lira ("TL") for convenience purposes only, at the official TL exchange rate announced by the Central Bank of Turkey at 31 December 2001, and therefore do not form part of these consolidated financial statements prepared in accordance with International Accounting Standards ("IAS") (see Note 2).

The accompanying notes form an integral part of these consolidated financial statements.

KOÇ HOLDİNG A.Ş.

UNAUDITED CONSOLIDATED STATEMENT OF LOSS FOR THE YEAR ENDED 31 DECEMBER (Note 3.b)

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

	Notes	2001 EUR'000(*)	2001 TL billions	Audited 2000 TL billions
Revenues:				
Non-banking and financial services	5	5,215,285	6,613,581	7,165,775
Banking and financial services	5	348,591	442,054	1,170,809
		5,563,876	7,055,635	8,336,584
Operating costs:				
Non-banking and financial services	5	(5,150,571)	(6,531,517)	(6,756,129)
Banking and financial services	5	(447,685)	(567,717)	(893,983)
		(5,598,256)	(7,099,234)	(7,650,112)
Operating (loss)/profit:				
Non-banking and financial services	5	64,714	82,064	409,649
Banking and financial services	5	(99,094)	(125,663)	276,823
		(34,380)	(43,599)	686,472
(Loss)/income from associate	16	(219)	(278)	384
Financial (expense)/income	32	(222,514)	(282,174)	96,103
Other expense		(1,363)	(1,728)	(3,668)
Loss on net monetary position	2	(3,706)	(4,700)	(224,679)
(Loss)/income before taxes on income and minority interest		(262,182)	(332,479)	554,612
Taxes on income	27	(133,306)	(169,047)	(267,365)
(Loss)/income before minority interest		(395,488)	(501,526)	287,247
Loss/(income) attributable to minority interest				
- Koç family members	5	35,101	44,513	(38,097)
- Other	5	117,878	149,482	(121,447)
Net (loss)/income		(242,509)	(307,531)	127,703
Weighted average number (000's) of shares with face value of TL1,000 value each	4.ae	87,492,510	87,492,510	64,852,898
Basic and diluted (loss)/earnings per share in full EUR and in TL	4.ae	(0.0028)	(3,515)	1,969

(*) Euro amounts presented above are translated from Turkish lira ("TL") for convenience purposes only, at the official TL exchange rate announced by the Central Bank of Turkey at 31 December 2001, and therefore do not form part of these consolidated financial statements prepared in accordance with International Accounting Standards ("IAS") (see Note 2).

The accompanying notes form an integral part of these consolidated financial statements.

KOÇ HOLDING A.Ş.

UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

FOR THE YEAR ENDED 31 DECEMBER (Note 3.b)

(Amounts expressed in billions of Turkish Lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

							Retained Earnings			Shareholders' equity total
							General and legal reserves	Unappropriated net income/(loss)	Retained earnings total	
Balances at 1 January 2000 (Audited)	32,051	527,939	(1,259)	-	1,211,442	33,013	1,244,455	1,803,186		
Dividends paid	-	-	-	-	-	(13,279)	(13,279)	(13,279)		
Increase in retained earnings due to additions to scope of consolidation	-	-	-	-	-	1,954	1,954	1,954		
Decrease in retained earnings due to disposals from scope of consolidation	-	-	-	-	-	3,744	3,744	3,744		
Transfers	-	-	-	-	-	(25,432)	-	-		
Increase in share capital	32,051	(20,498)	-	-	-	-	-	-		
Currency translation differences	-	-	(1,559)	-	-	-	-	-		
Income for the year	-	-	-	-	-	127,703	127,703	127,703		
Balances at 31 December 2000 (Audited)	64,102	507,441	(2,818)	-	1,236,874	127,703	1,364,577	1,933,302		
Balances at 1 January 2001	64,102	507,441	(2,818)	-	1,236,874	127,703	1,364,577	1,933,302		
- as previously reported	-	-	-	-	-	3,323	3,323	3,323		
- effect of adopting IAS 39	-	-	-	-	-	-	-	-		
- as restated	64,102	507,441	(2,818)	-	1,236,874	131,026	1,367,900	1,936,625		
Dividends paid	-	-	-	-	-	(61,648)	(61,648)	(61,648)		
Decrease in retained earnings due to additions to scope of consolidation	-	-	-	-	-	(24,122)	(24,122)	(24,122)		
Increase in retained earnings due to disposals from scope of consolidation (Note 3.b)	-	-	-	-	-	110,751	110,751	110,751		
Transfers	-	-	-	-	-	(156,007)	-	-		
Increase in share capital	37,476	125,555	-	-	156,007	-	-	-		
Currency translation differences	-	-	36,692	-	-	-	-	-		
Cumulative loss on hedging	-	-	-	(21,200)	-	-	-	-		
Loss for the year	-	-	-	-	-	(307,531)	(307,531)	(307,531)		
Balances at 31 December 2001	101,578	632,996	33,874	(21,200)	1,392,881	(307,531)	1,085,350	1,832,598		

The accompanying notes form an integral part of these consolidated financial statements.

KOÇ HOLDİNG A.Ş.

UNAUDITED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED AT 31 DECEMBER (Note 3.b)

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

	Notes	2001 EUR'000	2001 TL billions	Audited 2000 TL billions
Operating activities:				
Net income		(242,510)	(307,531)	127,703
Adjustments to reconcile net income to net cash provided by operating activities:				
Minority interest	5	(152,979)	(193,995)	159,544
Depreciation and amortisation-net		171,000	216,848	501,078
Changes in reserves and provisions	4.ab	(43,246)	(54,841)	55,941
Profit on sale of property, plant and equipment		(10,684)	(13,549)	(3,788)
Add back net interest income	4.ab	(319,951)	(405,734)	(865,555)
Impairment charge		16,153	20,484	32,799
Finance segment interest received		348,591	442,054	1,222,172
Finance segment interest paid		(105,357)	(133,605)	(723,997)
Cumulative loss on hedging		(16,717)	(21,200)	-
Effect of adopting IAS 39		4,072	5,164	-
Add back taxation expenses	27	133,306	169,047	267,366
Add back dividend income	12	(224)	(284)	(252)
Net cash provided by operating activities before changes in operating assets and liabilities		(218,546)	(277,142)	773,011
Changes in operating assets and liabilities net effect from acquisitions of companies:				
Changes in non-finance segment working capital	4.ab	189,333	240,094	(101,454)
Changes in finance segment working capital	4.ab	1,022,864	1,297,108	(643,534)
Taxes paid		(210,089)	(266,417)	(272,207)
Net change in operating assets and liabilities		1,002,108	1,270,785	(1,017,195)
Net cash (used in)/provided by operating activities		783,562	993,643	(244,184)
Investing activities:				
Purchase of property, plant and equipment	17	(395,446)	(501,471)	(1,007,999)
(Acquisition)/sales of other investments		(394,598)	(500,396)	(29,299)
Proceeds from sale of property, plant and equipment and other investments		387,444	491,324	354,643
Change in other non-current assets and liabilities	4.ab	(50,706)	(64,300)	(162,325)
Net effect of changes in minority shares	5	(117,038)	(148,419)	140,512
Acquisition of subsidiaries	36	(26,047)	(33,031)	(10,569)
Non-finance segment interest received		627,835	796,172	840,832
Dividends received	12	224	284	252
Net cash provided by investing activities		31,668	40,163	126,047
Financing activities:				
Proceeds of issuance of share capital in Koç Holding		128,561	163,030	11,554
Proceeds of issuance of share capital to minority interest	5	58,554	74,254	97,800
Dividends paid by Koç Holding		(48,614)	(61,648)	(13,279)
Dividends paid to minority interest	5	(75,744)	(96,052)	(118,479)
Net increase in short-term borrowings	21	(671,973)	(852,139)	676,453
Net increase in long-term borrowings	21	(131,316)	(166,524)	240,240
Proceeds from issuance of bonds	28	-	-	26,574
Repayment of bonds	28	(20,955)	(26,574)	(13,482)
Non-finance segment interest paid		(551,119)	(698,881)	(473,452)
Net cash provided by/(used in) financing activities		(1,312,606)	(1,664,534)	433,929
Effect of exchange rate changes		28,934	36,694	(1,559)
Net increase/(decrease) in cash and cash equivalents		(468,442)	(594,034)	314,233
Cash and cash equivalents at beginning of year	4.ab	1,104,653	1,400,823	1,086,590
Cash and cash equivalents at end of year	6	636,211	806,789	1,400,823

(*) Euro amounts presented above are translated from Turkish lira ("TL") for convenience purposes only, at the official TL exchange rate announced by the Central Bank of Turkey at 31 December 2001, and therefore do not form part of these consolidated financial statements prepared in accordance with International Accounting Standards ("IAS") (see Note 2).

The accompanying notes form an integral part of these consolidated financial statements.

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 1 - ORGANISATION AND NATURE OF OPERATIONS

Koç Holding A.Ş. ("Koç Holding" or "the Group") was established on 11 December 1963 as a corporation to coordinate the activities of, and liaise between, companies operating in different fields including trade, manufacturing, agriculture, finance and retailing and is registered in Turkey. Koç Holding is owned by members of the Koç family, Temel Ticaret A.Ş. and Nazar Dayanıklı ve Dayanaksız Sınai Mallar Pazarlama A.Ş. (which are also owned by Koç family members), Vehbi Koç Vakfı (a charitable foundation) and Koç Holding Emekli Yardım Sandığı Vakfı (Koç Holding Foundation for Pensions and Assistance) as detailed in Note 30. The number of people employed by the Group in 2001 is 43,134 (2000: 45,812). Koç Holding is listed on the İstanbul Stock Exchange.

The address of the registered office is as follows:

Nakkaştepe Azizbey Sok. No: 1
Kuzguncuk-İSTANBUL

Koç Holding is organised mainly in Turkey into six main business segments:

- Automotive
- Finance
- Consumer durable
- Food and retailing
- Energy
- Other (*)

(*) Other operations of Koç Holding mainly comprise foreign trade, tourism, and construction, none of which is of a sufficient size to be reported separately.

Geographical segments other than Turkey are not material enough to be reported separately.

Subsidiary undertakings

Koç Holding has the following subsidiaries ("the Subsidiaries") (see also Notes 3.b and 3.c). The nature of the business of the Subsidiaries, and, for the purpose of the consolidated financial statements, their respective business segments, are as follows:

<u>Subsidiary</u>	<u>Country of incorporation</u>	<u>Nature of business</u>	<u>Segment</u>
Beldesan Motorlu Vasıtalar San. A.Ş. ("Beldesan")	Turkey	Production	Automotive
Beldeyama Motorlu Vasıtalar San. A.Ş. ("Beldeyama")	Turkey	Production	Automotive
Birmot Birleşik Motor Sanayi ve Tic. A.Ş. ("Birmot")	Turkey	Trading	Automotive
Döktaş Ticaret ve San. A.Ş. ("Döktaş")	Turkey	Production	Automotive
İstanbul Fruehauf Taşıt Araçları San. ve Tic. A.Ş. ("İstanbul Fruehauf")	Turkey	Production	Automotive
Mako Elektrik Sanayi ve Ticaret A.Ş. ("Mako")	Turkey	Production	Automotive
Otokar Otobüs Karoseri Sanayi A.Ş. ("Otokar")	Turkey	Production	Automotive
Otoyol Sanayi A.Ş. ("Otoyol")	Turkey	Production	Automotive
Otokoç Otomotiv Tic. Ve San. A.Ş. ("Otokoç")	Turkey	Trading	Automotive
Türk Traktör ve Ziraat Makinaları A.Ş. ("Türk Traktör")	Turkey	Production	Automotive
Tekersan Jant Sanayi A.Ş. ("Tekersan")	Turkey	Production	Automotive

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 1 - ORGANISATION AND NATURE OF OPERATIONS (Continued)

<u>Subsidiary</u>	<u>Country of incorporation</u>	<u>Nature of business</u>	<u>Segment</u>
Otomotiv Lastikleri Tevzi A.Ş. ("Otomotiv Lastikleri")	Turkey	Trading	Automotive
Otoyol Pazarlama A.Ş. ("Otoyol Pazarlama")	Turkey	Trading	Automotive
Sherbrook Group Holdings Ltd. ("Sherbrook")	The U.K.	Trading	Automotive
Trakmak Traktör ve Ziraat Makinaları A.Ş. ("Trakmak")	Turkey	Trading	Automotive
Koç Finansal Hizmetler A.Ş. ("Koç Finansal Hizmetler")	Turkey	Financial Services	Finance
Koçbank A.Ş. ("Koçbank")	Turkey	Banking	Finance
Koçbank Azerbaijan ("Koçbank Azerbaijan")	Azerbaijan	Banking	Finance
Koç Faktoring A.Ş. ("Koç Faktoring")	Turkey	Factoring	Finance
Koçbank Nederland N.V. ("Koçbank Nederland")	The Netherlands	Banking	Finance
Koç Menkul Değerler A.Ş. ("Koç Menkul")	Turkey	Brokerage	Finance
Koç Tüketici Finansmanı ve Kart Hizmetleri A.Ş. ("Koç Finans")	Turkey	Consumer finance	Finance
Koç Finansal Kiralama A.Ş. ("Koçlease")	Turkey	Leasing	Finance
Koratrade MTMC Ltd. ("Koratrade Ireland")	Rep. of Ireland	Fund management	Finance
Koç Allianz Hayat Sigorta A.Ş. ("Koç Allianz Hayat")	Turkey	Life insurance	Finance
Koç Allianz Sigorta T.A.Ş. ("Koç Allianz Sigorta")	Turkey	Insurance	Finance
Arçelik A.Ş. ("Arçelik")	Turkey	Production	Consumer durable
Beko Elektronik A.Ş. ("Beko Elektronik")	Turkey	Production	Consumer durable
Artesis Teknoloji Sistemleri A.Ş. ("Artesis")	Turkey	Research and development	Consumer durable
Tunusdan S.A. ("Tunusdan")	Tunisia	Production	Consumer durable
Beko Electronics Espana S.L. ("Beko Espana")	Spain	Trading	Consumer durable
Beko Ticaret A.Ş. ("Beko Ticaret")	Turkey	Trading	Consumer durable
Beko Polska S.A. ("Beko Polska")	Poland	Trading	Consumer durable
Beko UK Ltd. ("Beko UK")	The U.K.	Trading	Consumer durable
Türk Demir Döküm Fabrikaları A.Ş. ("TDDF")	Turkey	Production	Consumer durable
Maret Marmara Besicilik ve Et San. ve Ticaret A.Ş. ("Maret")	Turkey	Food and beverage	Food and retailing
Migros Türk T.A.Ş. ("Migros")	Turkey	Retail	Food and retailing
Ramstore Sınırlı Sorumlu Türk Gıda Müessesesi ("Ramstore")	Azerbaijan	Retail	Food and retailing
Limited Liability Company Rambutya ("Rambutya")	Kazakhstan	Retail	Food and retailing
Ramstore Bulgaria A.D. ("Ramstore Bulgaria")	Bulgaria	Retail	Food and retailing
Pastavilla Kartal Makarnacılık San. ve Ticaret A.Ş. ("Pastavilla")	Turkey	Food and beverage	Food and retailing
Sek Süt Endüstrisi Kurumu San. ve Tic. A.Ş. ("Sek")	Turkey	Food and beverage	Food and retailing
Tat Konserve Sanayi A.Ş. ("Tat Konserve")	Turkey	Food and beverage	Food and retailing
Düzyay Tüketim Malları Pazarlama A.Ş. ("Düzyay")	Turkey	Trading	Food and retailing
Tat Tohumculuk A.Ş. ("Tat Tohumculuk")	Turkey	Agriculture	Food and retailing

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 1 - ORGANISATION AND NATURE OF OPERATIONS (Continued)

<u>Subsidiary</u>	<u>Country of incorporation</u>	<u>Nature of business</u>	<u>Segment</u>
Aygaz A.Ş. ("Aygaz")	Turkey	LPG supplies	Energy
Lipet Petrol Gazı ve Yakıt Ticaret A.Ş. ("Lipet")	Turkey	LPG supplies	Energy
Mogaz Petrol Gazları A.Ş. ("Mogaz")	Turkey	LPG supplies	Energy
Entek Elektrik Üretimi Otoprodüktör A.Ş. ("Entek")	Turkey	Power generation	Energy
Zinerji Enerji San. ve Tic. A.Ş. ("Zinerji")	Turkey	Energy	Energy
Bursa Gaz ve Ticaret A.Ş. ("Bursa Gaz")	Turkey	Trade	Energy
İzocam Ticaret ve Sanayi A.Ş. ("İzocam")	Turkey	Production	Other
RMK Gemi Yapım Sanayi A.Ş. ("RMK Marine")	Turkey	Production	Other
Koçtaş Yapı Malzemeleri Ticaret A.Ş. ("Koçtaş")	Turkey	Trade	Other
Ram Dış Ticaret A.Ş. ("Ram Dış Ticaret")	Turkey	Foreign trade	Other
Beko France S.A. ("Beko France")	France	Foreign trade	Other
Ram Pacific Ltd. ("Ram Pacific")	Hong-Kong (China)	Foreign trade	Other
Ayvalık Marina ve Yat İşletmeciliği San. ve Tic. A.Ş. ("Ayvalık Marina")	Turkey	Tourism	Other
Marmaris Altınyunus Turistik Tesisleri A.Ş. ("Mares")	Turkey	Tourism	Other
Setur Servis Turistik A.Ş. ("Setur")	Turkey	Tourism	Other
Tütaş Türk Turizm A.Ş. (Talya Oteli) ("Tütaş")	Turkey	Tourism	Other
İ.D.E.A. İnceleme, Danışmanlık, Eğitim, Araştırma Merkezi A.Ş. ("İ.D.E.A.")	Turkey	Consultancy Information	Training & Other
Koç Sistem A.Ş. ("Koç Sistem")	Turkey	Technology	Other
Koçnet Haberleşme Teknoloji ve İletişim Hizm. A.Ş. ("Koçnet")	Turkey	Information Technology	Other
Kav Danışmanlık Pazarlama ve Ticaret A.Ş. ("Kav Danışmanlık")	Turkey	Consultancy	Other
Bozkurt Tarım ve Gıda San. A.Ş. ("Bozkurt")	Turkey	Agriculture	Other
Set Oto Ticaret ve Turizm A.Ş. ("Setoto-Avis")	Turkey	Car Rental	Other
Tek-iz İzolasyon ve Yapı Elemanları San. A.Ş. ("Tek-iz")	Turkey	Production	Other

For the purposes of segment information in these consolidated financial statements, Koç Holding's own unconsolidated stand-alone financial statements were included in the "other" segment (Note 5).

Geographical segment information has not been included in the consolidated financial statements since geographical segments other than Turkey are not material enough to be reported.

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 1 - ORGANISATION AND NATURE OF OPERATIONS (Continued)

Joint ventures

Koç Holding has interests in joint ventures ("the Joint Ventures") (see also Note 3.d). The nature of their business and, for the purpose of these consolidated financial statements, their respective business segments and Joint Venture partners, are as follows:

<u>Joint venture</u>	<u>Nature of business</u>	<u>Segment</u>	<u>Joint Venture Partner</u>
Sachs Beldesan Süspansiyon Sistemleri San. ve Tic. A.Ş. ("Sachs Beldesan")	Production	Automotive	Mannesmann Sachs A.G.
Tofaş Türk Otomobil Fabrikası A.Ş. ("Tofaş")	Production	Automotive	Fiat Auto S.p.A
Ford Otomotiv Sanayi A.Ş. ("Ford Otosan")	Production	Automotive	Ford Motor Co.
Arçelik LG Klima Production San. ve Tic. A.Ş. ("Arçelik LG Klima")	Production of air conditioners	Consumer durable	LG Electronics Inc.
Birleşik Oksijen Sanayi Gazlar A.Ş. ("BOS")	Chemicals	Energy	BOC Group
Koç Fiat Kredi Tüketici Finansmanı A.Ş. ("Fiat Finans")	Consumer Finance	Finance	Fidis S.p.A
Kofisa Trading Company S.A. ("Kofisa Trading")	Foreign trade	Other	Koratrade S.A.
Ultra Kablo Televizyon ve Telekomünikasyon San. ve Tic. A.Ş. ("Ultra Kablo")	Media and Communication	Other	Hürriyet Gazetecilik ve Matbaacılık A.Ş.
Koçtaş Yapı Marketleri Sanayi ve Ticaret A.Ş. ("Koçtaş Yapı Market")	Construction and housing equipment	Other	B & Q Holding BV
Garanti Balfour Beatty İnşaat Sanayi ve Ticaret A.Ş. ("Garanti Balfour")	Construction	Other	Balfour Beatty Overseas Limited
Limited Liability Company Ramenka ("Ramenka")	Retail	Food and retailing	Enka Holding A.Ş.

All Joint Ventures are registered in Turkey except for Kofisa Trading, which is registered in Switzerland and Ramenka, which is registered in the Russian Federation. Geographical segment information has not been included in these consolidated financial statements on the grounds of materiality.

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 2 - BASIS OF PREPARATION OF FINANCIAL STATEMENTS

a) Turkish lira financial statements

The consolidated financial statements were not intended to and do not present consolidated financial position and results of the Group in accordance with International Accounting Standards ("IAS") because Koçbank A.Ş., the Group's banking subsidiary, and four of its subsidiaries are not included in the scope of consolidation in 2001 (see Note 3.b). Koç Holding and its Subsidiaries, Joint Ventures and Associate registered in Turkey maintain their books of account and prepare their statutory financial statements ("Statutory Financial Statements") in Turkish lira in accordance with the Turkish Commercial Code (the "TCC"), tax legislation, and the Uniform Chart of Accounts issued by the Ministry of Finance, applicable Turkish insurance laws for insurance companies and banking law for banks; and for listed Subsidiaries only, accounting principles issued by the Capital Market Board of Turkey ("CMB Principles"). The foreign Subsidiaries and Joint-ventures maintain their books of account in accordance with the laws and regulations in force in the countries in which they are registered.

These consolidated financial statements are based on the statutory records, which are maintained under the historical cost convention (except for the statutory revaluation of property, plant and equipment as discussed in Note 17), with adjustments and reclassifications including restatement for changes in the general purchasing power of the Turkish lira, for the purpose of fair presentation in accordance with IAS, issued by the International Accounting Standards Board.

The restatement for the changes in the general purchasing power of the Turkish lira as of 31 December 2001 is based on IAS 29 ("Financial Reporting in Hyperinflationary Economies"). IAS 29 requires that financial statements prepared in the currency of a hyperinflationary economy be stated in terms of the measuring unit current at the balance sheet date, and that corresponding figures for previous periods be restated in the same terms. One characteristic that necessitates the application of IAS 29 is a cumulative three-year inflation rate approaching or exceeding 100%. The restatement was calculated by means of conversion factors derived from the Turkish nationwide wholesale price index ("WPI") published by the State Institute of Statistics ("SIS"). Such indices and conversion factors used to restate the financial statements at 31 December are given below:

<u>Dates</u>	<u>Index</u>	<u>Conversion factors</u>
31 December 2001	4,951.7	1.000
31 December 2000	2,626.0	1.886
31 December 1999	1,979.5	2,501

The main procedures for the above-mentioned restatement are as follows:

- Financial statements prepared in the currency of a hyperinflationary economy are stated in terms of the measuring unit current at the balance sheet date, and corresponding figures for previous periods are restated in the same terms.
- Monetary assets and liabilities that are carried at amounts current at the balance sheet date are not restated because they are already expressed in terms of the monetary unit current at the balance sheet date.

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 2 - BASIS OF PREPARATION OF FINANCIAL STATEMENTS (Continued)

- Non-monetary assets and liabilities that are not carried at amounts current at the balance sheet date and components of shareholders' equity are restated by applying the relevant monthly conversion factors.
- Comparative financial statements are restated using general inflation indices at the currency purchasing power at the latest balance sheet date.
- All items in the statements of loss and income are restated by applying the relevant (monthly, yearly average, year-end) conversion factors.
- The effect of inflation on the net monetary asset position of Koç Holding, the Subsidiaries and Joint Ventures operating in hyperinflationary economies is included in the statements of loss and income as loss on net monetary position.

The result of the Group's foreign undertakings are translated into Turkish lira at the average rate for the period, except for foreign Joint-venture reporting in the currency of a hyperinflationary economy for which closing rates are applied to local currency amounts. The assets and liabilities of Group's foreign undertakings are translated into Turkish lira at the closing rate for the year. Exchange differences arising on retranslation of the opening net assets of foreign undertakings and differences between the average and year-end rates are included in translation reserve.

b) Euro translation

Euro ("EUR") amounts shown in the consolidated financial statements have been included solely for the convenience of the reader of the consolidated statements, and are translated from Turkish lira ("TL"), as a matter of arithmetic computation only, at the official Euro bid rates announced by the Central Bank of Turkey on 31 December 2001 of TL1,268,115=EUR1. Such translation should not be construed as a representation that the TL amounts have been or could be converted into EUR at this or any other rate.

c) Adoption of IAS 39

With effect from 1 January 2001, the Group adopted IAS 39 ("Financial Instruments: Recognition and Measurement"). The effects of adopting IAS 39 are reported in the consolidated statement of shareholders' equity. Further information is disclosed in accounting policies for investments and in related notes (Notes 3 and 4). IAS 39 has been applied prospectively in accordance with the requirements of this standard and therefore comparative financial information has not been restated. The effect of prospective adoption of IAS 39 on the Group's consolidated retained earnings at 31 December 2000 is disclosed in the consolidated statement of changes in shareholders' equity.

d) Adoption of IAS 40

IAS 40, ("Investment Property"), also became effective in 2001. With effect from 1 January 2001, the Group adopted this standard retrospectively for the current financial statements (Note 4). The Group applied the cost model and therefore there is no effect of adopting IAS 40 that is reported in the consolidated statements of changes in shareholders' equity as an adjustment to the consolidated opening retained earnings at 1 January 2001.

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NOTE 3 - GROUP ACCOUNTING

- a) The consolidated financial statements include the accounts of the parent company, Koç Holding A.Ş., its Subsidiaries except that Koçbank A.Ş., the banking subsidiary, and its four subsidiaries were excluded from the scope of consolidation in 2001, its Joint Ventures and its Associate (collectively referred as the "Group") on the basis set out in sections (b) to (f) below. The financial statements of the companies included in the scope of consolidation have been prepared as of the date of the consolidated financial statements and are based on the statutory records, which are maintained under the historical cost convention (except for the statutory revaluation of property, plant and equipment as discussed in Note 17), with adjustments and reclassifications including restatement for changes in the general purchasing power of the Turkish lira, for the purpose of fair presentations in accordance with IAS and applying uniform accounting policies and presentation.
- b) Koçbank A.Ş. ("Koçbank"), the banking subsidiary of the Group, and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001 due to some regulatory restrictions imposed by the Banking Regulation and Supervision Agency ("BRSA"). Under the terms of the recapitalization programme issued by the BRSA, Turkish banking companies are prohibited from the publication of financial statements before the finalization of this process. Consequently, Koç Holding Management was not able to include the financial statements of these subsidiaries at 31 December 2001 and was thus precluded from preparing consolidated financial statements in accordance with IAS. Koçbank is significant to the consolidated financial position and consolidated net results of the Group. Koçbank and its four subsidiaries constituted 43% of the Group's total assets before consolidation adjustments and 7% of net assets before consolidation adjustments at 31 December 2000. Therefore, these consolidated financial statements are not intended to and do not present the consolidated financial position and results of the Group in accordance with International Accounting Standards.
- c) Subsidiaries are companies over which Koç Holding has power to control the financial and operating policies for the benefit of Koç Holding, either (a) through the power to exercise more than 50% voting rights relating to shares in the companies as a result of shares owned directly and indirectly by itself, and/or as a result of agreements by certain Koç family members and companies whereby Koç Holding exercises control over the voting rights of (but does not have the economic benefit of) the shares held by them; or (b) although not having the power to exercise more than 50% of the voting rights, otherwise has power to exercise control over the financial and operating policies.

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NOTE 3 - GROUP ACCOUNTING (Continued)

The table below sets out all Subsidiaries included in the scope of consolidation in 2001 and shows their shareholding structure at 31 December 2001:

Subsidiary	Direct and indirect control by Koç Holding and its Subsidiaries (%)	Control through shares held by Koç family members (%)	Total controlling interest (%)
Beldesani	79.13	14.28	93.41
Beldeyama	63.30	16.70	80.00
Birmot	99.10	0.87	99.97
Döktaş	51.10	2.57	53.67
İstanbul Fruehauf	62.13	12.77	74.90
Mako	40.00	1.00	41.00 (*)
Otokar	42.85	2.92	45.77 (*)
Otokoç	99.10	0.87	99.97
Otomotiv Lastikleri	46.42	31.21	77.63
Otoyol Pazarlama	40.00	15.54	55.54
Otoyol	60.00	7.76	67.76
Sherbrook	19.23	60.77	80.00
Tekersan	51.28	3.10	54.38
Trakmak	39.38	17.34	56.72
Türk Traktor	62.50	-	62.50
Arçelik	39.14	13.54	52.68
Artesis	25.44	8.80	34.24 (*)
Beko Elektronik	46.47	15.01	61.48
Beko Polska	34.46	22.15	56.61
Beko Ticaret	39.00	59.15	98.15
Beko Espana	27.69	30.61	58.30
Beko UK	11.74	73.43	85.17
TDDF	46.30	28.05	74.35
Tunusdan	38.08	29.10	67.18
Aygaz	40.68	11.71	52.39
Bursa Gaz	65.78	25.20	90.98
Entek	26.57	4.88	31.45 (*)
Lipet	32.50	28.47	60.97
Mogaz	40.68	11.71	52.39
Zinerji	62.91	37.09	100.00
Koç Finans	64.62	13.68	78.30
Koçlease	47.84	35.86	83.70
Koç Allianz Hayat	42.70	8.30	51.00
Koç Allianz Sigorta	43.41	3.68	47.09 (*)
Koç Finansal Hizmetler	13.36	86.64	100.00
Maret	33.83	14.22	48.05 (*)
Pastavilla	46.91	36.42	83.33
Sek	59.33	4.86	64.19
Tat Konserve	46.35	15.70	62.05
Tat Tohumculuk	16.91	6.94	23.85 (*)
Düzey	31.67	58.84	90.51
Ayvalık Marina	48.61	-	48.61 (*)
Bozkurt	73.92	26.08	100.00
İ.D.E.A.	82.64	1.86	84.50

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NOTE 3 - GROUP ACCOUNTING (Continued)

<u>Subsidiary</u>	<u>Direct and indirect control by Koç Holding and its Subsidiaries (%)</u>	<u>Control through shares held by Koç family members (%)</u>	<u>Total controlling interest (%)</u>
İzocam	20.36	41.72	62.08
Kav Danışmanlık	18.98	37.41	56.39
Koç Sistem	41.14	50.70	91.84
Koçnet	86.06	13.94	100.00 (**)
Koçtaş	43.18	46.34	89.52
Mares	38.35	36.10	74.45
RMK Marine	55.04	44.96	100.00
Ram Dış Ticaret	42.56	27.58	70.14
Beko France	19.55	6.76	26.31 (*)
Ram Pacific	36.01	23.34	59.35
Migros	0.25	50.38	50.63
Ramstore Azerbaijan	0.20	79.55	79.75
Ramstore Bulgaria	0.25	50.38	50.63 (**)
Rambutya	0.13	50.87	51.00
Tütaş	45.57	30.11	75.68
Turyat	46.54	53.19	99.73
Setoto-Avis	49.89	50.11	100.00
Tek-iz	4.56	48.44	53.00 (**)

(*) The controlling interest in these subsidiaries is less than 50%; however, Koç Holding has power to exercise control over financial and operating policies of these companies.

(**) These subsidiaries were among the investments of Koç Holding at 31 December 2000, and have been included in the scope of consolidation at 31 December 2001 on the grounds of their increased materiality.

The balance sheets and statements of income of the Subsidiaries are consolidated on a line-by-line basis and the carrying value of the investment held by Koç Holding and its Subsidiaries is eliminated against the related shareholders' equity. Intercompany transactions and balances between Koç Holding and its Subsidiaries are eliminated on consolidation. The cost of, and the dividends arising from, shares held by Koç Holding in its Subsidiaries are eliminated from shareholders' equity and income for the year, respectively.

Subsidiaries are consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases. Where necessary, accounting policies for Subsidiaries have been changed to ensure consistency with the policies adopted by the Group.

- c) Joint Ventures are companies in respect of which there are contractual arrangements through which an economic activity is undertaken subject to joint control by Koç Holding and one or more other parties. Koç Holding exercises such joint control through the power to exercise voting rights relating to shares in the companies as a result of shares owned directly and indirectly by itself and/or as a result of written agreements by certain Koç family members and companies, whereby Koç Holding exercises control over the voting rights of (but does not have the economic benefit of) the shares held by them. The Group's interest in Joint Ventures is accounted for by way of proportionate consolidation. According to this method the Group includes its share of the assets, liabilities, income and expenses of each Joint Venture in the relevant components of the financial statements.

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NOTE 3 - GROUP ACCOUNTING (Continued)

The table below sets out the Joint Ventures and shows their shareholding structure at 31 December 2001:

Name	Group's share i.e. direct and indirect interest by Koç Holding and its Subsidiaries (%)	Interest through shares held by Koç family members (%)	Total controlling interest (%)
Sachs Beldesan	39.56	7.12	46.68
Tofaş	37.59	0.50	38.09
Ford Otosan	38.01	3.02	41.03
Arçelik LG Klima	22.61	27.39	50.00
BOS	21.81	28.19	50.00
Fiat Finans	44.69	5.31	50.00
Kofisa Trading	50.00	-	50.00
Ultra Kablo	26.72	10.52	37.24
Koçtaş Yapı Market	35.66	0.14	35.80
Garanti Balfour	40.75	8.42	49.17
Ramenka	0.13	49.87	50.00

- d) Available-for-sale investments, in which Koç Holding and its Subsidiaries, together with Koç family members, have controlling interests above 20% except for the investment in the associated undertaking Takosan Otomobil Göstergeleri Sanayii ve Ticaret A.Ş. ("Takosan"), over which either the Holding does not exercise a significant influence or which are immaterial and that do not have quoted market prices in active markets and whose fair values cannot be reliably measured, are carried at cost and restated to the equivalent purchasing power at 31 December 2001 less any provision for diminution in value (Note 15).

Investment in Takosan is accounted for by the equity method of accounting (Note 16).

Available-for-sale investments, in which Koç Holding and its Subsidiaries, together with Koç family members, have controlling interests below 20%, or over which the Holding does not exercise a significant influence and that have quoted market prices in active markets and whose fair values can be reliably measured, are carried at fair value.

- e) The results of foreign Subsidiaries and Joint Ventures are translated into Turkish lira at the average rate for the period (except for foreign subsidiaries and joint-ventures reporting in the currency of a hyperinflationary economy, for which closing rates are used). The assets and liabilities of foreign undertakings of the Group are translated into Turkish lira at the closing rate for the year. Exchange differences arising on retranslation of the opening net assets of foreign Subsidiaries and Joint Ventures and differences between the average and year-end rates are included in reserves.
- f) The minority shareholders' share in the net assets and results for the year for Subsidiaries are separately classified in the consolidated balance sheet and statement of loss as minority interest.

Certain Koç family members and companies controlled by them who are shareholders of Koç Holding A.Ş. have interests in the share capital of certain Subsidiaries. In the consolidated financial statements their interests are treated as minority interest and are not included in the Group's net assets and profits attributable to shareholders of Koç Holding A.Ş.

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NOTE 4 - SUMMARY OF OTHER SIGNIFICANT ACCOUNTING POLICIES

Where necessary, accounting policies for Subsidiaries and Joint Ventures have been changed to ensure consistency with the policies adopted by the Group. The significant accounting policies, other than Group accounting which is described in Note 3, followed in the preparation of the consolidated financial statements are summarised below:

a) Related parties

For the purpose of these consolidated financial statements, shareholders, key management personnel and Board members, in each case together with their families and companies controlled by or affiliated with them, investments and joint venture partners are considered and referred to as related parties. A number of transactions are entered into with related parties in the normal course of business. These transactions were priced predominantly at market rates (Note 12).

b) Investments

At 1 January 2001, Koç Holding and its Subsidiaries, Joint Ventures and Associate adopted IAS 39 and classified their investments into the following categories: trading, held-to-maturity and available-for-sale. Investments that are acquired principally for the purpose of generating a profit from short-term fluctuations in price are classified as trading investments and included in current assets. Investments with fixed maturity that the management has the intent and ability to hold to maturity are classified as held-to-maturity. Investments intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale; these are included in non-current assets unless management has the express intention of holding the investment for less than 12 months from the balance sheet date or unless they will need to be sold to raise operating capital, in which case they are included in current assets. Management determines the appropriate classification of its investments at the time of the purchase and re-evaluates such designation on a regular basis.

All purchases and sales of investments are recognised on the trade date, which is the date that the Group commits to purchase or sell the asset. Cost of purchase includes transaction costs. Trading investments and available-for-sale investments that have quoted market prices in active markets and whose fair values can be reliably measured are subsequently carried at fair value, whilst held-to-maturity investments are carried at amortised cost using the effective yield method. Available-for-sale investments that do not have quoted market prices in active markets and whose fair values cannot be reliably measured are stated at cost and restated to the equivalent purchasing power at 31 December 2001. Realised and unrealised gains and losses arising from changes in the fair value of trading investments and of available-for-sale investments are included in the statement of income in the period which they arise.

Prior to the adoption of IAS 39, the Group recorded its marketable securities at fair value.

c) Trade receivables

Trade receivables that are created by the Group by way of providing goods or services directly to a debtor are carried at amortised cost. Short duration receivables with no stated interest rate are measured at original invoice amount unless the effect of imputing interest is significant.

A credit risk provision for trade receivables is established if there is objective evidence that the Group will not be able to collect all amounts due. The amount of the provision is the difference between the carrying amount and the recoverable amount, being the present value of all cash flows, including amounts recoverable from guarantees and collateral, discounted based on the original effective interest rate of the originated receivables at inception.

If the amount of the impairment subsequently decreases due to an event occurring after the write-down, the release of the provision is credited to other income.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

d) Loans originated by the Group and provisions for loan impairment

Loans originated by the Group by providing money directly to a borrower, other than those that are originated with the intent to be sold immediately or in the short term, are classified as loans originated by the Group. All loans are recognized when cash is advanced to the borrowers and measured at amortized cost.

When the loan is originated by the Group by providing money directly to a bank, the loan is secured with marketable securities, Turkish government bonds and treasury bills, acquired under reverse repurchase agreements with banks with a predetermined sale price at fixed future dates and is stated at amortised cost. The accrued interest represents the apportionment to the current period of the difference between future sale prices and the amount provided by the Group. Such originated loans where original maturity at the time the money is directly transferred to the bank is less than three months, are considered and classified as cash equivalents for the purposes of cash flow statements.

Loans originated by the Group that have a fixed maturity are measured at amortized cost using the effective interest rate method.

A credit risk provision for loan impairment is established if there is objective evidence that the Group will not be able to collect all amounts due. The amount of the provision is the difference between the carrying amount and the recoverable amount, being the present value of all cash flows, including amounts recoverable from guarantees and collateral, discounted based on the original effective interest rate of the originated loan at inception.

If the amount of the impairment subsequently decreases due to an event occurring after the write-down, the release of the provision is credited to the bad and doubtful debt expense.

e) Factoring receivables / Factoring fees and commissions

Factoring receivables represent the advance payments made to customers. The invoices of factoring services are issued at the date of advance payment or in the collection period.

Factoring fees represent interest charges at each period/month-end from the date on which advances are extended against the factored receivable to the date on which such factored receivables are collected. Factoring commissions represent the upfront charge to the customer to cover services rendered and collection expenses incurred. Factoring fees and commissions are accounted under the finance segment revenue in the consolidated financial statements.

f) Credit finance income/charges

Credit finance income/charges represent imputed finance charges on credit sales and purchases. Such income/charges are recognised on a straight-line basis over the period of credit sales and purchases, and included under financial income and expenses (Note 32).

g) Inventories

Inventories are valued at the lower of cost, restated to equivalent purchasing power at 31 December 2001 or net realisable value. Cost elements included in inventories are materials, labour and an appropriate amount of factory overheads (based on normal operating capacities). The cost of inventories is determined on the weighted average basis. Net realisable value is the estimated selling price in the ordinary course of business, less the costs of completion and selling expenses (Note 13).

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NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

h) Investment property

Land and buildings that are held to earn rentals or for capital appreciation or both rather than for use in the production or supply of goods or services or for administrative purposes or sale in the ordinary course of business are classified as investment property and carried at cost less accumulated depreciation (except land) under the cost method (Note 19).

i) Property, plant and equipment and related depreciation

Property, plant and equipment are carried at cost less accumulated depreciation in each case restated to equivalent purchasing power at 31 December 2001. Depreciation is provided on the restated amounts for property, plant and equipment on a straight-line basis. The depreciation periods for property, plant and equipment, which approximate the economic useful lives of such assets, are as follows:

	Years
Land improvements	4-33
Buildings	25-50
Machinery and equipment	4-20
Motor vehicles	4-10
Furniture and fixtures	4-16
Leasehold improvements	Over period of lease

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains or losses on disposals of property, plant and equipment are determined by comparing proceeds with their restated amounts and are included in the related income and expense accounts, as appropriate (Note 17).

j) Leases

(1) The Group as the lessee

Leases of property, plant and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased property or the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in other long-term payables. The interest element of the finance cost is charged to the income statement over the lease period. The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset or the lease term.

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

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NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

(2) The Group as the lessor

Finance leases

When assets are leased out under a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method, which reflects a constant periodic rate of return.

Operating leases

Assets leased out under operating leases are included in property, plant and equipment in the balance sheet. They are depreciated over their expected useful lives on a basis consistent with similar owned property, plant and equipment. Rental income (net of any incentives given to lessees) is recognised on a straight-line basis over the lease term.

k) Intangible assets including goodwill

Goodwill arising on consolidation, which represents the difference between the acquisition price and the attributable share of Koç Holding and its Subsidiaries in the fair value of the underlying net assets of the company acquired, is capitalised and amortised. Goodwill is amortised using the straight-line method over its estimated useful life, generally 5 to 20 years, and is included in intangible assets. The carrying value of goodwill is reviewed annually and adjusted for permanent impairment where it is considered necessary (Note 18).

Other intangible assets comprise acquired intellectual property, trademarks and other identified rights. They are recorded at acquisition cost and amortised on a straight-line basis over their estimated useful lives for a period not exceeding 10 years from date of acquisition (Note 18). Where an indication of impairment exists, the carrying amount of any intangible assets including goodwill is assessed and written down immediately to its recoverable amount.

l) Deferred income taxes

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values in the consolidated financial statements. Currently enacted tax rates are used to determine deferred income tax. When different tax rates apply to different levels of taxable income, an average tax rate is used for measuring deferred tax liabilities and assets.

The principal temporary differences arise from the restatement of property, plant and equipment and inventory over their historical cost, unused tax credits, provision for employment termination benefits and carry forward tax losses.

Deferred tax liabilities are recognised for all taxable temporary differences, whereas deferred tax assets resulting from deductible temporary differences are recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary difference can be utilised.

Deferred tax assets and deferred tax liabilities related to income taxes levied by the same taxation authority are offset accordingly.

m) Bonds issued

Floating rate coupon bonds issued are stated at nominal values less discounts representing the principal obligation of the Group. Their interest, which is the annual change in the WPI plus a spread, is paid per annum. Such interest relating to bonds issued is accrued monthly based on the WPI estimates of management. Companies have the option of redeeming the bonds issued one month before their maturity (Note 28).

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NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

n) **Asset backed securities**

Asset backed securities represent discount bonds issued that are pledged against certain assets, mainly loans. They are stated at cost and the financing costs incurred at the balance sheet date are accounted for under "other current liabilities" on the balance sheet.

o) **Employment termination benefits**

Employment termination benefits represent the value of the estimated total reserve of the future probable obligation of the Group arising from the retirement of the employees calculated in accordance with the Turkish Labour Law (Note 29).

p) **Deposits taken with respect to liquid petroleum gas ("LPG") cylinders**

LPG cylinders are deposited with vendors. These cylinders are included in property, plant and equipment and the related deposits are stated as payable to vendors. Deposits are paid back to the vendors in the original amount upon the return of the LPG cylinders (Note 26).

q) **Foreign currency transactions and translation reserve**

Income and expenses arising in foreign currencies have been translated at the exchange rates prevailing at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies have been translated into Turkish lira at the exchange rates prevailing at the balance sheet dates. Exchange gains or losses arising from settlement and translation of foreign currency items have been included in the consolidated statement of income.

The results of the Group's foreign undertakings are translated into Turkish lira at the average rate for the period except for foreign subsidiaries and joint-ventures reporting in the currency of a hyperinflationary economy, for which closing rates are applied to local currency amounts. The assets and liabilities of the Group's foreign undertakings are translated into Turkish lira at the closing rate for the year. Exchange differences arising on retranslation of the opening net assets of foreign undertakings and differences between the average and year-end rates are included in translation reserve.

r) **Provisions**

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate of the amount can be made.

s) **Revenue recognition**

Finance

Banking

Interest income is recorded on an accrual basis. Interest is suspended where due but not received on loans and advances in arrears where, in the opinion of management, recovery is doubtful. The amounts suspended, less recoveries of amounts suspended in prior years, are excluded from interest receivable on loans and advances.

Commission income and fees for various banking services are recorded as income at the date when the transactions to which they relate are affected.

Insurance

A provision for unearned premiums is set up in respect of in-force policies for which the premium period extends beyond the accounting period. Unearned premiums are determined from premiums written during the year, less reinsurance, on the basis that premiums are written on the middle day of each month (Note 24).

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NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

1) Life

Premium income represents premiums accrued on policies issued during the year, as adjusted by the reserve for unearned premiums for annual life policies.

2) Non-life

Premium income represents premiums on policies written during the year, net of taxes and cancellations, as adjusted by the reserve for unearned premiums.

Other Segments

Revenues are recognised on an accrual basis at the time deliveries or acceptances are made, at the invoiced values for Subsidiaries operating in the automotive, consumer durables, food and retailing, energy and other segments. Net sales represent the invoiced value of goods shipped less sales returns and commission, and excluding sales taxes.

Other revenues earned by the Group are recognised on the following bases:

Royalty and rental income-on an accrual basis.

Interest income-on an effective yield basis.

Dividend income-when the Group's right to receive payment is established.

t) Recognition of revenue and costs relating to construction contracts

Revenue and costs associated with construction contracts are recognised as revenue and expenses respectively by reference to the stage of completion of the contract activity at the balance sheet date when the outcome of the contract is estimated reliably. Any expected loss on the construction contract is recognised as an expense immediately.

Revenue from construction contracts is recognised on the percentage of completion method measured by the proportion that costs incurred to date bear to the estimated total costs of the contract.

u) Insurance reserves

Life assurance provision

Subsidiaries dealing in life assurance are required to establish benefit reserves which in the aggregate must be sufficient to provide for future guaranteed benefits as they become due. The life assurance provision is based on the level of premiums (as adjusted by commission), and administrative expenses and risk premiums that are computed on the basis of worldwide actuarial mortality assumptions applicable for Turkish insurance companies as approved by the Insurance Supervisory Office. The life assurance provision also takes account of the net rate of return on investments.

Claims and claim provisions

Non-life insurance claims are recorded in the period in which they occur, based on reported claims or on the basis of estimates when not reported. Differences between estimates at the end of successive accounting periods are recognised in claims expenses for the periods in which these differences are identified.

Full provision is made for outstanding claims, including claim settlements, reported at year-end.

Incurred but not reported ("IBNR") claims are included under claim provisions.

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(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Equalisation provision

An equalisation provision is booked to equalise fluctuations in loss ratios defined as a trend of past experiences, based on the assumption that deviation from the trend would exhibit risk, or to provide for special risks.

Subsidiaries in the insurance segment book as an equalisation provision, the portion of the net conserved premiums specified by Turkish insurance regulations for the fire and engineering branches against earthquake risks.

v) Share capital and dividends

Ordinary shares are classified as equity. Pro-rata capital increases to existing shareholders are accounted for at par value as approved. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

w) Research and development costs

Research and development costs are recognised and expensed in the statement of income in the period in which they are incurred.

x) Licence fees

Licence fees paid to joint venture partners for certain products are recognised in accordance with the substance of the agreement and expensed over the useful life of the agreement, which is estimated by management to be five years.

y) Warranties

Warranty costs are recorded at amounts estimated by management based on relevant past experience.

z) Government grants

Turkish government investment grants in the form of Resource Utilisation Support Premium ("RUSP") are accounted for on an accrual basis for estimated amounts expected to be realised under grant claims filed by the Group. These grants are accounted for as deferred income and amortised over the depreciation period of the relevant assets on a straight-line basis (Note 34).

aa) Borrowing costs

Borrowing costs are charged to the statement of income as they are incurred and recognised initially at the proceeds received, net of transaction costs incurred. In subsequent periods, borrowings are stated at amortised cost using the effective yield method; any difference between proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings.

ab) Cash and cash equivalents

Cash and cash equivalents are carried in the balance sheet at amortised cost (Note 6).

KOÇ HOLDİNG A.Ş.**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31 DECEMBER 2001**

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Analysis of cash and cash equivalents included in the consolidated statements of cash flows for the years ended 31 December is as follows:

	2001	2000
Changes in reserves and provisions:		
Changes in deferred taxes	(2,499)	(15,301)
Changes in warranty provision	3,152	1,690
Changes in provision for employment termination benefits	(24,631)	4,677
Changes in insurance reserves	(30,863)	64,875
	(54,841)	55,941
Add back net interest income:		
Non-finance segment interest income	(796,167)	(840,832)
Finance segment interest income	(442,054)	(1,222,171)
Non-finance segment interest expenses	698,882	473,452
Finance segment interest expenses	133,605	723,996
	(405,734)	(865,555)
Changes in non-finance segment working capital:		
Inventories	187,431	(229,766)
Trade receivables	808,121	(534,272)
Other assets	137,552	(35,147)
Trade payables	(364,292)	520,108
Other liabilities	(433,437)	62,906
Balances with related parties	(80,359)	114,717
Current investments	(14,922)	-
	240,094	(101,454)
Changes in finance segment working capital:		
Banking segment investments		
with maturities over three months	2,013,398	(86,815)
Reserve deposits with Central Bank	185,660	(32,258)
Banking loans: current portion	2,059,763	(839,638)
Consumer loans: current portion	65,566	(56,118)
Minimum lease payments receivable	(21,480)	(6,212)
Banking loans: non-current portion	385,431	(194,888)
Consumer loans: non-current portion	154,067	(175,683)
Banking customer deposits	(3,545,297)	748,078
	1,297,108	(643,534)
Changes in other non-current asset and liabilities:		
Changes in other non-current assets	(36,874)	(176,808)
Changes in other non-current liabilities	(27,426)	14,483
	(64,300)	(162,325)

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

ac) Accounting for derivative financial instruments, embedded derivatives and hedging activities

Derivative financial instruments are initially recognised in the balance sheet at cost and subsequently are remeasured at their fair value. The method of recognising the resulting gain or loss is dependent on the nature of the item being hedged. On the date a derivative contract is entered into, the Group designates certain derivatives as either (1) a hedge of the fair value of a recognised asset or liability (fair value hedge) or (2) a hedge of a forecasted transaction or of a firm commitment (cash flow hedge).

Changes in the fair value of derivatives that are designated as being and qualify as cash flow hedges and that are highly effective, are recognised in equity as cash flow hedge reserve. Where the forecasted transaction or firm commitment results in the recognition of an asset or of a liability, the gains and losses previously booked under equity are transferred from equity and included in the initial measurement of the cost of the asset or liability. Otherwise, amounts booked under equity are transferred to the statement of income and classified as revenue or expense in the period in which the hedged firm commitment or forecasted transaction affects the statement of income.

When a hedging instrument expires or is sold, or when a hedge no longer meets the criteria for hedge accounting under IAS 39, any cumulative gain or loss existing in equity at that time remains in equity and is recognised when the committed or forecasted transaction ultimately is recognised in the statement of income. However, if a committed or forecasted transaction is no longer expected to occur, the cumulative gain or loss that was reported in equity is immediately transferred to the statement of income.

Derivative instruments embedded in a purchase or sales contract that requires payments denominated in (i) a currency other than the currency of the primary economic environment in which any substantial party to that contract operates, or (ii) the currency other than the currency in which the price of the related good or service that is acquired or delivered is routinely denominated in international commerce, are treated as embedded foreign currency forward contracts.

ad) Financial instruments and financial risk management

The Group's activities expose it to a variety of financial risks, including the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Group.

Risk management is carried out by individual Subsidiaries and Joint Ventures under policies approved by their Board of Directors.

Interest rate risk

The Group is exposed to interest rate risk through the impact of rate changes on interest bearing liabilities and assets. These exposures are managed by using natural hedges that arise from offsetting interest rate sensitive assets and liabilities.

Funding risk

The ability to fund the existing and prospective debt requirements is managed by maintaining the availability of adequate committed funding lines from high quality lenders.

Credit risk

Ownership of financial assets involves the risk that counterparties may be unable to meet the terms of their agreements. These risks are monitored by credit ratings and by limiting the aggregate risk to any individual counterparty. The credit risk is generally highly diversified due to the large number of entities comprising the customer bases and their dispersion across many different industries.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Foreign currency risk

The Group is exposed to the foreign currency risk through the impact of rate changes on the translation of foreign currency denominated liabilities to local currency. These risks are monitored and limited by analysis of the foreign currency position.

Fair value of financial instruments

Fair value is the amount at which a financial instrument could be exchanged in a current transaction between willing parties, other than in a forced sale or liquidation, and is best evidenced by a quoted market price, if one exists.

The estimated fair values of financial instruments have been determined by Koç Holding and its Subsidiaries and Joint Ventures using available market information and appropriate valuation methodologies. However, judgement is necessarily required to interpret market data to estimate the fair value. Accordingly, the estimates presented herein are not necessarily indicative of the amounts the Group could realise in a current market exchange.

The following methods and assumptions were used to estimate the fair value of the financial instruments for which it is practicable to estimate fair value:

Monetary assets

The fair values of balances denominated in foreign currencies, which are translated at year-end exchange rates, are considered to approximate carrying value.

The fair values of certain financial assets carried at cost, including cash and amounts due from banks, deposits with banks, and marketable securities plus the respective accrued interest are considered to approximate their respective carrying values due to their short-term nature and negligible credit losses.

The fair values of loans and consumer loans are also considered to approximate carrying values and the fair value of the loan portfolio is estimated by assessing the risk components of the portfolio.

The carrying values of trade receivables along with the related allowances for uncollectability are estimated to be their fair values.

The fair values of marketable securities, which have been determined by reference to market value, approximate carrying values.

Monetary liabilities

The fair values of customer deposits, funds borrowed and other monetary liabilities are considered to approximate their respective carrying values due to their short-term nature.

Trading liabilities, derivatives and foreign exchange instruments have been estimated at their fair values.

Long-term borrowings which are denominated in foreign currencies at variable rates are translated at year-end exchange rates and accordingly their fair values approximate their carrying values. The carrying values of long-term borrowings in Turkish lira along with the related accrued interest are estimated to be their fair values.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 4 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

ae) Earnings per share

Earnings per share disclosed in the consolidated statement of income are determined by dividing net profit by the weighted average number of shares in existence during the year concerned.

In Turkey, companies can increase their share capital by making a pro-rata distribution of shares ("bonus shares") to existing shareholders from retained earnings and revaluation surplus (Note 17). For the purpose of earnings per share computations, the weighted average number of shares in existence during the year has been adjusted in respect of bonus share issues without a corresponding change in resources, by giving them retroactive effect for the year in which they were issued and each earlier year. Bonus shares issued during the year were as follows:

Year	Number of shares issued attributable to transfers to share capital from:		
	Retained earnings	Revaluation surplus	Total
2001	125,107,199	9,243,783,411	9,368,890,610
2000	101,106,579	9,243,358,602	9,344,465,181

There was no difference between basic and diluted earnings per share for any class of shares for any of these years.

af) Offsetting

Financial assets and liabilities are offset and the net amount is reported in the consolidated balance sheet when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

ag) Legal mergers

Legal merger arise due to the Group's restructuring activities. They represent transactions between subsidiaries of the Group and are not dealt with in accordance with IAS 22 "Business Combinations".

Consequently, there is no recognition of any new goodwill or negative goodwill. Similarly, the effects of all transactions between the legally merged enterprises, whether occurring before or after the legal merger, are eliminated in preparing the consolidated financial statements (Note 37).

ah) Comparatives

Where necessary, comparative figures are reclassified to conform with changes in presentation in the current year so that the reclassification will result in a more appropriate presentation of events or transactions.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 5 - SEGMENT INFORMATION

Koçbank A.Ş. ("Koçbank"), the banking subsidiary of the Group, and four other subsidiaries in the finance segment (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001 due to some regulatory restrictions imposed by the Banking Regulation and Supervision Agency ("BRSA"). Under the terms of the recapitalization programme issued by the BRSA, Turkish banking companies are prohibited from the publication of financial statements before the finalization of this process. Consequently, Koç Holding Management was not able to include the financial statements of these subsidiaries at 31 December 2001.

a) External revenues

	2001	2000
Automotive	1,431,423	2,421,197
Consumer durable	1,098,814	1,963,324
Food and retailing	1,388,553	783,564
Finance	442,054	1,170,809
Energy	1,281,211	833,459
Other	1,413,580	1,164,231
	7,055,635	8,336,584

b) Operating profit

	2001	2000
Automotive	(53,429)	133,152
Consumer durable	49,132	166,649
Food and retailing	19,496	25,017
Finance	(125,663)	276,823
Energy	90,102	78,479
Other	(23,237)	6,352
	(43,599)	686,472

KOÇ HOLDING A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 5 - SEGMENT INFORMATION (Continued)

c) Segmental analysis for the year ended 31 December 2001

	Finance								Inter segment elimination	Total
	Automotive	Consumer durable	Food and retailing	Banking	Insurance	Consumer finance	Intra sub-segment	Total finance		
External revenues	1,431,423	1,098,814	1,388,553	-	135,565	306,489	-	442,054	1,281,211	7,055,635
Intra segment revenues	291,967	262,556	164,287	-	-	2,728	-	2,728	73,633	940,548
Inter segment revenues	130,147	912,006	31,622	-	16,119	11,538	-	27,657	64,497	1,595,117
Combined revenues	1,853,537	2,273,376	1,584,462	-	151,684	320,755	-	472,439	1,419,341	9,591,300
External revenues	1,431,423	1,098,814	1,388,553	-	135,565	306,489	-	442,054	1,281,211	7,055,635
Inter segment revenues	130,147	912,006	31,622	-	16,119	11,538	-	27,657	64,497	-
Revenues	1,561,570	2,010,820	1,420,175	-	151,684	318,027	-	469,711	1,345,708	7,055,635
Cost of sales	(1,400,029)	(1,500,673)	(1,102,039)	-	(136,333)	(425,187)	2,728	(558,792)	(1,157,292)	(5,784,654)
Gross profit	161,541	510,147	318,136	-	15,351	(107,160)	2,728	(89,081)	188,416	1,270,981
Administrative expenses	(104,459)	(295,155)	(236,776)	-	(5,420)	(14,182)	-	(19,603)	(50,503)	(860,300)
Sales and distribution expenses	(106,430)	(136,285)	(65,207)	-	-	-	-	-	(52,401)	(421,840)
Research and development expenses	(13,685)	(26,061)	(50)	-	-	-	-	-	-	(39,799)
Inter segment profit elimination	(63,033)	52,646	16,103	-	-	-	-	(108,684)	85,512	(50,958)
Operating profit	(53,429)	49,132	19,496	-	-	-	-	(125,663)	90,102	(43,599)

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NOTE 5 - SEGMENT INFORMATION (Continued)

Segmental analysis for the year ended 31 December 2000

	Finance								Inter segment elimination	Total
	Automotive	Consumer durable	Food and retailing	Banking	Insurance	Consumer finance	Intra sub-segment	Total finance		
External revenues	2,421,197	1,963,324	783,564	920,446	123,664	126,699	-	1,170,809	833,459	1,164,231
Intra segment revenues	916,089	625,812	176,066	6,189	755	209	-	7,153	80,671	143,741
Inter segment revenues	157,232	561,373	37,184	47,410	10,789	5,867	-	64,066	60,532	454,049
Combined revenues	3,494,518	3,150,509	996,814	974,045	135,208	132,775	-	1,242,028	974,662	1,762,021
External revenues	2,421,197	1,963,324	783,564	920,446	123,664	126,699	-	1,170,809	833,459	1,164,231
Inter segment revenues	157,232	561,373	37,184	47,410	10,789	5,867	-	64,066	60,532	454,049
Revenues	2,578,429	2,524,697	820,748	967,856	134,453	132,566	-	1,234,875	893,991	1,618,280
Cost of sales	(2,134,674)	(1,785,876)	(636,497)	(616,807)	(96,783)	(58,292)	9,881	(762,001)	(708,067)	(1,442,656)
Gross Profit	443,755	738,821	184,251	351,049	37,670	74,274	9,881	472,874	185,924	175,624
Administrative expenses	(198,118)	(184,299)	(113,812)	(197,538)	(44,762)	(1,752)	-	(244,052)	(51,631)	(131,853)
Sales and distribution expenses	(93,176)	(316,237)	(46,427)	-	-	-	-	-	(54,599)	(73,913)
Research and development expenses	(11,071)	(36,217)	(8)	-	-	-	-	-	-	(65)
Inter segment profit elimination	141,390	202,068	24,004	-	-	-	-	228,822	79,694	(30,207)
	(8,238)	(35,419)	1,013	-	-	-	-	48,001	(1,215)	36,559
Operating profit	133,152	166,649	25,017	-	-	-	-	276,823	78,479	6,352
										686,472

KOÇ HOLDİNG A.Ş.**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31 DECEMBER 2001**

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NOTE 5 - SEGMENT INFORMATION (Continued)**d) Segment assets employed**

	2001	2000
<u>Total assets</u>		
Automotive	1,622,525	2,271,137
Consumer durable	1,989,920	2,561,980
Food and retailing	1,020,130	1,130,702
Finance	1,089,089	7,034,087
Energy	861,849	963,330
Other	2,720,802	2,439,576
Total combined	9,304,315	16,400,812
Less: inter segment elimination	(2,552,963)	(3,506,705)
Total assets as per the consolidated financial statements	6,751,352	12,894,107
<u>Net assets</u>		
Automotive	1,051,354	1,286,070
Consumer durable	1,041,453	1,284,969
Food and retailing	509,185	518,591
Finance	328,185	588,163
Energy	480,197	501,199
Other	1,794,038	1,773,916
Total combined	5,204,412	5,952,908
Less: inter segment elimination	(3,371,814)	(4,019,606)
Shareholders' equity	1,832,598	1,933,302
Minority interest	1,431,414	1,880,414
Total net assets as per the consolidated financial statements	3,264,012	3,813,716

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NOTE 5 - SEGMENT INFORMATION (Continued)**e) Capital expenditures and depreciation**

	2001	2000
<u>Capital expenditures</u>		
Automotive	238,655	272,050
Consumer durable	108,638	201,124
Food and retailing	135,348	141,668
Finance	19,849	37,582
Energy	142,364	108,449
Other	112,551	43,487
	757,405	804,360
<u>Depreciation charge</u>		
Automotive	93,242	92,495
Consumer durable	110,178	119,445
Food and retailing	64,223	42,330
Finance	6,350	39,895
Energy	42,377	48,087
Other	32,017	25,896
	348,386	368,148

f) Minority interest

	2001			2000		
	Koç family members	Other	Total	Koç family members	Other	Total
Automotive	126,373	169,122	295,495	165,634	222,722	388,356
Consumer durable	193,288	275,473	468,761	254,438	366,657	621,095
Food and retailing	149,506	140,747	290,253	186,112	193,275	379,387
Finance	29,334	25,048	54,382	35,951	33,646	69,597
Energy	51,078	138,189	189,267	73,386	175,232	248,618
Other	92,509	40,747	133,256	108,685	64,676	173,361
	642,088	789,326	1,431,414	824,206	1,056,208	1,880,414

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 5 - SEGMENT INFORMATION (Continued)

Changes in minority interest during the year are as follows:

Year	1 January	Effect of adopting IAS 39	Increase in share capital	Increase in minority interest due to subsidiaries added to scope of consolidation	Increase/ (decrease) in minority interest due to subsidiaries excluded from scope of consolidation (Note 3.b)	Payments of dividends	Net income/(loss) attributable to minority interest	31 December
2000	1,606,734	-	97,800	125,915	8,900	(118,479)	159,544	1,880,414
2001	1,880,414	1,841	74,254	185,669	(420,717)	(96,052)	(193,995)	1,431,414

NOTE 6 - CASH AND CASH EQUIVALENTS

	2001			2000		
	Banking(*)	Other companies	Total	Banking	Other companies	Total
Cash in hand	-	48,208	48,208	48,860	20,998	69,858
Banks - demand deposits	-	164,383	164,383	127,840	59,953	187,793
- time deposits	-	569,961	569,961	-	297,824	297,824
- loan to banks	-	24,237	24,237	-	88,210	88,210
Short-term placements	-	-	-	757,138	-	757,138
	806,789	806,789	806,789	933,838	466,985	1,400,823

Time deposits are all short-term maturing within one year. At 31 December 2001 time deposits included foreign currency denominated balances of USD 229,586,688, EUR 63,582,704, GBP 2,829,391 (2000: USD 205,054,423, EUR 14,520,757, GBP 4,613,731, DM 5,263,509, FRF 18,234,100, CHF 73,596). The interest rates of foreign currency time deposits were between 2% and 12% p.a. (2000: 3%-18.5% p.a.).

Loan to banks consist of Turkish government bonds and treasury bills held for resale to banks under reverse repurchase agreements. These are all short-term with periods of less than three months. Weighted average interest rates are between 50-63% per annum (p.a.) (2000: 44-150% p.a.).

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently, notes to consolidated financial statements do not include balances of these subsidiaries at 31 December 2001.

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NOTE 7 - CURRENT INVESTMENTS**a) Held-for-trading**

	2001			2000		
	Banking(*)	Other companies	Total	Banking	Other companies	Total
Government bonds	-	79,614	79,614	307,773	651	308,424
Eurobonds	-	-	-	1,565	-	1,565
Treasury bills	-	4,104	4,104	58,451	-	58,451
Mutual funds	-	4,147	4,147	-	-	-
Other	-	83	83	866	-	866
Total cost	-	87,948	87,948	368,655	651	369,306
Unrealized value loss	-	(3,681)	(3,681)	-	-	-
Total	-	84,267	84,267	368,655	651	369,306

Analysis of held-for-trading investments by maturity at 31 December is as follows:

	2001	2000
Investment share certificates and investment funds	4,147	866
1-30 days	83	39
30-90 days	77,772	71,425
90-180 days	2,265	612
180 days-1 year	-	296,364
	84,267	369,306

Interest rates of treasury bills and government bonds held at 31 December 2001 are between 64% and 94% p.a. (2000: 16.20% and 100% p.a.). Interest rates of foreign-currency denominated held-for-trading investments held at 31 December 2001 are between 7% and 12% p.a. (2000: 5.25% and 17.08% p.a.).

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NOTE 7 - CURRENT INVESTMENTS (Continued)

b) Held-to-maturity investments

	2001			2000		
	Banking (*)	Other companies	Total	Banking	Other companies	Total
Treasury bills	-	7,935	7,935	-	-	-
Government bonds	-	2,806	2,806	-	10,489	10,489
Total	-	10,741	10,741	-	10,489	10,489

Interest rates of treasury bills and government bonds held at 31 December 2001 are between 64% and 94% p.a.

Analysis of held-to-maturity investments by maturity at 31 December is as follows:

	2001	2000
Investment share certificates and investment funds	-	-
1-30 days	256	-
30-90 days	3,423	-
90-180 days	5,283	-
180 days-1 year	1,779	10,489
Total	10,741	10,489

c) Available-for-sale investments

	2001			2000		
	Banking (*)	Other companies	Total	Banking	Other companies	Total
Marketable securities						
blocked	-	75,470	75,470	-	66,671	66,671
Treasury bills	-	69,078	69,078	233,487	81,814	315,301
Government bonds	-	51,157	51,157	204,675	143,489	348,164
Foreign currency bonds	-	24,941	24,941	-	5,877	5,877
Marketable securities in						
foreign currency	-	-	-	-	666	666
Eurobonds	-	-	-	23,229	118	23,347
Other	-	15,820	15,820	-	6,777	6,777
Total		236,466	236,466	461,391	305,412	766,803

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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NOTE 7 - CURRENT INVESTMENTS (Continued)

There are no securities pledged under repurchase agreements as of 31 December 2001 (2000: TL 1,010 billion).

Blocked marketable securities represent investments that the Subsidiaries in the insurance sector are required to deposit in a blocked account in favour of the Treasury and Foreign Trade Department within two months following the end of the year, based on year-end net premiums written.

At 31 December 2000, treasury bills and government bonds of TL 234,415 billion with a nominal value of TL 220,411 billion, DM 31,000,000 and USD 27,000,000 are deposited with the Central Bank of Turkey and the İstanbul Stock Exchange as security against interbank and capital market transactions.

Interest rates of treasury bills and government bonds held at 31 December 2001 are between 64% and 94% p.a. (2000: 16.20% and 100% p.a.). Interest rates of Eurobonds, foreign currency bonds and marketable securities in foreign currency held at 31 December 2001 are between 7% and 12% p.a. (2000: 5.25% and 17.08% p.a.).

Analysis of available-for-sale investments by maturity at 31 December is as follows:

	2001	2000
Investment share certificates and investment funds	15,821	21,161
1-30 days	28,868	78,006
30-90 days	43,363	149,364
90-180 days	80,595	49,355
180 days-1 year	67,819	468,917
	236,466	766,803

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently notes to consolidated financial statements do not include balances related to these subsidiaries at 31 December 2001.

NOTE 8 - RESERVE DEPOSITS WITH THE CENTRAL BANK OF TURKEY

	2001 (*)	2000
Reserve deposits	-	185,661

Reserve deposits represent the minimum deposits maintained with the Central Bank of Turkey, as required by the Turkish Banking Law, calculated on the basis of customer deposits taken at the rates determined by the Central Bank of Turkey.

According to the amendment to the Turkish Banking Law made by Law No. 4389 dated 23 June 1999, the Group is no longer required to keep government bonds funding legal reserves.

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently notes to consolidated financial statements do not include balances related to these subsidiaries at 31 December 2001.

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NOTE 9 - BANKING LOANS

	2001(*)			2000		
	Up to 1 year	Over 1 year	Total	Up to 1 year	Over 1 year	Total
Textile	-	-	-	554,241	77,733	631,974
Trade	-	-	-	208,584	22,413	230,997
Durable goods	-	-	-	162,310	28,279	190,589
Food and beverage	-	-	-	161,871	14,643	176,514
Mining	-	-	-	142,175	18,260	160,435
Construction	-	-	-	87,484	62,838	150,322
Tourism	-	-	-	60,769	22,000	82,769
Petrochemical	-	-	-	69,534	13,376	82,910
Financial institutions	-	-	-	37,853	23,096	60,949
Automotive	-	-	-	35,739	13,577	49,316
Other	-	-	-	561,910	89,216	651,126
Total	-	-	-	2,082,470	385,431	2,467,901
Overdue loans	-	-	-	25,169	-	25,169
Gross loans	-	-	-	2,107,639	385,431	2,493,070
Less: provision for loan losses	-	-	-	(47,874)	-	(47,874)
	-	-	-	2,059,765	385,431	2,445,196

There are no loans given to customers as of 31 December 2001. Loans given to customers as of 31 December 2000 are mainly short-term loans with weighted average interest rates of between 7-25% p.a. per annum for foreign currency denominated loans and 24-150% p.a. for TL loans.

Movements in the provision for loan losses during the years were as follows:

	2001 (*)	2000
Balance at beginning of year	-	47,465
Gross provisions	-	11,834
Recoveries	-	(11,425)
Net charge for the year	-	409
Balance at end of year	-	47,874

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently notes to consolidated financial statements do not include balances related to these subsidiaries at 31 December 2001.

KOÇ HOLDİNG A.Ş.**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS****31 DECEMBER 2001**

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 10 - CONSUMER LOANS

	2001			2000		
	Up to 1 year	Over 1 year	Total	Up to 1 year	Over 1 year	Total
Automotive sector loans	66,309	38,935	105,244	32,591	183,424	216,015
Durable goods sector loans	21,947	587	22,534	125,317	10,165	135,482
Loans in legal follow-up	13,027	-	13,027	5,209	-	5,209
Overdue loans	5,192	-	5,192	12,893	-	12,893
Other	4,578	-	4,578	-	-	-
Gross loans	111,053	39,522	150,575	176,010	193,589	369,599
Accrued interest receivable	1,923	-	1,923	-	-	-
Total amortised cost	112,976	39,522	152,498	176,010	193,589	369,599
Less: Provision for loan losses	(7,650)	-	(7,650)	(5,118)	-	(5,118)
Total loans-net	105,326	39,522	144,848	170,892	193,589	364,481

All loans are denominated in Turkish lira. Average interest rates of consumer loans vary between 2% and 6% per month (2000: 0%-6.95% per month) at 31 December 2001.

As at 31 December 2001 and 2000, foreign currency indexed loans amounted to TL 366 billion and TL 278 billion, respectively. The interest rates of foreign currency indexed TL loans were between 1.5%-1.6% in 2001 (2000: 1.3%-1.6%).

At 31 December, collaterals obtained with respect to consumer loans comprised the following:

	2001	2000
Pledge rights	114,355	242,192
Personnel guarantee	11,066	9,509
Letters of guarantee	4,179	1,460

Durable goods sector loans amounting to TL 22,534 billion (2000: TL 135,482 billion) are secured against the guarantee of retailers.

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NOTE 11 - TRADE RECEIVABLES

	2001	2000
Trade receivables - net of unearned credit finance income	564,336	1,108,998
Notes receivable - net of unearned credit finance income	428,356	626,565
Factoring receivables	11,178	47,925
Other	4,987	26,350
Trade receivables	1,008,857	1,809,838
Less: provision for doubtful receivables	(20,516)	(13,376)
Trade receivables, net	988,341	1,796,462

Concentrations of credit risk with respect to trade receivables are limited due to the Group's large number of customers, who are internationally dispersed, cover the spectrum of manufacturing and distribution and have a variety of end markets in which they sell. The Group's historical experience in collection of account receivable falls within the recorded allowances. Due to these factors, management believes that no additional credit risk beyond amounts provided for collection losses is inherent in the Group's trade receivables.

NOTE 12 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES

Due from related parties:

	2001	2000
Fiat Auto S.p.A. ("FIAT")	71,234	32,060
Interbrücke Beko Deutschland GmbH ("Interbrücke")	12,040	8,715
Iveco Fiat S.p.A. ("Iveco")	11,872	5,996
New Holland Trade NV	6,554	3,585
Koç Auto Invest LTD ("Koç Auto")	1,102	1,298
Ram Auto LTD	1,095	4,300
Other	20,209	12,943
	124,106	68,897

	2001	2000
<u>Due to related parties:</u>		
FIAT	64,289	68,882
Ford Motor Company Ltd. ("Ford")	28,180	20,537
Iveco	10,467	21,612
Allianz Versicherung AG	4,686	4,147
Allianz Aktiengesellschaft Holding ("Allianz")	3,057	3,927
Riunione Adriatica Di Sicurtà ("RAS")	2,462	6,258
Matay Otomotiv Yan Sanayi ve Ticaret A.Ş.	2,323	1,350
Other	12,414	26,317
	127,878	153,030

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NOTE 12 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES (Continued)

	2001	2000
<u>Service sales:</u>		
RAS	14,084	25,059
Koçbank	7,159	-
Other	4,328	15,893
	25,571	40,952
	2001	2000
<u>Product sales:</u>		
FIAT	414,376	111,240
Ford	40,357	-
Interbrücke	33,887	46,011
Demir Export A.Ş.	11,121	10,216
ED&F Man Sugar Ltd.	9,022	-
Koç Auto	7,875	-
Koçbank	7,259	-
Other	58,849	38,906
	582,746	206,373
	2001	2000
<u>Fixed asset sales:</u>		
Vehbi Koç Vakfı ("VKV")	-	17,256
Other	8	1,650
	8	18,906
Total sales to related parties	608,325	266,231

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NOTE 12 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES (Continued)

	2001	2000
<u>Product purchases:</u>		
FIAT	159,117	70,420
Matay	15,252	7,500
Magnetti Marelli S.p.A.	8,945	-
Iveco	8,081	14,826
Other	10,168	12,162
	201,563	104,908
	2001	2000
<u>Fixed asset purchases:</u>		
FIAT	1,354	-
Enka Holding A.Ş.	-	23,958
Other	2,183	3,131
	3,537	27,089
	2001	2000
<u>Service purchases:</u>		
RAS	17,005	29,235
Interbrücke	3,427	4,996
Koç Bryce Teknoloji Eğitim Hizmetleri A.Ş.	2,770	-
Kofisa Italy S.R.L.	1,736	1,007
VKV	1,680	1,060
Temel Ticaret ve Yatırım A.Ş.	1,012	2,669
Other	5,024	23,895
	32,654	62,862
Total purchases from related parties	237,754	194,859

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NOTE 12 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES (Continued)

Dividend income from equity investments for the year ended 31 December were as follows:

	2001	2000
Ram Sigorta Aracılık A.Ş.	123	119
Matay	85	47
Kumsan Döküm Malzemeleri ve Yan Sanayi A.Ş.	54	86
Other	22	-
	284	252

NOTE 13 - INVENTORIES

	2001	2000
Raw materials and supplies (at cost)	193,082	192,445
Raw materials and supplies (at net realisable value)	-	36,636
Work in progress (at cost)	54,152	54,871
Finished goods and merchandise (at cost)	294,943	444,227
Finished goods and merchandise (at net realisable value)	20,484	-
Spares, supplies and advances (at cost)	42,485	22,287
Goods-in-transit	44,210	106,806
	649,356	857,272

In 2001, the Group reversed TL 865 billion as part of an inventory write down made in 2000 that was subsequently not required.

NOTE 14 - OTHER CURRENT ASSETS

	2001	2000
Minimum lease payments receivable	98,547	77,067
Value added tax (VAT) receivable	71,961	67,199
Prepaid expenses	27,184	43,075
Receivable from oil stability fund (*)	14,686	45,027
Taxes and funds deductible	11,442	14,626
Deposits and other payments for imports	9,374	81,496
Advances given	5,714	3,930
Other	59,334	81,893
	298,242	414,313

(*) This balance is basically derived from the difference between the ceiling price of Tüpraş A.Ş. and sales prices of LPG import companies. This fund has been introduced with effect from 4 March 2000 based on decision No:2000/306 of the Council of Ministers.

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NOTE 15 - INVESTMENTS**a) Investments held-for-trading**

	2001			2000		
	Banking (*)	Other companies	Total	Banking	Other companies	Total
Government bonds	-	-	-	305,566	2,480	308,046
Treasury bills	-	-	-	81,187	-	81,187
Eurobonds	-	-	-	4,564	-	4,564
Total	-	-	-	391,317	2,480	393,797

b) Investments held-to-maturity

	2001			2000		
	Banking (*)	Other companies	Total	Banking	Other companies	Total
Government bonds	-	1,274	1,274	-	-	-
Other	-	770	770	-	657	657
Total	-	2,044	2,044	-	657	657

c) Available-for-sale investments

	2001	2000
Investments in subsidiaries excluded from scope of consolidation	545,067	51,418
Long-term interest-bearing securities	59,322	850,315
Investments in associates carried at cost	35,035	29,344
Other available-for-sale investments	31,071	26,786
Total	670,495	957,863

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NOTE 15 - INVESTMENTS (Continued)

Investment in subsidiaries excluded from scope of consolidation:

	2001		2000	
	TL billion	Shareholding (%)	TL billion	Shareholding (%)
Koçbank A.Ş.(*)	503,148	83.44	-	-
Koç Menkul Değerler A.Ş.	25,309	87.00	-	-
Ardutch BV	7,311	100.00	-	-
Ram Henkel Netherland BV	2,164	54.15	2,273	75.00
Sanal Merkez Ticaret A.Ş.	1,294	99.99	710	99.99
GVZ Ses Tanıma Teknolojileri Yazılım ve Hizmet A.Ş.	1,259	85.00	1,259	85.00
Ram Auto Netherland BV	1,219	100.00	1,219	100.00
Kumsan Döküm Malzemeleri Sanayi ve Tic. A.Ş.	1,131	50.09	1,131	50.09
Koç.Net Haberleşme Teknolojileri ve İletişim Hizmetleri A.Ş.(* *)	-	-	22,335	99.99
Ramstore Bulgaria A.D.(* *)	-	-	9,082	99.95
Other	7,243		13,409	
	550,078		51,418	
Less: Provision for diminution in value	(5,011)		-	
	545,067		51,418	

Long-term interest-bearing securities:

	2001			2000		
	Banking (*)	Other companies	Total	Banking	Other companies	Total
Marketable securities						
blocked	-	31,696	31,696	-	15,809	15,809
Eurobonds	-	12,136	12,136	244,506	10,787	255,293
Foreign currency bonds	-	7,418	7,418	-	5,930	5,930
Government bonds	-	-	-	224,569	25,790	250,359
Marketable securities in foreign currency	-	-	-	1,145	-	1,145
Treasury bills	-	-	-	308,705	-	308,705
Other	-	8,072	8,072	13,074	-	13,074
Total	-	59,322	59,322	791,999	58,316	850,315

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NOTE 15 - INVESTMENTS (Continued)

Investment in associates carried at cost:

	2001		2000	
	TL billion	Shareholding (%)	TL billion	Shareholding (%)
Basic Int. Investment Ltd.	8,496	48.00	14,243	67.50
Koç Ata Besi ve Tarım Ürünleri A.Ş.	8,273	49.50	4,869	49.50
Çeşme Altinyunus Tur. Tes. A.Ş.	7,602	30.00	7,537	30.00
Matay Otomotiv Yan San. ve Tic. A.Ş.	4,593	27.99	4,593	27.99
Tek Art Kalamış ve Fenerbahçe Marmara Tur. Tes. A.Ş.	2,964	29.06	2,980	29.26
Koç Ece Proje Yönetimi ve Ticaret A.Ş.	1,909	49.92	1,177	49.83
TNT Lojistik ve Dağıtım Hizmetleri A.Ş.	1,250	49.00	1,190	49.00
Other	2,341		1,362	
	37,428		37,951	
Less: provision for diminution in value	(933)		(8,607)	
Less: fair value loss	(1,460)		-	
	35,035		29,344	

Other available-for-sale investments:

	2001		2000	
	TL billion	Shareholding (%)	TL billion	Shareholding (%)
Goodyear Lastikleri T.A.Ş.	8,349	10.60	8,072	10.58
Samkocauto Ltd.	7,956	10.00	7,949	10.00
Metaş İzmir Metalurji Fabrikaları A.Ş.	3,612	0.41	3,612	0.41
T. İş Bankası A.Ş.	1,756	0.03	477	0.02
British American Tobacco Export BV	1,441	10.00	-	-
Hamoğlu Turizm ve Otelcilik A.Ş.	790	1.08	790	1.08
İstanbul Reasürans A.Ş.	469	1.01	469	1.01
Tam Sigorta A.Ş.	386	0.35	386	0.35
Tek-iz İzolasyon ve Yapı Elemanları Sanayi A.Ş.(**)	-	-	774	18.33
Other	7,092		7,920	
	31,851		30,449	
Less: provision for diminution in value	(1,285)		(3,663)	
Add: fair value gain	505		-	
	31,071		26,786	

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NOTE 15 - INVESTMENTS (Continued)

Available-for-sale investments except for Koçbank A.Ş. in which Koç Holding and its Subsidiaries, together with Koç family members, have attributable interests of 20% or more, which are either immaterial, or where a significant influence is not exercised by Koç Holding, are carried at cost less a provision for diminution in value and restated to equivalent purchasing power at 31 December 2001. These companies have neither been accounted for using the equity method nor consolidated line-by-line due to the insignificance of their combined impact on the net worth, financial position and results of Koç Holding.

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently, these subsidiaries were classified with available-for-sale investments at 31 December 2001.

(**) Koçnet Haberleşme Teknolojileri ve İletişim Hizmetleri A.Ş., Ramstore Bulgaria A.D. and Tek-İz İzolasyon ve Yapı Elemanları Sanayi A.Ş., which were among available-for-sale investments of the Koç Holding at 31 December 2000, have been considered as subsidiaries at 31 December 2001 on the grounds of increased materiality, and have been included in scope of consolidation.

Available-for-sale investments, except Çeşme Altinyunus Tur. Tes. A.Ş., Goodyear Lastikleri T.A.Ş., Karsan Otomotiv San. ve Tic. A.Ş. and Metaş İzmir Metalurji Fabrikaları A.Ş., that do not have a quoted market and whose fair values cannot be reliably measured are stated at cost and restated to the equivalent purchasing power at 31 December 2001.

For Çeşme Altinyunus Tur. Tes. A.Ş., Goodyear Lastikleri T.A.Ş., Karsan Otomotiv San. ve Tic. A.Ş. and Metaş İzmir Metalurji Fabrikaları A.Ş., which are traded in an active market, fair value is determined by reference to the İstanbul Stock Exchange quoted bid price at 31 December 2001.

NOTE 16 - INVESTMENT IN ASSOCIATED UNDERTAKING

The Group's investment in associate, Takosan Otomobil Göstergeleri Sanayii ve Ticaret A.Ş. ("Takosan"), amounted to TL 1,060 billion (2000: TL 1,601 billion) at 31 December 2001, is accounted for with the equity method as required by IAS 28 "Accounting for Investments in Associates". The Group's shareholding in Takosan is 27.42% (2000: 28.83%) and loss from the associate in the year ended 31 December 2001 amounted to TL 278 billion (2000: TL 384 billion).

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NOTE 17 - PROPERTY, PLANT AND EQUIPMENT

Cost	Opening 1 January 2001	Additions to scope of consolidation	Disposals from scope of consolidation (*)	Additions	Disposals	Foreign currency translation difference	Closing 31 December 2001
Land and land improvements	145,247	309	(175)	10,200	(29,331)	-	126,250
Buildings	915,990	4,895	(28,492)	60,516	(12,327)	4,434	945,016
Leasehold improvements	41,565	35	(52,064)	43,536	(9,717)	(121)	23,234
Machinery and equipment	3,726,375	10,019	-	219,060	(454,220)	(538)	3,500,696
Motor vehicles	206,926	799	(4,496)	38,723	(123,649)	(2)	118,301
Furniture and fixtures	402,286	1,566	(161,621)	10,751	(58,897)	(53)	194,032
Construction in progress	128,543	7,777	-	284,403	(230,000)	-	190,723
	5,566,932	25,400	(246,848)	667,189	(918,141)	3,720	5,098,252
Accumulated depreciation							
Land and land improvements	(57,270)	(34)	-	(2,195)	28,165	-	(31,334)
Buildings	(236,610)	(587)	4,744	(36,842)	9,871	(1,695)	(261,119)
Leasehold improvements	(26,135)	(18)	42,153	(36,823)	4,091	-	(16,732)
Machinery and equipment	(2,297,711)	(4,890)	-	(221,906)	332,269	29	(2,192,209)
Motor vehicles	(114,296)	(203)	3,596	(9,758)	72,016	(568)	(49,213)
Furniture and fixtures	(267,335)	(653)	82,524	(8,447)	15,479	735	(177,697)
	(2,999,357)	(6,385)	133,017	(315,971)	461,891	(1,499)	(2,728,304)
Net book value							
Land and land improvements	87,977	275	(175)	8,005	(1,166)	-	94,916
Buildings	679,380	4,308	(23,748)	23,674	(2,456)	2,739	683,897
Leasehold improvements	15,430	17	(9,911)	6,713	(5,626)	(121)	6,502
Machinery and equipment	1,428,664	5,129	-	(2,846)	(121,951)	(509)	1,308,487
Motor vehicles	92,630	596	(900)	28,965	(51,633)	(570)	69,088
Furniture and fixtures	134,951	913	(79,097)	2,304	(43,418)	682	16,335
Construction in progress	128,543	7,777	-	284,403	(230,000)	-	190,723
	2,567,575						2,369,948

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NOTE 17 - PROPERTY, PLANT AND EQUIPMENT (Continued)

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş, Koçbank Nederland N.V, Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently, property, plant and equipment balances of these subsidiaries at 31 December 2000 were included in disposals from scope of consolidation.

At 31 December 2001, there are mortgages amounting to TL 51,270 billion (2000: TL 8,949 billion) on property, plant and equipment.

Since 1984, using an option granted under Turkish tax legislation, the Group has revalued in its statutory books of account, its property, plant and equipment in use for more than one year (excluding land, which cannot be revalued), and the related accumulated depreciation at each year-end, by using the rates and procedures prescribed by the legislation. The resulting increases in the net book values of the assets are included under shareholders' equity as revaluation surplus in the statutory records. The Group may use the revaluation surplus for issuance of free capital shares to existing shareholders.

However, if the revaluation increment is included in an account other than the revaluation surplus account, the amount is subject to corporation tax. At 31 December, the historical amounts of revaluation surplus included in share capital and revaluation surplus of Koç Holding (parent company only) are:

	Historical amount of revaluation surplus in share capital	Historical amount of revaluation surplus
31 December 2001	7,787	47,856
31 December 2000	7,362	3,442

In the Group's statutory books of account, depreciation is provided on revalued amounts, except for the net revaluation increment applicable to buildings, and such depreciation is deductible in the computation of income subject to corporation tax.

All entries related to such revaluation, which were recorded in the statutory books of account of the Group, have been eliminated in the consolidated financial statements as part of the restatement process referred to in Note 2.

Leased assets:

Out of net book value of buildings TL 18,116 billion (2000: TL 19,172 billion) relates to assets leased by the Group by way of finance leases.

Out of net book value of machinery and equipment TL 28,707 billion (2000: none) relates to assets leased by the Group by way of finance leases.

Out of net book value of furniture and fixtures TL 1,105 billion (2000: TL 44,350 billion) relates to assets leased by the Group by way of finance leases.

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NOTE 18 - INTANGIBLE ASSETS

	1 January 2001	Addition to scope of consolidation	Disposal from scope of consolidation(*)	Additions	Disposals	Foreign currency translation difference	31 December 2001
Cost	175,587	2,220	-	42,301	(2,327)	(110)	217,671
Accumulated amortization	(40,329)	(800)	-	(18,807)	1,137	21	(58,778)
Net book value	135,258	1,420	-	23,494	(1,190)	(89)	158,893
Goodwill (Note 36)	46,955	-	(4,395)	12,696	-	-	55,256
Accumulated amortization	(30,221)	-	1,755	(5,921)	-	-	(34,387)
Net book value	16,734	-	(2,640)	6,775	-	-	20,869
Total net book value	151,992						179,762

(*)As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently, intangible assets of these subsidiaries at 31 December 2000 were included in disposals from scope of consolidation.

NOTE 19 - INVESTMENT PROPERTY

	1 January 2001	Additions	Disposals	31 December 2001
Cost	17,693	7,599	-	25,292
Accumulated depreciation	(1,405)	(504)	-	(1,909)
Net book value	16,288			23,383

NOTE 20 - OTHER NON-CURRENT ASSETS

	2001	2000
Minimum lease payments receivable	100,705	76,640
Notes receivable	47,581	8,219
Prepaid expenses	10,230	18,401
Other	2,988	21,371
	161,504	124,631

Minimum lease payments receivable consists of receivables over the terms of leases. At 31 December, the receivables due are as follows:

	2001	2000
2002	-	54,468
2003	68,125	34,893
2004	31,802	12,549
2005	20,780	842
2006	15,837	-
Less: Unearned interest	(33,019)	(23,385)
Less: Allowance for doubtful minimum lease payment receivable	(2,820)	(2,727)
	100,705	76,640

Under the lease agreements made with lessees, there is no residual value guaranteed to the lessor and the ownership of the items leased will be transferred to the lessees at the end of the lease terms.

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NOTE 21 - BANK BORROWINGS

	2001		2000	
	Effective interest rate per annum (%)	TL billions	Effective interest rate per annum (%)	TL billions
Short-term bank borrowings:				
Foreign currency bank borrowings (USD)	3.5-14.5	650,860	1.0-25.9	1,306,745
Foreign currency bank borrowings (EUR)	3.9-10.3	162,627	5.2-8.5	260,004
TL bank borrowings	28.0-78.0	113,785	17.0-150.0	133,915
Foreign currency bank borrowings (DM)	-	-	5.9-9.8	17,214
Foreign currency bank borrowings (other currencies)		30,041		21,038
Short-term portion of long-term bank borrowings		149,007		219,542
Total short-term bank borrowings		1,106,320		1,958,458
Long-term bank borrowings:				
Foreign currency bank borrowings		615,338		793,195
TL bank borrowings		21,554		10,222
Total long-term bank borrowings		636,892		803,417

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NOTE 21 - BANK BORROWINGS (Continued)

The redemption schedule of long-term borrowings at 31 December is as follows:

	2001	2000
Year		
2002	-	232,016
2003	171,795	121,151
2004	113,951	88,976
2005	130,526	361,274
2006 and over	220,620	-
	636,892	803,417

NOTE 22 - BANKING CUSTOMER DEPOSITS

	2001 (*)			2000		
	Demand	Time	Total	Demand	Time	Total
Foreign currency deposits	-	-	-	173,342	1,903,321	2,076,663
Reverse repurchase commitments	-	-	-	-	919,235	919,235
Savings deposits	-	-	-	21,480	235,633	257,113
Interbank deposits	-	-	-	1,724	202,530	204,254
Commercial deposits	-	-	-	14,427	73,605	88,032
	-	-	-	210,973	3,334,324	3,545,297

Time deposits as of 31 December 2000 are all short term, maturing within one year with interest rates varying between 3.10-18% p.a. for foreign currency deposits and 50-105% p.a. for Turkish lira deposits and 14.72-106.8% p.a. for reverse repurchase commitments.

(*)As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş, Koçbank Nederland N.V, Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently, notes to consolidated financial statements do not include balances related to these subsidiaries at 31 December 2001.

NOTE 23 - TRADE PAYABLES

	2001	2000
Trade payables		
- net of unincurred credit finance charges	604,116	961,871
Notes payable		
- net of unincurred credit finance charges	19,452	19,141
Other payables	3,173	10,021
	626,741	991,033

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NOTE 24 - INSURANCE TECHNICAL RESERVES

	2001	2000
Unearned premiums reserve - net of reinsurance	82,153	107,936
Claim provisions - net of reinsurance	22,171	23,865
Deferred commission income	13,657	15,924
Insurance technical reserves - current	117,981	147,725
Life assurance provision	99,320	101,452
Equalisation provision	9,345	8,332
Insurance technical reserves - non-current	108,665	109,784

NOTE 25 - OTHER CURRENT LIABILITIES

	2001	2000
Taxes and funds payable	117,810	126,507
Provision for costs	61,456	224,130
Advances from customers	46,218	100,670
Payable to personnel	21,429	35,715
Warranty provision	18,301	15,149
Capital lease obligations	7,979	6,879
Deferred income	3,224	3,591
Import transfers and payment orders	-	55,832
Cash collateral and blockages	-	24,714
Other	33,727	147,241
	310,144	740,428

NOTE 26 - OTHER NON-CURRENT LIABILITIES

	2001	2000
Deposits taken against LPG cylinders	16,709	25,086
Long-term lease obligation	7,813	11,586
Deposits and guarantees received	6,522	3,348
Deferred income	3,025	103
Deferred income on RUSP (Note 34)	1,605	3,218
Other	4,352	24,111
	40,026	67,452

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NOTE 27 - TAXES ON INCOME

	2001	2000
Corporation and income taxes currently payable	(51,358)	(148,728)
Deferred tax liabilities	(295,289)	(297,788)
Total taxes payable	(346,647)	(446,516)

Turkish tax legislation does not permit a parent company and its subsidiaries to file a consolidated tax return. Therefore, provisions for taxes, as reflected in the consolidated financial statements, have been calculated on a separate-entity basis.

Corporation tax is payable at a rate of 33% on the total income of the Koç Holding and its Subsidiaries and Joint Ventures registered in Turkey after adjusting for certain disallowable expenses, exempt income and investment and other allowances. No further tax is payable unless the profit is distributed.

Income exempt from corporation tax (except dividend income received from Turkish companies) is subject to withholding tax at the rate of 16.5%, regardless of whether the profits are distributed.

Dividends paid by the Koç Holding and its Subsidiaries and Joint Ventures registered in Turkey are subject to a withholding tax calculated on the gross dividend to be paid at the rate of 16.5% for private companies and 5.5% for public (listed) companies. An increase in capital using distributable profit or by issuing bonus shares is not considered as a profit distribution and thus there is no withholding tax.

Corporations are required to pay advance corporation tax quarterly at the rate of 25% on their corporate income. Advance tax is payable by the 15th of the second month following each calendar quarter end. Advance tax paid by corporations is credited against the annual corporation tax calculated on their annual corporation tax liability. The balance of the advance tax paid may be refunded or used to be set off against other liabilities to the government.

Interest income on Turkish government bonds and treasury bills is subject to corporation tax.

Capital gains derived from the sale of equity investments and immovable assets held for not less than two years are tax exempt if such gains are added to paid-in capital in the year in which they are sold.

Capital expenditures and projected capital expenditures for the following year are eligible for investment allowance incentives. Such allowance is available to companies for specific capital investment and is deductible from taxable income prior to the calculation of the corporate income tax. Investment allowance incentives utilised are subject to withholding tax at the rate of 19.8% (2000: 19.8%).

Under the Turkish taxation system, tax losses can be carried forward to be offset against future taxable income for up to 5 years. Tax losses cannot be carried back to offset profits from previous periods.

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NOTE 27 - TAXES ON INCOME (Continued)

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns within four months following the close of the accounting year to which they relate. Tax returns are open for 5 years from the beginning of the year that follows the date of filing during which time the tax authorities have the right to audit tax returns and the related accounting records on which they are based, and may issue re-assessments based on their findings.

The taxation on income for the year ended 31 December, expressed in terms of the purchasing power of the Turkish lira at 31 December 2001, is summarised as follows:

	2001	2000
Provision for taxes per consolidated statements of income as expressed in terms of the purchasing power of TL at 31 December 2001		
- Current	(114,937)	(274,871)
- Deferred	(54,110)	7,506
	(169,047)	(267,365)

The total provision for taxes reflected in the consolidated financial statements is different from the amounts computed by applying the above-mentioned effective/combined tax rates. The principal reasons for such differences are:

i) Permanent differences arising from:

- a) Dividends from equity participations that are either exempt from tax or taxable at reduced rates, and
- b) Non-tax deductible expenses

ii) The separate-entity tax basis for Koç Holding, the Subsidiaries and Joint Ventures.

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NOTE 27 - TAXES ON INCOME (Continued)**Deferred taxes**

Koç Holding, its Subsidiaries and Joint Ventures recognize deferred tax assets and liabilities based upon temporary differences arising between their financial statements as reported for IAS purposes and their statutory tax financial statements. These differences usually result in the recognition of revenue and expenses in different reporting periods for IAS and tax purposes. The breakdown of cumulative temporary differences and the resulting deferred tax assets/liabilities provided at 31 December, using enacted tax rates, were as follows:

	Cumulative temporary differences		Deferred tax assets/(liabilities)	
	2001	2000	2001	2000
Effects of restatement of property, plant and equipment	1,164,483	1,185,689	(376,152)	(299,565)
Effects of restatement of inventory	149,760	136,763	(48,233)	(34,110)
Deferred acquisition cost	27,647	32,129	(9,124)	(10,603)
Leasing adjustment differences	16,582	33,332	(5,408)	(4,620)
Difference between market value and statutory values for share certificates	18,990	-	(2,089)	-
Income accruals	370	166,217	(122)	(54,902)
Unused tax credits (Note 34)	(734,119)	(120,632)	96,904	15,923
Tax losses carried forward	(119,886)	(130,596)	38,220	42,557
Provision for employment termination benefits	(58,453)	(86,623)	18,523	21,845
Unearned premium reserve	(52,363)	(60,763)	17,280	20,401
Difference between market value and statutory values for trading and debt securities	(17,455)	-	5,760	-
Equalisation provision	(9,345)	(8,332)	3,084	2,749
Effect of adopting IAS 39	(8,552)	-	2,726	-
Effects of restatement of deferred income	(7,368)	(762)	2,432	251
Provision for loan losses	(1,123)	(38,333)	371	12,650
Investment finance fund	-	(42)	-	14
Other (net)	65,543	51,423	(39,461)	(10,378)
	434,711	1,159,470	(295,289)	(297,788)

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NOTE 27 - TAXES ON INCOME (Continued)

Movements in deferred taxes can be analysed as follows:

	Deferred tax assets/(liabilities)
1 January 2000	(305,294)
Charge to statement of income	7,506
31 December 2000	(297,788)
Effect of adopting IAS 39 (Note 2)	(2,534)
Deferred tax liability arising through addition of new subsidiaries to scope of consolidation (Note 2)	(5,432)
Deferred tax liability deduction through disposal of subsidiaries from scope of consolidation (Note 2)	64,575
Charge to statement of loss	(54,110)
31 December 2001	(295,289)

NOTE 28 - BONDS ISSUED

There are no bonds issued as of 31 December 2001, due to exclusion of Koçbank from the scope of consolidation.

Types of security	31 December 2000					
	Nominal issuance value			Book value TL billions	Average interest rate p.a. %	Maturity
	Foreign currency	TL billions				
Bonds	USD	20,958,952	-	26,353	7.25-10.5	September 2001
Bonds	EUR	60,961	-	70	5.25	February 2001
Bonds	GBP	80,708	-	151	7	January 2001
				26,574		

NOTE 29 - PROVISION FOR EMPLOYMENT TERMINATION BENEFITS

There are no agreements for pension commitments other than the legal requirement as explained below.

Under the Turkish Labour Law, the Group is required to pay termination benefits to each employee who has completed one year of service and whose employment is terminated without due cause, is called up for military service, dies or who retires after completing 25 years of service (20 years for women) and achieves the retirement age (58 for women and 60 for men). Since the legislation was changed on 8 September 1999, there are certain transitional provisions relating to length of service prior to retirement.

The amount payable consists of one month's salary limited to a maximum of TL 978,020,000 (2000: TL 587,720,000-historic amount) for each year of service at 31 December 2001.

The liability is not funded, as there is no funding requirement.

The provision has been calculated by estimating the present value of the future probable obligation of the Koç Holding and its Subsidiaries and Joint Ventures registered in Turkey arising from the retirement of employees.

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NOTE 29 - PROVISION FOR EMPLOYMENT TERMINATION BENEFITS (Continued)

International Accounting Standards require actuarial valuation methods to be developed to estimate the enterprise's obligation under defined benefit plans. Accordingly the following actuarial assumptions were used in the calculation of the total liability.

	2001	2000
Discount rate	%7	%7
Turnover rate to estimate the probability of retirement	%95	%96

The principal assumption is that the maximum liability of TL 978,020,000 for each year of service will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the anticipated effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 978,020,000 (2000: TL 587,720,000-historic amount) has been taken into consideration in calculating the reserve for employment termination benefit of the Koç Holding and its Subsidiaries and Joint Ventures registered in Turkey.

Movements in the provision for employment termination benefits during the year are as follows:

	2001	2000
1 January	90,667	86,000
Charge for the year-net of monetary gain	10,633	21,364
Disposals	(35,254)	(16,687)
31 December	66,046	90,677

The number of personnel at 31 December 2001 is 43,134 (31 December 2000: 45,812).

NOTE 30 - SHARE CAPITAL

Koç Holding adopted the registered share capital system available to companies registered with the Capital Market Board ("CMB") and set a limit on its registered share capital representing registered type shares with a nominal value of TL 1,000. Koç Holding's historical authorised and paid-in share capital at 31 December was as follows:

	2001	2000
Limit on registered share capital (historical)	250,000	250,000
Historical authorised and paid-in share capital	101,578	64,102

Companies in Turkey may exceed the limit on registered share capital in the event of issuance of free capital shares to existing shareholders.

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NOTE 30 - SHARE CAPITAL (Continued)

The composition of shareholders is as follows:

	Share %	2001	Share %	2000
Temel Ticaret ve Yatırım A.Ş.	36.06	36,627	35.94	23,040
Sevgi Gönül	7.48	7,593	7.28	4,669
Semahat Arsel	7.47	7,586	7.28	4,669
Suna Kiraç	7.02	7,134	7.28	4,669
Rahmi M. Koç	6.08	6,180	6.40	4,103
Mustafa Koç	1.30	1,325	1.27	812
Ali Koç	1.30	1,325	1.27	812
İpek Kiraç	1.29	1,310	0.94	600
Ömer Koç	1.07	1,083	1.27	812
Nazar Dayanıklı ve Dayanaksız				
Sinai Mallar Paz. A.Ş.	0.39	397	0.37	237
R.M.K. Mahdumları	0.12	120	0.09	56
Total Koç family and companies owned by Koç family members	69.58	70,680	69.39	44,479
Vehbi Koç Vakfı	8.08	8,210	9.41	6,033
Koç Holding Foundation for Pensions and Assistance	2.22	2,259	2.11	1,350
Koç Allianz Sigorta A.Ş.	0.02	21	0.02	16
Other - non-Koç family	20.10	20,408	19.07	12,224
	100	101,578	100	64,102

Adjustment to share capital represents the restatement effect of cash contributions to share capital at year-end equivalent purchasing power. It also includes the difference between the nominal value of shares issued by Koç Holding and the fair value of Koç Yatırım minority interest purchased.

The Articles of Association ("the Articles") of Koç Holding set out the following privileges for A-type shares:

1. In accordance with Article 11, A-type shareholders receive pre-emptive rights not used by B-type shareholders.
2. In accordance with Article 25, A-type shareholders have two voting rights for each share owned at the General Assembly meeting (except for meetings with an agenda to change the Articles).

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NOTE 30 - SHARE CAPITAL (Continued)

The Articles of Koç Holding established 100 usufruct shares which were granted to Vehbi Koç. These are bearer shares and can be transferred to others.

The holders of usufruct shares are entitled to receive 3% of the distributable profits remaining after legal reserves and taxes minus 5% of the paid capital. However, this cannot be higher than 10% of the amount obtained after deducting legal reserves, taxes and first dividend from distributable profit. Usufruct shares do not have any interest in the capital of Koç Holding and do not have any voting rights associated with them. In the event of liquidation, usufruct shareholders are not entitled to receive any portion of the liquidation proceeds.

The analysis of shares by type is as follows:

Group	Unit of shares	TL billions	Nature of shares
A	30,720,000,000	30,720	Registered
B	53,592,000	54	Registered
B	70,804,411,000	70,804	Bearer
		101,578	

NOTE 31 - RETAINED EARNINGS AND LEGAL RESERVES

Retained earnings as per the statutory financial statements, other than legal reserves, are available for distribution subject to the legal reserve requirement referred to below.

The legal reserves consist of first and second reserves, appropriated in accordance with the Turkish Commercial Code ("TCC"). The TCC stipulates that the first legal reserve is appropriated out of statutory profits at the rate of 5% per annum, until the total reserve reaches 20% of the Group's paid-in share capital. The second legal reserve is appropriated at the rate of 10% per annum of all cash distributions in excess of 5% of the paid-in share capital. Under the TCC, the legal reserves can only be used to offset losses and are not available for any other usage unless they exceed 50% of paid-in share capital.

Dividend distributions are made by Koç Holding in Turkish lira in accordance with its Articles, after deducting taxes and setting aside the legal reserves as discussed above. In accordance with the Articles, dividends are paid to "Koç Holding Foundation for Pensions and Assistance" up to 2% but not less than 1% of the distributable profits remaining after deducting taxes, legal reserves and the first dividend. The holders of the usufruct shares are currently entitled to receive dividends out of distributable profits as explained in Note 30.

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NOTE 31 - RETAINED EARNINGS AND LEGAL RESERVES (Continued)

Quoted companies are subject to dividend requirements regulated by the CMB as follows:

According to CMB regulations quoted companies have the following two options; they may either distribute dividends in cash or they may elect not to distribute any dividends at all. However, the CMB may require the company to distribute dividends in cash. If the company makes a decision to distribute any dividends, distribution should be made in the five months following the year-end.

Composition of prior periods' earnings (per Statutory Financial Statements of Koç Holding, Subsidiaries and Joint Ventures) at 31 December (not adjusted for inflation):

	2001	2000
- Legal reserves	111,943	83,937
- Undistributed general reserve	362,179	311,858
	474,122	395,795
	2001	2000
Historical amounts of dividends distributed during year from previous periods' net income per statutory financial statements of parent company only	21,000	4,808
Historical amounts of dividends of parent company proposed after the balance sheet date	10,400	21,000

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NOTE 32 - FINANCIAL EXPENSE - NET

	2001	2000
Financial income:		
Foreign exchange gains	551,983	71,108
Interest income	445,841	395,644
Credit finance income	320,141	281,497
Other	49,758	18,372
	1,367,723	766,621
Financial expense:		
Foreign exchange losses	(946,178)	(195,033)
Interest expense	(485,636)	(340,272)
Credit finance charges	(149,509)	(121,958)
Other	(68,574)	(13,255)
	(1,649,897)	(670,518)
Financial (expense) / income - net	(282,174)	96,103

NOTE 33 - FOREIGN CURRENCY POSITION

Assets and liabilities denominated in foreign currency held by the Group before consolidation adjustments at 31 December are as follows:

	2001	2000
Assets	1,764,185	4,576,359
Liabilities	(2,233,632)	(5,869,718)
Net balance sheet position	(469,447)	(1,293,359)
Off-balance sheet derivative instruments net position	29,543	415,051

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NOTE 33 - FOREIGN CURRENCY POSITION (Continued)

	2001					
	USD	DM	EUR	GBP	Other	Total
Cash and cash equivalents	382,881	866	95,778	6,070	1,049	486,644
Current investments						
-held-to-maturity	2,024	-	-	-	-	2,024
-available-for-sale	69,404	-	5,463	-	-	74,867
Short-term banking and consumer loans	55	-	105	-	-	160
Trade receivables	300,684	141,625	464,742	113,000	50,711	1,070,762
Inventories	1,915	-	1	-	-	1,916
Other assets	28,815	4,275	8,604	41,408	6,287	89,389
Non-current investments						
-available-for-sale	28,915	-	-	-	-	28,915
Property, plant and equipment	9,508	-	-	-	-	9,508
Total foreign currency denominated assets	824,201	146,766	574,693	160,478	58,047	1,764,185
	2001					
	USD	DM	EUR	GBP	Other	Total
Short-term bank borrowings	735,283	-	187,442	22,863	9,649	955,237
Trade payables	138,399	81,139	267,759	67,745	62,364	617,406
Other liabilities	22,222	1,342	28,106	4,469	1,184	57,323
Long-term bank borrowings	408,923	10,742	131,907	43,711	8,383	603,666
Total foreign currency denominated liabilities	1,304,827	93,223	615,214	138,788	81,580	2,233,632
	2000					
	USD	DM	EUR	GBP	Other	Total
Cash and cash equivalents	709,178	39,948	134,074	51,726	15,343	950,269
Current investments						
-held-for-trading	6,129	-	-	-	-	6,129
-available-for-sale	191,012	31,376	45,316	5,043	-	272,747
Short-term banking and consumer loans	915,776	241,651	122,908	1,170	3,918	1,285,423
Trade receivables	227,520	255,134	59,961	98,444	79,227	720,286
Inventories	17,637	-	-	26,072	4,946	48,655
Other assets	300,805	71,687	73,164	43,155	34,032	522,843
Long-term banking loans	402,678	97,126	72,393	-	1,697	573,894
Non-current investments						
-available-for-sale	32,790	384	-	-	12,287	45,461
Property, plant and equipment	149,222	-	-	1,261	169	150,652
Total foreign currency denominated assets	2,952,747	737,306	507,816	226,871	151,619	4,576,359

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 33 - FOREIGN CURRENCY POSITION (Continued)

	2000					Total
	USD	DM	EUR	GBP	Other	
Short-term bank borrowings	1,407,734	22,115	290,113	20,688	7,997	1,748,647
Banking customer deposits	1,987,700	170,818	124,115	39,322	63,389	2,385,344
Trade payables	245,421	43,910	101,825	117,536	76,142	584,834
Bonds issued	26,353	-	70	151	-	26,574
Other liabilities	170,597	75,278	32,406	27,774	14,437	320,492
Long-term bank borrowings	707,816	19,625	66,019	-	10,367	803,827
Total foreign currency denominated liabilities	4,545,621	331,746	614,548	205,471	172,332	5,869,718

NOTE 34 - GOVERNMENT GRANTS

Certain Subsidiaries have obtained investment incentive certificates from the Turkish Government Authorities in connection with certain major capital expenditures, which entitle the companies, among other things, to:

- a 100% exemption from customs duty on machinery and equipment to be imported,
- investment allowance of 100% and 200% on approved capital expenditures,
- incentive premiums varying between 17% and 26% on the cost of the local content of the facilities,
- resource utilisation support premium (RUSP - an investment grant in the form of cost reimbursement) varying from 25% to 40% on a portion of the total approved capital expenditures.

The investment allowance indicated in (ii) above is deductible from current or future taxable profit for the purposes of corporation tax, and is exempt from both corporation and minimum tax, but is subject to income tax of 19.8%. The total amount of investment incentive allowance for the year ended 31 December 2001 is TL 734,119 billion (Note 27).

As permitted by Turkish tax legislation, RUSP is recognised in the statutory accounts as income upon its receipt. The consolidated financial statements are adjusted and restated to account for RUSP on an accrual basis for estimated amounts to be received under grant claims filed, and to reflect it as deferred income to be amortised over the depreciation period of the related assets on a straight-line basis.

The accrued RUSP receivables are included in other receivables and current assets in the consolidated balance sheets, while the recognised portions of deferred income are included in other income in the consolidated statements of income.

The movement of deferred income for the years ended 31 December, expressed in terms of the purchasing power of the Turkish lira at 31 December 2001 is as follows:

	2001	2000
Balance, beginning of year	3,218	5,236
Deferred income recognised	(1,613)	(2,018)
Balance, end of year (Note 26)	1,605	3,218

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 35 - COMMITMENTS AND CONTINGENT LIABILITIES

Commitments and contingencies, from which management does not anticipate any significant losses or liabilities, are summarised below:

	2001	2000
a) Guarantees given:		
Letters of guarantee	350,045	369,837
Guarantees given with respect to miscellaneous benefits	92,361	247,477
Counter-guarantees given in favour of related parties	6,295	301,056
b) Commitments given:		
i) Commitments - banking	2001 (*)	2000
Forward, future, swap and spot contracts - Foreign currencies	-	17,916,293
Forward, future, swap and spot contracts - Turkish lira	-	2,276,740
Letters of guarantee issued - Foreign currencies	-	452,591
Letters of guarantee issued - Turkish lira	-	317,717
Letters of credit - Foreign currencies	-	296,881
Marketable securities under agreements of reverse repurchase - Turkish lira	-	33,363
Acceptance credits - Foreign currencies	-	15,401
Marketable securities under agreements of reverse repurchase - Foreign currency	-	3,448

(*) As discussed in Notes 3 and 5, Koçbank and four other subsidiaries controlled by Koçbank (Koçbank Azerbaijan, Koç Faktoring A.Ş., Koçbank Nederland N.V., Koratrade MTMC Ltd.) were not included in the scope of consolidation at 31 December 2001. Consequently, notes to consolidated financial statements do not include balances related to these subsidiaries at 31 December 2001.

Koç Holding received syndicated loans from foreign banks amounting in total to USD 200,000,000 (2000: USD 250,000,000) of which the amount of USD 175,000,000 (2000: USD 250,000,000) was transferred to other Subsidiaries (Beko Elektronik, Koçlease, Koç Ata Besi ve Tarım Ürünleri A.Ş., Ram Dış Ticaret, Sek, Setur, Zinerji, Tekersan, Setoto-Avis, Koçtaş, Beldeyama) under the same conditions and the remaining amount of USD 25,000,000 (2000: None) is for the use of Koç Holding.

At the Board of Directors' meeting on 11 December 2001, Koç Holding management decided to submit a guarantee of USD 72,221,998 in conjunction with 50% of the loan amounting to USD 144,443,996 obtained by Ford Otosan to finance its investments in Gölçük with validity until 1 January 2004 subject to Ford Motor Co.'s acting as guarantor for the other 50% of this loan, should the need arise.

In 2001 the Group signed an agreement to purchase machinery amounting to USD 21,000,000. This purchase commitment is expected to be realised in 2002.

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 35 - COMMITMENTS AND CONTINGENT LIABILITIES (Continued)

ii) Commitments - other companies

Commitments with respect to export incentive certificates	350,872	166,766
Mortgages given	104,152	8,949
Forward, future, swap and spot contracts - Foreign currencies	38,500	-
Commitments with respect to miscellaneous benefits	11,366	264,870
Capital commitments	8,285	133,814
Commitments with respect to investment incentive certificates	62	159,011
Commitments with respect to import order guarantees	-	24,335

Maturities of commitments and contingencies are less than one year except for a certain number of letters of guarantee, which are indefinite.

The Group in connection with its new plant investment acquired land from the Government free of charge under the following major commitments:

- to accomplish investment of USD 550 million.
- employment of additional 2000 employees.

The Group entered into two collar agreements in 2000, which are outstanding as at 31 December 2001 to hedge the interest rate risk arising from borrowings amounting to ITL 17,850,000,000 and DM 78,928,571. The collar agreements have fixed floor and ceiling rates. Accordingly, at the dates defined in the agreements, if the EURIBOR rate is below the floor rate the Group compensates the difference between the floor rate and the actual rate to the counter bank. Contrarily, if the EURIBOR rate is above the ceiling rate, the counter bank compensates the difference to the Group.

Details of two collar agreements, which are valid as of 31 December 2001, are as follows:

Agreement	EURIBOR Floor rate	EURIBOR Ceiling rate	Amount	Due date
Citibank	5.15%	6%	DM 78,928,571	28.08.2008
Koçbank	5.15%	5.95%	ITL 17,850,000,000	31.08.2007

The total amount charged to expense relating to these agreements amounted to TL 1,051,139 million, of which TL 837,735 million represents realised losses during the period and TL 213,404 million represents accrued losses, which have been calculated using the rates at the specific settlement dates in 2001 as defined in related agreements.

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 36 - MAJOR ACQUISITIONS

Major acquisitions made by the Group in 2001 and 2000 were as follows:

2001

- i) 76.31% of the issued share capital of Koçnet was acquired with effect from 26 May 2000 for a cash consideration of TL 33,031 billion. Koçnet, which was among available-for-sale investments of the Group at 31 December 2000, has been considered as subsidiary at 31 December 2001 on the grounds of its increased materiality, and has been included in scope of consolidation in 2001. Consequently, goodwill arising from acquisition of Koçnet was accounted for in 2001.

2000

- i) 0.25% of the issued share capital of Migros was acquired with effect from 7 September 2000 for a cash consideration of TL 4,155 billion.
- ii) 16.67% of the issued share capital of Ultra Kablo was acquired with effect from 30 June 2000 for a cash consideration of TL 6,412 billion.

Details of total net assets acquired during the years and resulting goodwill are as follows:

	2001	2000
Purchase consideration:		
- Cash paid	33,031	10,567
- Fair value of shares issued	-	-
Total purchase consideration	33,031	10,567
Less: Fair value of net assets acquired	20,335	5,161
Cash and cash equivalents	1,042	-
Receivables	2,886	-
Inventories	-	198
Other current assets	1,025	788
Investments	3,206	-
Property, plant and equipment	12,930	5,585
Other non-current assets	4,782	417
Current liabilities	(3,467)	(1,248)
Non current liabilities	(2,069)	(579)
Resulting goodwill (Note 18)	12,696	5,406

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 37 - LEGAL MERGERS

In 2001, due to the Group's restructuring activities, legal mergers arose among Subsidiaries of Koç Holding. These legal mergers were not dealt with in accordance with the International Accounting Standard 22 ("Business Combinations") since they were transactions among enterprises under common control.

The Subsidiaries of Koç Holding merged legally in accordance with the article 451 of Turkish Trade Law and articles 37-39 of Corporate Tax Law.

Details of legal mergers are as follows:

- a) As of 12 February 2001 Aygaz A.Ş. merged legally with Gaz Aletleri A.Ş.
- b) As of 15 May 2001 Tofaş Otomobil Fabrikası A.Ş. merged legally with Tofaş Oto Ticaret A.Ş. whose certain shares are publicly traded on İstanbul Stock Exchange,
- c) As of 12 July 2001 Koç Holding A.Ş. merged legally with Bursa Oto A.Ş., Ege Oto A.Ş., Egemak Ege Makina ve Ticaret A.Ş., Gün Oto Güney Otomobil Ticaret A.Ş., İstanbul Oto A.Ş., Kuzey Motorları Ticaret ve Sanayi A.Ş., Marmara Oto A.Ş., Ormak Orta Anadolu Makina ve Ticaret A.Ş., Otoan Otomobil Ticaret A.Ş., Otokoç A.Ş., Otomotör Ticaret A.Ş., Ottar Oto ve Tarım Araçları Ticaret A.Ş., Samoto Otomobil Ticaret A.Ş., Standard Motor Ticaret ve Sanayi A.Ş., Suroto A.Ş., Tormak Toros Makina ve Ticaret A.Ş. and Toroto Otomotiv Ticaret ve Sanayi A.Ş.,
- d) As of 30 November 2001 Bursa Gaz Tic. A.Ş. merged legally with Akpa Akdeniz Sanayi Mamülleri Pazarlama A.Ş., Porsuk Ticaret A.Ş. and Akyak Ticaret A.Ş.

All companies disclosed above were subsidiaries of the Group at the time of legal mergers.

There is no recognition of any new goodwill or negative goodwill. Similarly, the effects of all transactions between the legally merged enterprises, whether occurring before or after the legal merger, are eliminated in preparing the consolidated financial statements of the Group.

NOTE 38 - INTEREST IN JOINT VENTURES

Aggregate amounts of current assets, non-current assets, current liabilities, non-current liabilities and net income related to Joint Ventures, which are proportionately consolidated as explained under Note 3 to the consolidated financial statements, are as follows on a combined basis:

	2001	2000
Current assets	348,237	451,583
Non-current assets	693,917	600,738
Total assets	1,042,154	1,052,321
Current liabilities	344,754	377,384
Non-current liabilities	245,866	202,200
Total liabilities and shareholders' equity	1,042,154	1,052,321
Revenues	1,097,065	1,334,182
Operating (loss)/profit	(36,983)	84,135
Net (loss)/income	(52,535)	63,700

KOÇ HOLDİNG A.Ş.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 DECEMBER 2001

(Amounts expressed in billions of Turkish lira (TL) in terms of the purchasing power of TL at 31 December 2001 unless otherwise indicated)

NOTE 39 - RESTRUCTURING IN FINANCE SEGMENT

On 16 March 2001 Koç Finansal Hizmetler A.Ş. was established for the purpose of combining all financial services companies of the Group under a single entity. In this regard, on 12 December 2001 Koç Holding and Uni Credito Group of Italy have signed a letter of intent to establish a 50%-50% strategic partnership in Turkey, to operate in the field of finance. According to the letter of intent signed, Koçbank, Koç Finansal Kiralama A.Ş., Koç Factoring A.Ş., Koç Yatırım Menkul Değerler A.Ş., Koçbank Nederland N.V., Koçbank Azerbaijan JSB and Koç Allianz Sigorta A.Ş. will be merged under Koç Finansal Hizmetler A.Ş.. Negotiations about the conditions of the prospective partnership were still in progress at the date of this report.

NOTE 40 - SUBSEQUENT EVENTS

- a) In 2002 shares of Tunusdan and Beko Polska were acquired by Ardutch BV, the Group's subsidiary incorporated in the Netherlands.
- b) A new subsidiary, Koç Bilgi Grubu İletişim ve Teknoloji Hizmetleri A.Ş., was incepted in 2002. All subsidiaries of the Group dealing with information technology will be grouped under this new subsidiary. Its shareholders are Koç Holding, Temel Ticaret, Zer, Nazar and Beko Ticaret.
- c) At the General Assembly meeting of Koç Holding on 2 April 2002, it was decided to increase the share capital by TL 101,578 billion through transfer of the statutory revaluation fund resulting from revaluation of property, plant and equipment (TL 47,852 billion), through transfer of the funds resulting from revaluation of investments (TL 33,647 billion), through the cost increase fund (TL 9,679 billion) and the remaining portion amounting to TL 10,400 billion from retained earnings.

KOÇ HOLDİNG ANONİM ŞİRKETİ

**CONVENIENCE TRANSLATION INTO ENGLISH
OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34**

**INDEPENDENT AUDITORS' REPORT
FOR THE PERIOD 1 JANUARY-31 DECEMBER 2001 AND 2000**

1. We have audited the accompanying balance sheet of Koç Holding Anonim Şirketi at 31 December 2001 and the related statement of income and notes for the year then ended. Our examination was made in accordance with generally accepted auditing standards issued by the Turkish Capital Markets Board (CMB), and accordingly included such tests of the accounting records and such other audit procedures as we considered necessary under the circumstances.
2. In our opinion, the accompanying financial statements present fairly the financial position of Koç Holding Anonim Şirketi at 31 December 2001, and the results of its operations for the year then ended, in accordance with generally accepted accounting principles (see Note 11) issued by the CMB, which are consistently applied.
3. Additional paragraph for convenience translation into English:

The effects of differences between the accounting principles issued by the CMB, accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Accounting Standards (IAS) have not been quantified in the accompanying financial statements. Accordingly, the accompanying financial statements are not intended to present the financial position and results of operations, and changes in the financial position and cash flows in accordance with accounting principles generally accepted in such countries and IAS.

Başaran Nas Serbest Muhasebeci
Mali Müşavirlik Anonim Şirketi
a member of
PricewaterhouseCoopers



Cansen Başaran, SMMM
Partner

Istanbul, 12 February 2002

KOÇ HOLDİNG A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34
BALANCE SHEETS AT 31 DECEMBER 2001 AND 2000

(Amounts expressed in millions of Turkish Lira)

	31 DECEMBER 2001	31 DECEMBER 2000
ASSETS		
CURRENT ASSETS		
Liquid assets		
Cash	1,429	2,820
Banks	30,690,948	5,046,660
Marketable securities		
Government bonds and treasury bills	-	40,247,097
Short term trade receivables	3,354,873	-
Customers	699,068	-
Notes receivables	1,932,965	-
Other short-term trade receivables	2,549	-
Rediscount of notes receivables (-)	-24,811	-
Doubtful receivables	2,955,414	-
Provision for doubtful receivables (-)	-2,210,312	-
Other short-term receivables	8,045,313	5,791,989
Due from shareholders	2,459	11,449
Due from associates and investments	2,949,225	3,889,257
Due from subsidiaries	5,081,300	283,446
Other short-terms receivables	12,329	1,607,837
Other current assets	3,499,090	4,440,464
NON-CURRENT ASSETS		
Long term trade receivables	5,778	5,778
Deposits and guarantee given		
Long term notes receivables	505,668	-
Long term notes receivables	598,547	-
Rediscount of long term notes receivables (-)	-2,879	-
Long term doubtful receivables	5,892	-
Provision for long term doubtful receivables (-)	-5,892	-
Long-term financial assets	382,338,442	172,475,869
Associates and investments	333,346,773	146,722,344
Capital commitments to investment	-24,983,856	-695,024
Subsidiaries	73,975,525	28,441,440
Capital commitments to subsidiaries	-	-1,992,891
Fixed assets	86,646,742	14,632,446
Land	411,374	370,747
Underground installations	2,366,480	-
Buildings and installations	73,720,510	8,267,494
Motor vehicles	35,487,186	12,309,149
Furniture and fixtures	2,311,981	1,524,115
Accumulated depreciation	-27,650,789	-10,382,251
Construction in progress	-	1,098,711
Advances given	-	1,444,481
Intangible assets	8,136,504	164,127
Rights	634,144	
Other intangible fixed assets	7,502,360	
TOTAL ASSETS	523,314,787	242,807,250

The accompanying notes form an integral part of these financial statements

KOÇ HOLDİNG A.Ş.

**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34
BALANCE SHEETS AT 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish Lira)

		31 DECEMBER 2001 27,505,923	31 DECEMBER 2000 14,191,291
LIABILITIES AND SHAREHOLDERS' EQUITY			
CURRENT LIABILITIES			
Borrowings	19,246,050		
Trade Payables	1,442,905		3,629,154
Supplies	6,253,685	3,629,154	3,120,699
Other current liabilities	799,131	10,345	
Due to shareholders	2,906,429	1,552,248	
Taxes and withholdings payable	2,548,125	1,158,104	
Other short-term liabilities		7,441,440	
Accrued liabilities and expenses	563,283	7,429,940	
Provision for taxes	153,898	11,500	
Other accrued liabilities and expenses	409,385		
NON-CURRENT LIABILITIES			
Borrowings	40,368,267	41,356,775	615,177
Accrued liabilities and expenses	40,368,267		
Employment termination benefits	988,508	615,177	
SHAREHOLDERS' EQUITY			
Share capital	101,578,003	454,452,089	228,000,782
Share capital premium	31,847		31,847
Revaluations surplus	148,303,123		32,514,576
Revaluation surplus - fixed assets	47,856,801	3,442,201	
Revaluation surplus - investments	81,175,045	15,170,815	
Fund generated from fixed asset and investment sales income of participations	14,937,913	12,012,867	
associates and investments	4,333,364	1,888,693	
Extraordinary reserves of investments			
Reserves	149,800,818	87,898,560	
Legal reserves	11,898,656	5,329,292	
Extraordinary reserves	114,770,152	74,509,823	
Cost increase fund	23,132,010	2,900,222	
Fixed assets renewal fund	-	543,363	
Extraordinary reserves of investment	-	4,615,860	
Net income for the year	54,806,788	43,453,599	
Net income for the year	48,628,735		
Fusion net income for the year	6,178,053		
Net loss for the year	-68,490		
TOTAL LIABILITIES		<u>523,314,787</u>	<u>242,807,250</u>

The accompanying notes form an integral part of these financial statements

KOÇ HOLDİNG A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34

NOTES TO BALANCE SHEETS FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000

(Amounts expressed in millions of Turkish lira)

1. Primary operations of the Company

The primary operations of Koç Holding A.Ş. (the Company) involve capital participations in domestic and foreign companies of limited or corporate nature, established or to be established for any kind of trade, industrial, agricultural or financial purposes; the sale and purchase of all types of shares, their exchange with other shares, increase, decrease or termination of participations, without intent to administer a marketable securities portfolio or act as a financial intermediary.

2. Shareholders with a nominal share of 10% or more in capital

	31 December 2001 Shareholding percentage (%)	31 December 2001 Shareholding amount	31 December 2000 Shareholding percentage (%)	31 December 2000 Shareholding amount
Shareholders				
Temel Ticaret ve Yatırım A.Ş.	36.06	36,627,126	35.94	23,040,000

3. Privileges given to shares representing the capital

The preferred stocks and the privileges pertaining to these stocks under the Articles of Association are listed below:-

<u>Preferred stock group</u>	<u>Nature of privilege</u>
Group A	1. According to the 11th article of the articles of association, unused rights of preference for Group B are transferred to the shareholders of Group A. 2. According to the 25th article of the articles of association (except for meetings held for the amendment of the articles of association), Group A shares have two voting rights for each share in general assembly meetings.

4. Registered share capital limit

The limit in respect of registered share capital is 250,000,000 (2000: 250,000,000).

The increase in the limit of registered share capital was approved at the meeting of the Capital Market Board ("CMB") dated 24 February 2000 with the number 22/287.

5. Capital increases and their resources

The capital increases that were made during 2001 are as follows:

<u>Date of increase</u>	<u>Amount</u>	<u>Revaluation surplus</u>			
		<u>Associates and investments</u>	<u>Fixed assets</u>	<u>Investment sale income</u>	<u>Cost increase fund</u>
20 March 2001	21,367,400	424,809	14,589,780	4,615,860	1,736,951
12 July 2001	16,108,403 (*)				

Based on the decision of the Company's extraordinary General Board Meeting on 9 July 2001, 17 Car-dealer companies belonging to the Koç group have merged with Koç Holding A.Ş. This amount represents the addition to share capital arising from this merger.

The capital increases that were made during 2000 are as follows:

<u>Date of increase</u>	<u>Amount</u>	<u>Revaluation surplus</u>			
		<u>Associates and investments</u>	<u>Fixed assets</u>	<u>Investment sale income</u>	<u>Cost increase fund</u>
28 April 2000	32,051,000	27,597,891	2,534,289	274,781	1,644,139

KOÇ HOLDİNG A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34

NOTES TO BALANCE SHEETS FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000

(Amounts expressed in millions of Turkish lira)

6. Marketable securities apart from share stock issued during the year

None. (2000: None)

7. Marketable securities representing borrowings repaid during the year

None. (2000: None)

8. Fixed asset movements in the current year

a) The total cost of fixed assets purchased, produced or constructed is 71,315,652 (2000: 5,082,852).

b) The total cost of fixed assets sold or discarded is 7,487,389 (2000: 2,501,965).

c) The revaluation increases on fixed assets are as follows:

	31 December 2001	31 December 2000	31 December 1999
Increase in cost	27,997,763	6,033,133	4,500,991
Increase in accumulated depreciation	(5,690,920)	(2,590,933)	(1,964,548)
	<u>22,306,843</u>	<u>3,442,200</u>	<u>2,536,443</u>

d) Construction in progress: None. (2000: The construction in progress as at 31 December 2000 amounts to 1,098,712, which consists of the construction of an administrative building amounting to 690,123 and construction of an aeroplane hangar amounting to 489,589).

9. Unused investment allowances

Total amount of unused investment allowances in current and future periods is 32,100,075. (2000: None)

10. Account balances and transactions with shareholders, associates, investments and subsidiaries,

Since 77.83% (2000: 81%) of the paid-up share capital belongs to Koç family members and companies that are controlled by and trusts founded by family members, the Company has a direct and/or indirect management or shareholding relationship with the Koç Group companies as set forth in CMB Communiqué XI/1.

Companies in which the Company has a shareholding percentage of more than 50% are considered and referred to as subsidiaries, and the remainder are considered as associates or investments.

- a) The shareholding percentages and amounts for associates, investments and subsidiaries, the total amount of bonus shares obtained by capital increases from internal sources, and the details of short-term trade receivables and payables with such companies and their current period net profit/losses are presented in the following tables:

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS
FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

31 DECEMBER 2001**THE SHAREHOLDING PERCENTAGES AND AMOUNTS FOR ASSOCIATES, INVESTMENTS AND SUBSIDIARIES, THE TOTAL AMOUNT OF
BONUS SHARES OBTAINED BY CAPITAL INCREASES FROM INTERNAL SOURCES**

ASSOCIATES & INVESTMENTS	Registered value (Nominal)	Percentage of issued capital owned (%)	Revaluation surplus	Fixed assets sale income	Extraordinary reserves	Cost increase fund	Short-term trade receivables payables	Net profit (loss) for the year (*)
1 ALTINYUNUS ÇEŞME TUR.TESLA.Ş.	1,474,200	30.00	1,329,099	49,570	-	-	-	518,824 (**)
2 ARÇELİK A.Ş.	35,578,642	39.14	15,483,413	724,028	9,375	-	547,331	-14,172,839 (**)
3 ARÇELİK LG KLİMA SANAYİ VE TİC. A.Ş.	599,900	5.00	-	-	-	-	2,424	-3,232,075
4 ASIA PACIFIC A.Ş.	868	11.50	95	-	-	-	-	-21,993
5 AYGAZ A.Ş.	17,839,722	40.68	13,252,053	1,407,737	19,148	401,788	251,963	9,290,039 (**)
6 AYVALIK MARİNA VE YAT.IŞL.SAN.TİC. A.Ş.	30,864	7.72	-	-	-	-	-	-51,966
7 BASIC INT. INVESTMENT LTD	508,137	28.00	-	-	-	-	-	-
8 BEKO TİCARET A.Ş.	195,000	39.00	60,529	93,534	3,425	1,368	494	8,925,913
9 BEKO ELEKTRONİK A.Ş.	7,840,351	32.87	3,580,100	1,184	906	-	291,852	-16,380,149 (**)
10 BELDEYAMA MOTORLU VASİTALAR SAN.VE TİC. A.Ş.	200	0.01	-	-	-	-	34,179	-
11 BİRLEŞİK OKSİJEN SAN. A.Ş.	1,590	1.00	-	-	-	-	8,170	1,340,171
12 DOĞU YATIRIM HOLDİNG A.Ş.	12,500	1.43	-	-	-	-	-	3,270
13 DÜZEY TÜKETİM MALLARI PAZ. A.Ş.	377,406	31.15	19,204	350,503	277	3,352	48,328	1,720,557
14 ENTEK ELEK.ÜRET.OTO PRODÜK. GRUBU A.Ş.	49,000	0.50	-	-	-	-	4,139	1,677,529
15 FORD OTOMOTİV SAN. A.Ş.	27,533,372	37.66	15,385,997	-	65,094	-	-4,320	-128,482,972 (**)
16 GARANTİ BALFOUR BEATTY İNŞ.SAN.VE TİC.AŞ	1,222,439	40.75	423,151	-	198	1,187	188,618	9,349,769
17 GOOD-YEAR LASTİKLERİ T.A.Ş.	1,143,504	9.60	778,371	29,622	11,389	-	-	-23,527,996 (**)
18 İZOCAM TİC. VE SAN. A.Ş.	1,221,710	20.36	1,140,525	65	723	-	55,872	4,240,587 (**)
19 KAV DANIŞMANLIK PAZARLAMA VE TİC. A.Ş.	1,221,083	18.98	352,961	844,536	615	8,622	10,990	1,232,040 (**)
20 KOÇBANK A.Ş.	33,973,646	25.17	677,075	-	1,159,637	-	133,966	19,517,213
21 KOÇ ALLIANZ HAYAT SİGORTA A.Ş.	7,594,690	37.97	-	-	1,193,101	-	13,115	3,227,248
22 KOÇ ALLIANZ SİGORTA A.Ş.	5,208,844	43.41	2,535,800	49,950	1,529,981	-	40,786	4,031,200
23 KOÇ ATA BEŞİ VE TARIM ÜRÜNLERİ A.Ş.	838,500	9.32	-	-	-	-	1,297	-
24 KOÇ ECE PROJE YÖNETİM VE TİC. A.Ş.	598,000	24.92	-	-	-	-	1,959	-
25 KOÇ FİAT KREDİ TÜKETİCİ FİNANSMANI A.Ş.	10,500,000	35.00	-	-	-	-	4,112	-
26 KOÇ FİNANSAL HİZMETLER A.Ş.	35,000,000	13.36	-	-	-	-	10	-
27 KOÇ FİNANSAL KİRALAMA A.Ş.	3,180,000	12.00	1,986,633	-	80,030	18,913	3,890	2,673,911
28 KOÇ KÜLTÜR SANAT VE TANITIM HİZMETLERİ TİC. A.Ş.	40,200	40.20	-	-	-	-	0	-
29 KOÇ TÜKETİCİ FİNANS. VE KART HİZMETLERİ A.Ş.	35,600,000	44.50	-	-	-	-	23,049	12,520,102
30 KOÇ YAPI MALZEMELERİ TİC.A.Ş.	336,828	43.18	17,323	31,441	4,704	2,071	9,555	1,878,611
31 KOÇTAŞ YAPI MARKETLERİ TİCARET A.Ş.	3,729,600	24.86	-	-	-	-	38,627	-1,457,660
32 KOÇ SİSTEM BİLGİ VE İLETİŞ.SİSTEML. A.Ş.	2,879,940	41.14	563,714	-	118,989	-	-687	4,071,996
33 LİPET LİKİT PET.GAZİ TİC. A.Ş.	292,500	32.50	292,125	-	-	-	3,383	911,331
34 MAKO ELEKTRİK SAN. VE TİC. A.Ş.	600,000	40.00	254,237	207,113	119,459	1,121	7,814	-386,079
35 MARET MARMARA BEŞ.ET SAN.TİC.AŞ	651,889	31.04	309,883	333,959	-	-	5,716	-1,478,558 (**)
36 MAREŞ ALTINYUNUS TUR.TES.AŞ	655,792	38.35	531,963	-	-	-	22,731	1,268,997 (**)
37 MATAY OTOM.YAN.SAN.VE TİC. A.Ş.	146,300	17.11	23,371	-	-	79	-	-
38 METAŞ İZMİR METALURJİ FAB. A.Ş.	2,895	0.41	3,461	-	-	-	-	-5,241,829 (**)
39 MIGROS TÜRK T.A.Ş.	23,000	0.25	-	-	-	-	159,917	13,442,258 (**)
40 NEW HOL. TRAKMAK TRAK. ZİRAAT MAK.AŞ	206,719	39.38	3,910	4,025	142,547	-	16,753	2,713,316
41 OTOKAR OTOBÜS KAROSERİ SAN.A.Ş	2,973,745	42.06	1,939,303	3,332	2,754	-	23,344	9,649,320 (**)
42 OTOMOTİV LAST.TEVZİ A.Ş.	115,067	46.03	2,887	577	-	174	39,420	557,780
43 OTOYOL PAZ. A.Ş.	564,000	40.00	110,320	10,024	3,600	-	-102,489	4,159,206
44 PASTAVİLLA MAKARNACILIK SAN.TİC.A.Ş.	294,673	24.56	150,870	-	-	48,034	13,482	446,869 (**)
45 RAM DIŞ TİC. A.Ş.	689,581	17.24	270	159,398	-	54,847	97,501	421,752
46 RAMERİCA	462,686	33.33	-	-	-	-	-	-
47 SAMKOÇAUTO ÖZBEKİSTAN	858,396	5.00	-	-	-	-	-	-
48 SANAL MERKEZ TİC. A.Ş.	45,000	10.00	-	-	-	-	-	-
49 SET AUTO BAKÜ AZERBEYCAN LTD.	16,474	30.00	-	-	-	-	-	-
50 SET OTO TİC. VE TURİZM A.Ş.	76,000	8.00	-	-	-	-	21,274	34,992
51 SETUR SERVİS TURİSTİK A.Ş.	2,090,821	24.89	4,865	119,586	-	2,064	-52,767	197,649
52 TAKOŞAN OTOMOBİL GÖSTERGELERİ SAN.VE TİC. A.Ş.	119,846	27.42	2,187	-	-	9	-	-
53 TAM SİGORTA A.Ş.	177	0.35	27	42	65	-	-	-
54 TAT KONSERVE SAN.A.Ş.	4,867,179	46.35	2,488,853	419,318	3	-	51,020	6,293,040 (**)
55 TAT TOHUMCULUK A.Ş.	150	3.00	90	-	-	-	1,397	163,323
56 TEK-ART KALAMIŞ MARİNA VE YAPI ELAMANL. SAN.A.Ş.	601,220	26.14	-	-	-	-	6,359	-
57 TEKERSAN A.Ş.	777,726	33.09	-	-	-	-	11,402	-
58 TNT LOJİSTİK VE DAĞITIM HİZMETLERİ A.Ş.	572,000	44.00	-	-	-	-	4,753	-
59 TOFAŞ TÜRK OTOMOBİL FAB.A.Ş.	64,054,401	37.59	37,176,969	6,670	105,645	11,652,209	183,493	-55,384,544 (**)
60 TÜRK DEMİR DÖKÜM FAB. A.Ş.	4,609,647	46.10	2,541,618	131,951	10,627	829,415	221,582	-26,225,874 (**)
61 TUTAŞ TÜRK TURİZM A.Ş.	1,959,509	45.57	431,849	-	188	-	-2,833	-1,019,269
62 ULTRA KABLOLU TV.VE TELEKOMÜNİKAS. SAN.TİC.A.Ş.	1,350,000	16.67	-	-	-	-	3,139	-2,807,518
63 ZİNERJİ ENERJİ SANAYİ TİCARET A.Ş.	74,000	37.00	-	-	-	-	6,065	16,319
TOTAL	326,082,129		103,855,101	4,978,164	4,582,477	13,025,252		

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS
FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

31 DECEMBER 2001**THE SHAREHOLDING PERCENTAGES AND AMOUNTS FOR ASSOCIATES, INVESTMENTS AND SUBSIDIARIES, THE TOTAL AMOUNT OF
BONUS SHARES OBTAINED BY CAPITAL INCREASES FROM INTERNAL SOURCES**

SUBSIDIARIES	Registered value (Nominal)	Percentage of issued capital owned (%)	Revaluation surplus	Fixed assets sale income	Extraordinary reserves	Cost increase fund	Short-term trade receivables payables	Net profit (loss) for the year (*)
1 BELDEŞAN OTOMOTİV YAN.SAN. VE TİC. A.Ş.	3,323,377	79.13	147,051	1,619,485	18,691	26,512	18,407	259,368
2 BİLKOM BİLİŞİM HİZMETLERİ A.Ş.	192,335	69.94	-	-	-	-	3,540	
3 BİRMOT BİRLEŞİK MOTOR SANAYİ VE TİC. A.Ş.	9,900,000	99.00					1,282,807	
4 BOZKURT TARIM GIDA SAN. VE TİC. A.Ş.	723,324	67.54	486	-	-	-	-437	
5 BURSA GAZ VE TİC. A.Ş.	707,533	59.55	173,253	945,701	881,533	30,068	27,211	1,748,403
6 DÖKTAŞ DÖKÜM.TİC. VE SAN. A.Ş.	9,811,753	51.10	7,376,616	794,752	241	-	103,263	-6,905,192 (**)
7 GVZ SES TANIMA TEK.YAZILIM VE HİZM. A.Ş.	637,492	85.00	-	-	-	-	0	
8 İ.D.E.A. A.Ş.	122,000	81.33	-	-	-	-	-221,080	
9 İST.FRUEHAUF TAŞ.ARÇ.SAN.TİC.AŞ	508,500	50.85	347,629	-	-	-	38,413	10,897
10 KOÇNET HABERLEŞME TEKNO.VE İLET. HİZM. A.Ş.	14,499,600	99.99	-	-	-	-	-163,019	
11 KOFİSA TRADING COMP.SA.	161	50.00	-	-	-	-	-	
12 OTOKOÇ OTOMOTİV TİCARET VE SAN. A.Ş.	5,940,000	99.00					3,195,018	
13 OTOYOL SAN. A.Ş.	4,800,000	60.00	4,645,275	2,187	18,000	-	336,997	1,811,715
14 RMK MARİNE GEMİ YAP. SAN.VE DENİZ TAŞ.İŞL. A.Ş.	962,500	55.00	1,485	-	-	-	18,811	100,409
15 SEK SÜT END.KUR.SAN VE TİC. A.Ş.	2,899,170	56.31	608,970	-	-	-	22,272	458,601
16 SETAIR HAVA TAŞ. VE HİZM. A.Ş.	30,000	60.00	-	-	-	-	-132,851	8,767
17 TÜRK TRAKTÖR VE ZİRAAT MAK. AŞ	7,499,480	62.50	5,756,398	-	-	-	34,561	25,275,961
TOTAL	62,557,225		19,057,163	3,362,125	918,464	56,580		
GRAND TOTAL	388,639,354		122,912,264	8,340,290	5,500,942	13,081,832		

(*) For listed companies 30 September 2001 financial statements, for other companies 31 December 2000 financial statements that were authorised by the General Assembly have been considered.

(**) These are listed companies. For listed companies six month limited and year end audit reports are available and the audit opinions are all clean.

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS
FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

31 DECEMBER 2000**THE SHAREHOLDING PERCENTAGES AND AMOUNTS FOR ASSOCIATES, INVESTMENTS AND SUBSIDIARIES, THE TOTAL AMOUNT OF
BONUS SHARES OBTAINED BY CAPITAL INCREASES FROM INTERNAL SOURCES**

ASSOCIATES & INVESTMENTS	Registered value (Nominal)	Percentage of issued capital owned (%)	Revaluation surplus	Fixed assets sale income	Extraordinary reserves	Cost increase fund	Short-term trade receivables payables	Net profit (loss) for the year (*)
1 AKPA AKDENİZ SAN.MAM. PAZ. A.Ş.	7,500	15.00	4,985	-	578	1,188	2,253	131,045
2 ALTINYUNUS ÇEŞME TUR.TESLA.Ş.	421,200	30.00	325,669	-	-	-	-	92,104 (**)
3 ARÇELİK A.Ş.	23,719,095	39.14	13,111,504	724,028	9,375	-	1,036,359	70,810,214 (**)
4 ARÇELİK LG KLİMA SANAYİ VE TİC. A.Ş.	599,900	5.00	-	-	-	-	1,544	-
5 ASIA PACIFIC A.Ş.	868	11.50	95	-	-	-	0	-
6 AYGAZ A.Ş.	8,246,297	41.23	5,830,541	111,441	11,148	125,038	55,187	17,682,752 (**)
7 AYVALIK MARİNA VE YAT.İŞL.SAN.TİC. A.Ş.	30,864	7.72	-	-	-	-	-	-
8 BASIC INT. INVESTMENT LTD	508,137	18.49	-	-	-	-	-	-
9 BEKO TİCARET A.Ş.	195,000	39.00	60,529	93,534	3,425	1,368	78,364	-
10 BEKO ELEKTRONİK A.Ş.	5,226,901	32.87	2,273,374	1,184	906	-	96,758	4,547,709 (**)
11 BELDESAN OTOMOTİV YAN.SAN. VE TİC. A.Ş.	1,852,247	44.10	147,051	1,619,485	18,691	26,512	82,792	769,783
12 BİRLEŞİK OKSİJEN SAN. A.Ş.	1,590	1.00	-	-	-	-	8,903	526,430
13 BURSA OTO A.Ş.	858,000	39.00	190,100	653,585	3,551	1,478	7,386	1,452,746
14 BURSA GAZ VE TİC. A.Ş.	19,900	39.80	16,107	-	9	-	1,989	586,354
15 DOĞU YATIRIM HOLDİNG A.Ş.	10,000	1.43	-	-	-	-	-	-
16 DÜZEY TÜKETİM MALLARI PAZ. A.Ş.	377,406	31.15	19,204	350,503	277	3,352	39,054	715,395
17 EGE OTO A.Ş.	230,100	38.35	88,639	137,362	953	-	2,420	397,353
18 EGEMAK EGE MAKİNE VE TİC. A.Ş.	872,350	39.83	182,404	675,875	-	3,179	13,984	581,258
19 ENTEK ELEK.ÜRET.OTO PRODÜK. GRUBU A.Ş.	49,000	0.50	-	-	-	-	2,537	-1,774,298
20 FORD OTOMOTİV SAN. A.Ş.	11,013,349	37.66	4,372,648	-	65,094	-	466,207	34,991,787 (**)
21 GARANTİ BALFOUR BEATTY İNŞ.SAN.VE TİC.AŞ	1,222,439	40.75	423,151	-	198	1,187	92,997	4,345,978
22 GAZAL GAZ ALETLERİ A.Ş.	126,000	28.00	43,786	29,051	8,000	1,860	20,128	538,480
23 GOOD-YEAR LASTİKLERİ T.A.Ş.	1,143,504	9.60	778,371	29,622	11,389	-	-	-6,326,302 (**)
24 GÜNOTO GÜNEY OTOM. VE TİC. A.Ş.	477,000	39.75	102,228	359,322	346	1,779	31,577	1,270,743
25 İST.FRUEHAUF TAŞ.ARÇ.SAN.TİC.AŞ	174,250	34.85	173,379	-	-	-	168,824	-978,031
26 İSTANBUL OTO A.Ş.	1,188,174	39.61	421,702	728,533	-	-	8,979	1,808,388
27 İZOCAM TİC. VE SAN. A.Ş.	916,283	20.36	880,912	65	723	-	48,361	3,021,375 (**)
28 KAV DANIŞMANLIK PAZARLAMA VE TİC. A.Ş.	1,221,083	18.98	352,961	844,536	615	8,622	2,762	3,122,252 (**)
29 KOÇBANK A.Ş.	9,663,646	9.66	677,075	-	1,159,637	-	1,715	63,201,286
30 KOÇ ALLIANZ HAYAT SİGORTA A.Ş.	1,959,920	49.00	-	-	458,131	-	18,997	3,286,545
31 KOÇ ALLIANZ SİGORTA A.Ş.	2,604,420	43.41	1,450,624	49,949	10,735	-	26,308	6,921,796
32 KOÇ ATA BESİ VE TARIM ÜRÜNLERİ A.Ş.	838,500	19.50	-	-	-	-	9,900	-
33 KOÇ ECE PROJE YÖNETİM VE TİC. A.Ş.	598,000	49.83	-	-	-	-	1,521	-
34 KOÇ FIAT KREDİ TÜKETİCİ FİNANSMANI A.Ş.	300,000	5.00	-	-	-	-	-	-
35 KOÇ FİNANSAL KİRALAMA A.Ş.	2,530,000	11.00	1,980,000	-	-	-	14,880	11,831,565
36 KOÇ TÜKETİCİ FİNANS. VE KART HİZMETLERİ A.Ş.	6,230,000	44.50	-	-	-	-	33,901	8,282,687
37 KOÇ YAPI MALZEMELERİ TİC.A.Ş.	336,828	43.18	17,323	31,440	4,704	2,070	45,758	-1,431,064
38 KOÇTAŞ YAPI MARKETLERİ TİCARET A.Ş.	64,600	49.69	-	-	-	-	164,059	-
39 KOÇ SİSTEM BİLGİ VE İLETİŞİM SİSTEML. A.Ş.	2,057,100	41.14	1,205	-	2,656	-	254,105	3,413,030
40 KUZEY MOTORLARI TİC. VE SAN.AŞ	33,480	31.00	30	293	708	-	6,213	49,059
41 LİPET LİKİT PET.GAZI TİC. A.Ş.	29,250	32.50	28,875	-	-	-	20,972	536,633
42 MAKO ELEKTRİK SAN. VE TİC. A.Ş.	600,000	40.00	254,237	207,113	119,459	1,121	31,580	44,127
43 MARET MARMARA BES.ET SAN.TİC.AŞ	651,889	31.04	309,883	333,959	-	5,531	-	1,014,489 (**)
44 MARMARA OTO A.Ş.	902,000	41.00	207,490	665,322	88	2,229	9,806	1,664,218
45 MARES ALTINYUNUS TUR.TES.AŞ	177,883	31.21	94,768	-	-	-	18,312	560,917 (**)
46 MATAY OTOM.YAN.SAN.VE TİC. A.Ş.	26,600	3.11	23,371	-	-	79	-	-
47 METAŞ İZMİR METALURJİ FAB. A.Ş.	2,895	0.41	3,461	-	-	-	-	-4,028,398 (**)
48 MIGROS TÜRK T.A.Ş.	23,000	0.25	-	-	-	-	89,592	12,634,459 (**)
49 NEW HOL. TRAKMAK TRAK. ZİRAAT MAK.A.Ş	166,304	31.68	3,910	4,025	142,547	-	53,473	1,512,875
50 ORMAK ORTA ANADOLU MAK.TİC.A.Ş	468,000	39.00	198,508	158,329	1,318	74,163	-	1,996,404
51 OTOAN OTOMOBİL TİCARET A.Ş.	200,000	20.00	-	-	-	-	2,709	47,515
52 OTOKAR OTOBÜS KAROSERİ SAN.A.Ş	1,982,497	42.06	1,443,679	3,332	2,754	-	57,535	5,974,436 (**)
53 OTOKOÇ A.Ş.	234,060	39.01	87,218	139,543	741	111	10,545	792,402
54 OTOMOTİV LAST.TEVZİ A.Ş.	12,027	12.03	2,887	577	-	174	30,552	353,808
55 OTOYOL PAZ. A.Ş.	240,000	40.00	76,412	10,024	3,600	-	52,390	-169,561
56 OTTAR OTO VE TARIM ARAÇ.TİC.AŞ	452,865	39.90	71,394	372,427	109	1,194	22,357	854,189
57 PASTAVİLLA MAKARNACILIK SAN.TİC.A.Ş.	147,337	29.47	51,050	-	-	518	5,596	431,466 (**)
58 PORSUK TİC. A.Ş.	39,000	39.00	10,799	23,857	946	335	3,702	195,379
59 RAM DIŞ TİC. A.Ş.	685,581	17.14	270	159,398	-	54,847	-594,607	-140,528
60 RAMERICA	462,686	33.33	-	-	-	-	-	-

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS
FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

31 DECEMBER 2000**THE SHAREHOLDING PERCENTAGES AND AMOUNTS FOR ASSOCIATES, INVESTMENTS AND SUBSIDIARIES, THE TOTAL AMOUNT OF
BONUS SHARES OBTAINED BY CAPITAL INCREASES FROM INTERNAL SOURCES**

ASSOCIATES & INVESTMENTS	Registered value	Percentage of issued capital owned (%) (Nominal)	Revaluation surplus	Fixed assets sale income	Extraordinary reserves	Cost increase fund	Short-term trade receivables payables	Net profit (loss) for the year (*)
61 SAM OTO A.Ş.	26,000	26.00	-	-	-	-	11,200	16,960
62 SAMKOÇAUTO ÖZBEKİSTAN	858,396	5.00	-	-	-	-	-	-
63 SANAL MERKEZ TİC. A.Ş.	30,000	5.00	-	-	-	-	-	-
64 SET OTO TİC. VE TURİZM A.Ş.	76,000	8.00	-	-	-	-	8,893	-199,499
65 SETUR SERVİS TURİSTİK A.Ş.	815,689	9.71	4,865	119,586	-	2,064	-24,247	-1,180,513
66 STANDARD MOTÖR TİC. VE SAN. A.Ş.	461,666	29.84	50,594	338,399	2,640	459	27,331	799,111
67 TAKOŞAN OTOMOBİL GÖSTERGELERİ SAN.VE TİC. A.Ş.	48,634	11.13	2,187	-	-	9	202	242,164
68 TAM SİGORTA A.Ş.	177	0.35	27	42	65	-	-	-
69 TAT KONSERVE SAN.A.Ş.	3,244,786	46.35	1,190,938	419,318	3	-	31,468	2,263,217 (**)
70 TAT TOHUMCULUK A.Ş.	150	3.00	90	-	-	-	873	122,954
71 TEK-ART KALAMIŞ VE FENERBAHÇE MARİNA	601,220	26.14	-	-	-	-	1,303	-
72 TNT LOJİSTİK VE DAĞITIM HİZMETLERİ A.Ş.	572,000	44.00	-	-	-	-	761	-
73 TOFAŞ TÜRK OTOMOBİL FAB.A.Ş.	24,045,130	37.86	10,185,792	-	26,901	-	103,500	19,051,871 (**)
74 TOFAŞ OTO TİC. A.Ş.	273,120	8.96	210,745	6,669	78,744	-	50,062	1,668,743 (**)
75 TORMAK TOROS MAK. VE TİC. A.Ş.	842,800	39.20	159,914	672,736	619	-	29,314	1,125,664
76 TOROTO OTOMOTİV TİCARET A.Ş.	18,750	15.00	-	-	-	-	-	135,026
77 TÜRK DEMİR DÖKÜM FAB. A.Ş.	4,609,647	46.10	2,541,618	131,951	10,627	829,415	164,951	3,019,904 (**)
78 TÜRK TRAKTÖR VE ZİRAAT MAK. AŞ	5,853,217	48.78	5,756,398	-	-	-	90,305	3,033,696
79 TUTAŞ TÜRK TURİZM A.Ş.	1,240,175	28.84	431,849	-	188	-	37,267	-910,071
80 ULTRA KABLOLU TV.VE TELEKOMÜNİKAS. SAN.TİC.A.Ş.	1,350,000	16.67	-	-	-	-	1,521	-1,011,058
81 ZİNERJİ ENERJİ SANAYİ TİCARET A.Ş.	74,000	37.00	-	-	-	-	-42,033	-
TOTAL	140,470,362		57,328,826	10,206,417	2,163,194	1,144,351	3,159,438	

SUBSIDIARIES	Registered value	Percentage of issued capital owned (%)	Revaluation surplus	Fixed assets sale income	Extraordinary reserves	Cost increase fund	Short-term trade receivables payables	Net profit (loss) for the year (*)
1 AKYAK TİC. A.Ş.	1,020,800	88.00	72,987	921,844	880	18,920	20,035	508,506
2 BOZKURT TARIM GIDA SAN. VE TİC. A.Ş.	723,324	67.54	486	-	-	-	-	-
3 DOKTAŞ DÖKÜM.TİC. VE SAN. A.Ş.	4,905,876	51.10	2,470,740	794,752	241	-	112,038	-1,054,214 (**)
4 GVZ SES TANIMA TEK.YAZILIM VE HİZM. A.Ş.	637,493	85.00	-	-	-	-	-	-
5 İ.D.E.A. A.Ş.	122,000	81.33	-	-	-	-	-70,045	-
6 KOÇNET HABERLEŞME TEKNO.VE İLET. HİZM. A.Ş.	6,999,800	99.99	-	-	-	-	-14,278	-
7 KOÇTEL TELEKOMÜNİKASYON HİZMETLERİ A.Ş.	40,200	80.40	-	-	-	-	38	-
8 KOİSA TRADING COMP.SA.	161	50.00	-	-	-	-	-	-
9 OTOMOTÖR TİC. A.Ş.	13,630	68.15	3	-	-	-	6,414	31,995
10 OTOYOL SAN. A.Ş.	2,400,000	60.00	2,245,275	2,187	18,000	-	57,081	-1,111,990
11 RMK MARİNE GEMİ YAP. SAN.VE DENİZ TAŞ.İŞL. A.Ş.	962,500	55.00	1,485	-	-	-	3,241	555,935
12 SEK SÜT END.KUR.SAN VE TİC. A.Ş.	2,899,170	56.31	608,970	-	-	-	63,199	-4,417,012
13 SETAİR HAVA TAŞ. VE HİZM. A.Ş.	30,000	60.00	-	-	-	-	-65,158	-
14 SET AUTO BAKÜ AZERBEYCAN LTD.	16,474	60.00	-	-	-	-	-	-
15 SUR OTO A.Ş.	477,600	79.60	457,700	-	-	-	21,399	827,297
TOTAL	21,249,028		5,857,645	1,718,783	19,121	18,920	133,964	
GRAND TOTAL	161,719,390		63,186,472	11,925,200	2,182,315	1,163,271	3,293,402	

(*) For listed companies 30 September 2000 financial statements, for other companies 31 December 1999 financial statements that were authorised by the General Assembly have been considered.

(**) These are listed companies. For listed companies six month limited and year end audit reports are available and the audit opinions are all clean.

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS
FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**
(Amounts expressed in millions of Turkish lira)**10. Account balances and transactions with shareholders, associates, investments and subsidiaries (Continued)**

b) As of 31 December 2001 and 2000 capital commitments to investments and associates are listed below:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Koç Tüketici Finansmanı ve Kart Hizmetleri A.Ş.	20,025,000	-
Koç Allianz Hayat Sigorta A.Ş.	4,899,800	-
Tek-Art Kalamış ve Fenerbahçe Marina	49,274	49,274
Entek Elek. Üret. Oto Prod. Grubu A.Ş.	9,750	9,750
Doğru Yatırım Holding A.Ş.	32	-
Ultra Kablolu Televizyon ve Telekomünikasyon San. Tic. A.Ş.	-	350,000
TNT Lojistik ve Dağıtım Hizmetleri A.Ş.	-	286,000
	<u>24,983,856</u>	<u>695,024</u>

c) As of 31 December 2001 and 2000 capital commitments to subsidiaries are listed below:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Koç Net Haberleşme Tekno. ve İlet. Hizm. A.Ş.	-	1,725,396
GVZ Ses Tanıma Tek. Yazılım ve Hizm. A.Ş.	-	157,495
RMK Marine Gemi Yapım San. ve Deniz Taş. İşl. A.Ş.	-	110,000
	-	<u>1,992,891</u>

d) As of 31 December 2001 and 2000 account balances with shareholders are listed below:

	<u>31 December 2001</u>	<u>31 December 2000</u>
<u>Receivables from shareholders</u>		
Koç Family	2,399	-
Vehbi Koç Vakfı	60	8,881
Nazar Dayanıklı ve Dayanaksız Sınai Mallar Pazarlama A.Ş.	-	2,568
	<u>2,459</u>	<u>11,449</u>

Payables to shareholders

	<u>31 December 2001</u>	<u>31 December 2000</u>
Temel Ticaret ve Yatırım A.Ş.	782,292	-
Dividends payable	16,839	10,345
	<u>799,131</u>	<u>10,345</u>

e) As of 31 December 2001, 69,055 (2000: 53,812) of the other short-term receivables balance includes project expenses incurred for associates, investments and subsidiaries and each will be invoiced to the relevant associate, investment or subsidiary.

KOÇ HOLDİNG A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34

NOTES TO BALANCE SHEETS

FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000

(Amounts expressed in millions of Turkish lira)

11. Accounting policies: (Continued)

The CMB has set forth principles and rules relating to the preparation and presentation of financial statements and reports prepared on or after 31 December 1988 by companies and intermediary institutions in Communiqué XI/1, as amended and supplemented by Communiqués XI/4, XI/5, XI/11, XI/13, XI/14, XI/15 and XI/17. Hereafter, such principles and rules are referred to as "generally accepted accounting principles issued by the CMB".

The Company has therefore prepared its financial statements in accordance with Turkish commercial legislation and the generally accepted accounting principles issued by the CMB.

The significant accounting policies are as follows:

a) Fixed assets and depreciation

Fixed assets subject to depreciation are reflected at acquisition cost in the accounts and they are revalued based on the rates and procedures determined by the Ministry of Finance each year. Except for buildings, depreciation is allocated from revalued amounts. Except for the airplane acquired in 2001, depreciation is provided for using the straight-line method up to 1992 and the double-declining balance method beginning from the purchases of 1993 based on the rates stated below:

	For 1982 and before %	For 1983-1992 %	For 1993-1994 %	For 1995 and after %
Buildings	2	2	4	4
Machinery, plant and equipment	-	25	50	40
Motor vehicles	15	25	50	40
Furniture and fixtures	6 - 15	25	50	40

The airplane acquired in 2001 is subject to 15% annual depreciation based on the straight-line method.

b) Associates, investments and subsidiaries

Associates, investments and subsidiaries are stated at acquisition cost plus the nominal value of shares obtained by paid and non-paid capital increases of the companies concerned.

Associates, investments and subsidiaries are revalued at their market prices if there is a material decrease in their market value and there is no objective and reasonable proof that this decrease is temporary.

If the capital increase of the associate and/or investment is funded from the associate's and/or investment's retained earnings or from the revaluation fund, the nominal value of the shares obtained is added to the Company's investment revaluation fund.

c) Banks

Interest income accruals of time deposits in bank balances are included in other current assets.

d) Foreign currency transactions

Transactions in foreign currencies are translated into Turkish lira at the exchange rates prevailing at the dates of such transactions. Balance sheet items denominated in foreign currencies are translated at the exchange rates prevailing at the balance sheet dates. Foreign exchange gains or losses arising from settlement and translation of foreign currency items are included in the related income and expense accounts, as appropriate.

e) Employment termination benefits

In accordance with existing social legislation in Turkey, the Company is required to pay lump sum termination indemnities to each employee who has completed one year of service with the Company and whose employment is terminated without due cause, who retires, completes 25 years of service (20 years for women), is called up for military service, or dies. Such payments are calculated on the basis of 30 days' pay limited to 978.02 at 31 December 2001 (2000: 587.72) per year of employment (at the rate of pay applicable at the date of retirement or termination). As required by Turkish Labour Law employment termination benefits are recognised in the financial statements as they are earned.

KOÇ HOLDİNG A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34

NOTES TO BALANCE SHEETS FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000

(Amounts expressed in millions of Turkish lira)

11. Accounting policies: (Continued)

f) Tax provision:

Tax provisions have been recorded in line with the legal requirements.

g) Other balance sheet items

Other balance sheet items are principally reflected at their historical values.

12. Subsequent events

As of 1 January 2002 the legal limit for employment termination benefits has increased to 1,076.4. This has increased the Company's liabilities by 67,891 subsequent to the balance sheet date.

13. Contingent losses and gains

None. (2000: None)

14. Changes in accounting forecasts and their monetary effects

There have been no changes in accounting estimations having a material effect on the Company's gross profit margin. (2000: None)

15. Mortgages or guarantees on assets

None. (2000: None)

16. Total insurance coverage on assets

The total insurance coverage for cash and fixed assets amounted to 61,726,974 (2000: 19,835,063).

17. Guarantees and collaterals obtained

Letters of guarantee obtained from Koçbank A.Ş. amounting to 7,363,602 (2000: 13,707,581) are recorded in off-balance sheet accounts.

18. Off-balance sheet commitments and contingent liabilities

a) The Company has syndicated loans received from banks abroad amounting to US\$175,000,000 (2000: US\$250,000,000) that were transferred to group companies (Beko Elektronik A.Ş., Koç Finansal Kiralama A.Ş., Koç Ata Besi ve Tarım Ürünleri A.Ş., Ram Dış Ticaret A.Ş., Sek Süt Endüstrisi Kurumu San. ve Tic. A.Ş., Setur Servis Turistik A.Ş., Zinerji Enerji ve Sanayi Ticaret A.Ş., Tekersan Jant Sanayi A.Ş., Set Oto Ticaret ve Turizm A.Ş., Koç Yapı Malzemeleri Ticaret A.Ş., Beldeyama Motorlu Vasıtalar Sanayi ve Ticaret A.Ş.) with the same conditions.

b) At the Board of Directors' meeting on 11 December 2001, the Company management decided to submit a guarantee of USD 72,221,998 in conjunction with 50% of the loan amounting to USD 144,443,997 obtained by Ford Otomotiv Sanayi A.Ş. to finance its investments in Gölcük with validity until 01 January 2004 subject to Ford Motor Co's. acting as guarantor for the other 50% of this loan should the need arise.

19. Blocked deposits at banks

None. (2000: None)

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS****FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

20. Market value of marketable securities and financial assets carried at cost and carrying amount of marketable securities and financial assets shown at market value:

Market value of 19 investments (2000:19) with an acquisition cost of 182,383,478 (2000: 93,102,625) which are quoted on the İstanbul Stock Exchange amounts to 1,739,303,096 (2000: 995,371,528). Other associates, investments and subsidiaries are not quoted on the Stock Exchange.

There are no marketable securities as of 31 December 2001. (2000: Marketable securities in the form of Turkish government bonds and bills cost 40,251,194 and are shown at a market value of 40,247,097 on the balance sheet including 4,097 interest expense accrual).

Except for these marketable securities, there are no marketable securities and financial assets on the balance sheet stated at their market values.

21. Marketable securities of shareholders, associates and investments included under marketable securities

None. (2000: None)

22. Items that exceed 20% of the "other" captions under which they are included or that exceed 5% of the balance sheet total assets in the financial statementsOther current assets:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Income accruals	1,765,718	2,973,453
Prepaid taxes and funds	853,678	1,162,010
Prepaid expenses for the following periods	829,703	-
Income accruals	49,990	27,130
Other	-	277,871
	<u>3,499,089</u>	<u>4,440,464</u>

Other short-term receivables:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Personnel advances	12,225	4,150
Receivable from tax offices	-	1,161,484
Customers	-	532,032
Job advances	-	10,165
Other	104	6
	<u>12,329</u>	<u>1,607,837</u>

Other intangible assets:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Koç Holding A.Ş. merger account	6,630,336	150,759
Leasehold improvements	872,024	-
Other	-	13,368
	<u>7,502,360</u>	<u>164,127</u>

Other current liabilities:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Payable to personnel	2,506,727	1,558,104
Other	41,398	-
	<u>2,548,125</u>	<u>1,558,104</u>

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO BALANCE SHEETS****FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

22. Items that exceed 20% of the "other" captions under which they are included or that exceed 5% of the balance sheet total assets in the financial statements (Continued)

Provision for other liabilities and expenses:

	<u>31 December 2001</u>	<u>31 December 2000</u>
Provision for interest expense	364,531	11,500
Provision for telephone, electricity and water expenses	44,854	-
	<u>409,385</u>	<u>11,500</u>

23. Receivables from and payables to personnel included under other receivables and other long or short-term liabilities accounts and exceeding 1% of assets

None. (2000: None)

24. Doubtful receivables due from shareholders, associates and investments

None. (2000: None)

25. Doubtful overdue and non-overdue receivables

The total amount of doubtful overdue short term and long term receivables are 2,210,314 (2000: None) and 5,892 (2000: None), respectively.

26. Associates, investments and subsidiaries

Stated in balance sheet note 10.a.

27. Pro-rata share stock amounts realised from associates and investments

Stated in balance sheet note 10.a.

28. Real rights on fixed assets and their values

None. (2000: None)

29. Revaluation of property, plant and equipment in last three years

Disclosed in Balance Sheet Note 8c.

30. Foreign currency asset and liabilities

As of 31 December 2001 and 2000, assets not hedged and denominated in foreign currency are as follows:

<u>31 December 2001</u>				
	<u>Foreign currency</u>	<u>Type of currency</u>	<u>Exchange rate</u>	<u>TL million</u>
Banks	21,026,653.65	USD	1,439,567	30,269,277
Borrowings	41,212,515.00	USD	1,446,510	59,614,315
<u>31 December 2000</u>				
	<u>Foreign currency</u>	<u>Type of currency</u>	<u>Exchange rate</u>	<u>TL million</u>
Banks	588.26	DM	316,265	186
	7,277,417.50	USD	671,765	4,888,714
Customers	13,043.20	USD	671,765	8,762
				<u>4,897,662</u>

KOÇ HOLDİNG A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34

NOTES TO BALANCE SHEETS FOR THE PERIODS 1 JANUARY -31 DECEMBER 2001 AND 2000 (Amounts expressed in millions of Turkish lira)

31. Guarantees, commitments and securities given for shareholders, investments and subsidiaries

None (2000: None).

32. Average number of employees

The average number of salaried personnel working during 2001 is 169 (2000: 172).

33. Additional information affecting financial statements and assisting in the interpretation and understanding of financial statements

On 9 July 2001, following the recommendation of the Management Committee and based on the approvals of Capital Markets Board numbered OFD/1574-6901 and Ministry of Industry and Commerce Domestic Trade General Directorate numbered 4807 on 19 June 2001, (The Extrarordinary General Board of the Company) decided to merge the Company with Bursa Oto A.Ş., Ege Oto A.Ş., Egemak Ege Makina ve Ticaret A.Ş., Gün Oto Güney Otomobil Ticaret A.Ş., İstanbul Oto A.Ş., Kuzey Motorları Ticaret ve Sanayi A.Ş., Marmara Oto A.Ş., Ormak Orta Anadolu Makina ve Ticaret A.Ş., Otoan Otomobil Ticaret A.Ş., Otokoç A.Ş., Otomotör Ticaret A.Ş., Ottar Oto ve Tarım Araçları Ticaret A.Ş., Samoto Otomobil Ticaret A.Ş., Standart Motor Ticaret ve Sanayi A.Ş., Suroto A.Ş., Tormak Toros Makina ve Ticaret A.Ş. and Toroto Otomotiv Ticaret ve Sanayi A.Ş. based on the provisions Turkish Commercial Code numbered 37,38 and 39 and to sign a merger contract with these companies. This merger was realised on 12 July 2001 based on the 31 December 2000 audited accounts of all companies concerned. As a result of this merger the share capital of Koç Holding A.Ş. increased from 85,469,600 to 101,578,003 and consequently the newly issued shares were distributed to the shareholders of these 17 car-dealer companies except for Koç Holding A.Ş.. The net income arising from the merger amounting to 6,178,053 was seperately displayed in the statement of income for the year ended at 31 December 2001.

34. Explanation added for convenience translation into English

As indicated in Note 11, these financial statements are prepared and presented in accordance with the accounting and reporting principles issued by the Turkish Capital Markets Board, which are different from the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Accounting Standards (IAS). The effects of such differences have not been quantified. Accordingly, these financial statements are not intended to present the financial position and results of operation and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IAS.

KOÇ HOLDİNG A.Ş.

**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS' REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34
STATEMENTS OF INCOME FOR THE PERIODS 1 JANUARY - 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish liras)

	2001	2000
GROSS SALES		
Domestic sales	16,073,401	11,775,778
OPERATING EXPENSES		
General and administrative expenses	-30,076,523	-17,487,013
INCOME AND GAINS FROM OTHER OPERATING ACTIVITIES		
Dividends from investments	42,343,878	34,372,037
Dividends from subsidiaries	9,463,928	539,639
Interest and other dividend income	10,545,806	17,458,064
Other income and gains from operating activities	2,186,107	363,401
FINANCIAL EXPENSES		
Short-term borrowing expenses	-714,724	-
EXTRAORDINARY REVENUES AND INCOME		
Other extraordinary revenues and income	2,248,723	1,999,246
EXTRAORDINARY EXPENSES AND LOSSES		
Other extraordinary expenses and losses	-3,287,964	-11,334
OPERATING PROFIT		
	48,782,632	49,009,818
TAXATION (-)		
	-153,897	-5,556,219
	48,628,735	43,453,599
FUSION NET INCOME FOR THE PERIOD		
	6,178,053	
NET INCOME FOR THE PERIOD		
	54,806,788	43,453,599

The accompanying notes form an integral part of these financial statements

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO STATEMENT OF INCOME
FOR THE PERIODS 1 JANUARY - 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

1. Depreciation and amortisation expenses

- a) Depreciation expense is 6,891,252 (2000: 2,871,133).
 i) Normal depreciation expense is 6,011,800 (2000: 2,559,451).
 ii) Depreciation expense due to revaluation is 879,452 (2000: 311,682).
 b) Amortisation expense is 1,906,414 (2000: 4,715).

2. Rediscount and provision expenses for the period

	<u>31 December 2001</u>	<u>31 December 2000</u>
Provision for doubtful receivables	(1,630,379)	-
Provision for employment termination benefits	373,331	274,276
Tax provisions	153,897	5,556,219
Discount interest gains	107,217	-
Discount interest losses	(15,460)	-

3. Financial expenses

714,724. (2000: None)

4. Financial expenses related to shareholders, associates, investments and subsidiaries

None. (2000: None)

5. Sales to and purchases from shareholders, associates, investments and subsidiaries

Service sales to and income from rights from associates, investments and subsidiaries amount to 12,202,271 (2000: 7,548,134).

6. Interest, rent and similar charges received from and paid to associates, investments and subsidiaries

Income earned from associates, investments and subsidiaries is as follows:

a) Dividend income

	<u>31 December 2001</u>	<u>31 December 2000</u>
i) <u>Associates and investments</u>		
Arçelik A.Ş.	14,231,457	9,487,638
Ford Otomotiv San. A.Ş.	5,506,674	-
Koç Tüketici Finansmanı ve Kart Hizmetleri A.Ş.	3,782,500	2,225,000
Koç Allianz Sigorta A.Ş.	2,604,421	1,953,315
Otokar Otobüs Karoseri Sanayi A.Ş.	1,982,497	878,752
Aygaz A.Ş.	1,783,972	5,360,093
Koç Allianz Hayat Sigorta A.Ş.	1,469,940	1,396,443
Beko Elektronik A.Ş.	1,306,725	871,150
Beko Ticaret A.Ş.	1,170,000	-
Tat Konserve San. A.Ş.	1,024,962	265,432
Otoyol Pazarlama A.Ş.	770,093	-
New Holland Trakmak	665,217	-
Ormak Orta Anadolu Mak. Tic. A.Ş.	663,624	-
Kav Danışmanlık Pazarlama ve Tic. A.Ş.	541,587	712,150
Marmara Oto A.Ş.	422,136	451,000
İstanbul Oto A.Ş.	351,700	522,796
Koçbank A.Ş.	-	5,798,188
Diğer	4,066,373	3,563,308
	<u>42,343,878</u>	<u>33,485,265</u>

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
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FOR THE PERIODS 1 JANUARY - 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

6. Interest, rent and similar charges received from and paid to associates, investments and subsidiaries (Continued)**ii) Subsidiaries**

	<u>31 December 2001</u>	<u>31 December 2000</u>
Türk Traktör ve Ziraat Mak. A.Ş.	8,803,239	886,762
Sur Oto A.Ş.	649,536	318,400
Otomotör A.Ş.	11,153	-
Akyak A.Ş.	-	140,800
I.D.E.A. A.Ş.	-	80,439
	<u>9,463,928</u>	<u>1,426,401</u>

b) Commission and interest accrued

	<u>31 December 2001</u>	<u>31 December 2000</u>
Zinerji Enerji ve Sanayi Tic. A.Ş.	1,427,863	426,802
Koç Finansal Kiralama A.Ş.	428,359	68,288
Sek Süt Endüstrisi Kurumu A.Ş.	164,204	40,973
Beko Elektronik A.Ş.	149,926	34,144
Ram Dış Ticaret A.Ş.	114,229	85,631
İstanbul Fruehauf Taş. Arç. San.Tic. A.Ş.	98,435	-
Setur Servis Turistik A.Ş.	71,393	17,072
Beldeyama Motorlu Vasıtalar	42,836	-
Koç Ata Besi ve Tarım Ürünleri A.Ş.	42,836	10,243
Koç Yapı Malzemeleri Tic. A.Ş.	33,122	-
Tekersan Jant Sanayi A.Ş.	14,279	-
Set Oto Tic. ve Turizm A.Ş.	14,279	-
Arçelik A.Ş.	-	683,797
Koç Tüketici Finansmanı ve Kart	-	136,577
Hizmetleri A.Ş.	-	34,144
Türk Demir Döküm Fab. A.Ş.	-	-
	<u>2,601,761</u>	<u>1,537,671</u>

c) Rent income

	<u>31 December 2001</u>	<u>31 December 2000</u>
Birmot Birleşik Motor Sanayi ve Ticaret A.Ş.	840,000	-
Otokoç Otomotiv Ticaret ve Sanayi A.Ş.	577,360	-
Koçtaş Yapı Marketleri San. ve Tic. A.Ş.	174,580	179,634
Set Air Hava Taşıma ve Hizm. A.Ş.	130,000	-
Tofaş Türk Otomobil Fabrikası A.Ş.	93,500	-
Otokar Sanayi A.Ş.	85,637	-
Tofaş Oto Ticaret A.Ş.	32,500	60,000
İ.D.E.A A.Ş.	42,000	37,500
Koç Bryce Teknoloji E•itim Hizmetleri A.Ş.	29,990	-
Koç Sistem Bilgi ve İletişim Hizmetleri A.Ş.	29,345	-
Di•er	53,198	53,101
	<u>2,088,110</u>	<u>330,235</u>

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****NOTES TO STATEMENT OF INCOME
FOR THE PERIODS 1 JANUARY - 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

6. Interest, rent and similar charges received from and paid to associates, investments and subsidiaries (Continued)

d) The interest and other dividend income includes net foreign exchange losses of 17,256 resulting from the revaluation of the foreign currency bank deposits and the revaluation of the USD borrowing obtained from Koçbank Nederland N.V. (2000: 576,185 resulting from the revaluation of the foreign currency bank deposits at Koçbank A.Ş.). The Company's interest income from time deposits at Koçbank A.Ş. during the year 2000 is approximately 5,044,931 (2000: 4,603,365).

e) The amounts paid to associates, investments and subsidiaries are as follows:

	31 December 2001	31 December 2000
Consulting expenses (Koç Sistem A.Ş., Arçelik A.Ş., Ramerica, Ram Dış Ticaret A.Ş.)	1,452,265	393,193
Banking expenses (Koçbank A.Ş.)	1,202,796	102,700
Insurance expenses (Koç Allianz Sigorta A.Ş.)	529,279	417,609
Travel expenses (Setur A.Ş., Set Air Hava Taşımacılık ve Hizmetleri A.Ş., Tütaş A.Ş., Arçelik A.Ş., Altunyunus A.Ş.)	293,134	324,799
Rent expenses (Koç Finansal Kiralama A.Ş., Koç Ailesi)	29,500	19,627
Hardware maintenance expenses (Koç Sistem A.Ş.)	2,840	54,214
	3,509,814	1,312,142

7. Salaries and other benefits paid to senior management

Members of the Board of Directors, general manager, general coordinator, assistant general manager and other management were paid salaries and benefits amounting to 4,646,563 (2000: 3,160,525).

8. Depreciation calculation methods and the effects of their changes in the depreciation expense of the current year methods

None. (2000: None)

9. Inventory costing system

There are no inventories. (2000: None)

10. Reason for not performing physical stock count

There are no inventories. (2000: None)

11. Product, scrap or service sales that exceed 20% of gross sales

None. (2000: None)

12. Sales incentives and grants

None. (2000: None)

13. Income and gains, expenses and losses relating to prior periods

68,491 resulting from previous year losses of Samoto A.Ş. (2000: None).

14. Earnings per share and their ratios shown separately for ordinary and privileged shares

The earnings per share amount stated below has not yet been approved by the General Assembly.

As of 31 December 2001, earnings per share is TL539 (2000: 678), which is found by dividing the net profit for the period by 101,578,003,000 (2000: 64,102,200,000 shares) shares with a nominal value of TL1,000.

KOÇ HOLDİNG A.Ş.

**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34**

**NOTES TO STATEMENT OF INCOME
FOR THE PERIODS 1 JANUARY - 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

15. Changes in volume of production of goods and services realized by the Company within the period for each main production group separately

None. (2000: None)

16. Changes in volume of sales of goods and services that are realized by the Company within the period for each main sales group separately

None. (2000: None)

17. Other matters related with the income statement

Donations in the amount of 2,917 (2000: 310,300) given to foundations exempted from tax are included in the general and administrative expenses.

KOÇ HOLDİNG A.Ş.

**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34**

**STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

		2001		2000	
A- CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR			5,049,480		36,057,216
B- CASH INFLOWS DURING THE YEAR			183,669,998		81,383,427
1 Cash inflow from sales		16,073,401		11,775,778	
a) Net sales	16,073,401			11,775,778	
2 Cash inflow from other operating activities		64,539,719		52,733,140	
3 Cash inflow from extraordinary income and profit		2,248,723		1,999,246	
4 Increase in short-term payables (Not relating to purchases)		19,246,050		4,076,380	
5 Increase in long-term payables		40,368,267			
6 Decrease in other short-term receivables				5,216,055	
7 Increase in short term payables		946,741			
8 Decrease in marketable securities		40,247,097			
9 Other cash inflows				5,582,828	
C- CASH OUTFLOW DURING THE YEAR			158,027,101		112,391,163
1 Cash outflow from operating activities		22,562,610		14,348,224	
a) General and administrative expenses	29,703,192			17,224,071	
b) Expenses not requiring cash outflow	-7,140,582			-2,875,847	
2 Cash outflow from finance expenses		714,724		-	
3 Cash outflow from purchases of property plant and equipment		118,640,539		42,926,884	
4 Taxes and similar charges paid		3,755,603		4,507,925	
5 Dividends paid		7,686,802		6,285,454	
6 Increase in marketable securities				40,247,097	
7 Increase in other current assets		4,666,823		4,075,579	
D- CASH AND CASH EQUIVALENTS AT END OF YEAR			30,692,377		5,049,480
E- CASH INCREASE / (DECREASE)			25,642,897		-31,007,736

KOÇ HOLDİNG A.Ş.**CONVENIENCE TRANSLATION INTO ENGLISH OF AUDITORS'
REPORT ORIGINALLY ISSUED IN TURKISH - SEE NOTE 34****STATEMENTS OF FUND FLOWS
FOR THE YEARS ENDED 31 DECEMBER 2001 AND 2000**

(Amounts expressed in millions of Turkish lira)

	2001	2000
A - SOURCES	159,353,424	57,715,640
1 Sources from operating profit	56,296,546	52,132,812
a) Operating profit	48,782,633	49,009,818
b) Depreciation	7,140,582	2,875,848
c) Expenses not necessitating fund usage	373,331	274,276
d) Income not generating fund	-	-27,130
2 Sources from extraordinary profit	2,248,723	1,999,246
3 Decrease in current assets	40,247,097	-
4 Increase in short term payables	20,192,791	-
5 Increase in long term payables	40,368,267	-
6 Other sources	-	3,583,582
B - USES OF SOURCES	159,353,424	57,715,640
1 Taxes and similar charges paid	3,755,603	4,507,925
2 Dividends paid	7,686,802	6,285,454
3 Increase in current assets	29,270,480	3,995,377
4 Increase in non-current assets (excluding revaluation)	118,640,539	42,926,884

KOÇ GROUP COMPANIES ON THE WEB

Vehbi Koç

www.vehbikoc.gen.tr

KOÇ GROUP COMPANIES

Agro Market Elektronik Hizm.

www.kotonline.com

Apple Bilkom

www.bilkom.com.tr

Arçelik

www.arcelik.com.tr

Artesis

www.artesis.com

Aygaz

www.aygaz.com.tr

Beko Elektronik

www.bekoelektronik.com.tr

Beko Espana

www.beko.es

Beko France

www.beko.fr

Beko Polska

www.qdnet.pl/beko

Beko Ticaret

www.beko.com.tr

Beko UK

www.beko.co.uk

Beldeyama

www.beldeyama.com.tr

Biletix

www.biletix.com.tr

Birleşik Oksijen

www.bos.com.tr

Birmot

www.birmot.com.tr

Demir Export

www.demirexport-as.com.tr

Divan Oteli

www.divanoteli.com.tr

Divan Üretim

www.divanpastaneleri.com.tr

Döktaş

www.doktas.com.tr

Düzey

www.duzey.com.tr

Ford Otosan

www.ford.com.tr

Garanti Balfour Beatty

www.garantibalfourbeatty.com.tr

GVZ

www.gvz.com.tr

İ.d.e.a

www.idea.com.tr

İnternet Rezervasyon Sistemleri

www.bookinturkey.com

İstanbul Fruehauf

www.ist-fruehauf.com.tr

İzocam

www.izocam.com.tr

Kangurum/Sanal Merkez

www.kangurum.com.tr

Kav Danışmanlık

www.kav.com.tr

Koç Allianz Hayat

www.kocallianzhayat.com.tr

Koç Allianz Sigorta

www.kocallianz.com.tr

Koç Ata

www.kocata.com.tr

Koç Bryce

www.kocbryce.com.tr

Koç Fiat Kredi

www.kocfiatkredi.com.tr

Koç Holding

www.koc.com.tr

Koç.net

www.koc.net

Koç Yatırım

www.kocyatirim.com.tr

Koç Yapı

www.kocyapi.com.tr

Koçbank

www.kocbank.com.tr

Koçbank Azerbaycan

www.kocbank.com.az

Koçbank Nederland

www.kocbank.nl

Koçfinans

www.kocfinans.com.tr

Koçfinans/Akıllıkart

www.akillikart.com.tr

KoçLease

www.koclease.com.tr

KoçSistem

www.kocsistem.com.tr

Koçtaş

www.koctas.com.tr

Mako

www.mako.com.tr

Maret

www.maret.com.tr

Marmaris Altinyunus (Mares)

www.mares.com.tr

Matay

www.matay.com.tr

Migros

www.migros.com.tr

Mogaz

www.mogaz.com.tr

New Holland Trakmak

www.trakmak.com.tr

Otokar

www.otokar.com.tr

Otokoç

www.otokoc.com.tr

Otomotiv Lastikleri

www.fulda.com.tr

Otoyol Pazarlama

www.opaz.com.tr

Otoyol Sanayi

www.otoyol.com.tr

Pastavilla

www.pastavilla.com.tr

Promena

www.promena.net

Ram

www.ram.com.tr

Ram Pasific

www.rampacific.com

Ramstore/Ramenka

www.ramstore.ru

RMK Marine

www.rmkmarine.com.tr

Sachs Beldesan

www.sachsbeldesan.com

Sek Süt

www.seksut.com.tr

Setair

www.setair.com.tr

Set Oto Avis

www.avis.com.tr

Setur

www.setur.com.tr

Setur Marinaları

www.seturmarinas.com

Sherbrook

www.sherbrook.co.uk

Tat

www.tat.com.tr

Tekersan

www.tekersan.com.tr

Tek-İz

www.tekiz.com.tr

TNT Lojistik

www.tntturkey.com

Tofaş

www.tofas.com.tr

Türk Demir Döküm

www.demirdokum.com.tr

Türk Traktör

www.turktraktor.com.tr

Tütaş (Talya Oteli)

www.talya.com.tr

Ultra TV

www.ultratv.com.tr

Zinerji

www.zinerji.com.tr

THE VEHBİ KOÇ FOUNDATION

AKMED Suna-İnan Kırış

www.akmed.org.tr

Research Institute on Mediterranean

Civilizations

American Hospital

www.amerikanhastanesi.com.tr

Koç School

www.kocschool.k12.tr

Koç University

www.ku.edu.tr

Rahmi M. Koç Museum

www.rmkm-museum.org.tr

Sadberk Hanım Museum

www.sadberkhanimmuzesi.org.tr

Suna-İnan Kırış Kaleiçi Museum

www.kaleicimuzesi.com

Vehbi Koç Foundation

www.vkv.org.tr

INTERNATIONAL NETWORK

COUNTRY	COMPANY NAME	ADDRESS	TELEPHONE	TELEFAX
Algeria	Ram Representative Office	47 Chemin Ibn Badis (Ex-Poirson) El Bair- Algeria	00213-21-921762 00213-21-791933 00213-21-791934	00213-21-791935
Azerbaijan	Koçbank Azerbaijan	28 May Küşesi, 5 Baku-Azerbaijan	0099-412-977795	0099-412-970276
	Ram Representative Office	Mahdud Masulliyatlı Şirketi Hüseyn Cavid Prospekti 528 Baku-Azerbaijan	0099-412-975455	0099-412-975553
	Ramstore Azerbaijan	Babek Prospekti 1129.cu Mehelle Baku-Azerbaijan	0099-412-903200 0099-412-903202 0099-412-903204 0099-412-903206	0099-412-903201 0099-412-903205
	Ramstore Nesimi	Nesimi Rayonu Fuzuli Külçesi, 63 Baku-Azerbaijan	0099-412-958391	
	Ramstore Xatai	Xetai Rayonu Babek Prospekti 1129.cu Mehelle Baku-Azerbaijan	0099-412-903200 0099-412-903202 0099-412-903204 0099-412-903206	
	Ramstore Yasamal	Yasamal Rayonu 528 Mahelle H. Cavid Pr. Baku-Azerbaijan	0099-412-975256	
	Set Auto AVIS	Huseyn Javid Prospekti 528, EV A 370073 Baku-Azerbaijan	0099-412-975455	099-412-975553
Bahrain	Koçbank Bahrain Branch	Al Jasrah Tower 10 th Floor, Building No: 95 Road 1702 Area 317 Diplomatic Area Kingdom of Bahrain	00973-541055	00973-541056
Bulgaria	Ram Representative Office	Bul.Vitosha No. 48 ET.3 AP.8 Sofia-Bulgaria	00-359-2-9871229	00-359-2-9818769
	Ramstore Bulgaria AD	196 Al.Stamboliysky Boulevard 1309 Sofia-Bulgaria	00-359-2-9200550 00-359-2-9202017	00-359-2-9293671
	Ramstore Zapeden	196 Al.Stamboliysky Boulevard 1309 Sofia-Bulgaria	00-359-2-9200550	00-359-2-9293671
China	Ram Pacific Shanghai Representative Office	Suite 29B Shanghai Shi Ye Building 18 Cao Xi Bei Road Shanghai-Republic of China	008621-58588607	008621-58828612
England	Beko UK	Beko House, Caxton Way Watford Hertfordshire WD 1 8 UF, England	0044-1923-818121	0044-1923-819652

COUNTRY	COMPANY NAME	ADDRESS	TELEPHONE	TELEFAX
England	Beko UK (Heatline)	Units 16-19 The Manton Centre Manton Lane Bedford MK 14 7 PX England	0044-1234-363363	0044-1234-355800
	Sherbrook	Sherbrook House Swen Mews Lichfield Staffordshire WS13, 6 TU England	0044-1543-257131	0044-1543-263816
France	Beko France	63 BD Haussmann 75008 Paris France	0033-1-44510880	0033-1-42662307
Germany	Beko Deutschland	Hermann StraBe 54-56 Nue Isenburg 63263 Germany	0049-6102-718-0	0049-6102-800930
	Beko Deutschland Dresden Dresden Branch Office	Höckendorfer StraBe 1 Ottendorf-Okrilla 04158 Germany	0049-35-20541410	0049-35-20541424
	Beko Uk Okrilla Branch Office	Höckendorfer StraBe 1 Ottendorf-Okrilla 04158 Germany	0049-35-20541410	0049-35-20541424
	Koçbank Nederland N.V. Frankfurt Branch	Bockenheimer Landstrasse 59 D-60325 Frankfurt am Main Germany	0049-69-9778670	0049-69-97786731 0049-69-97786732
Hong Kong	Ram Pacific	Suite 3603, The Center 99 Queens Road Central Hong Kong	00852-29561331	00852-29561330
Iraq	Ram Representative Office	Q/611 St.59 H.No.43 Mansur-Baghdad Iraq		
Italy	Kofisa Italy	Viale Certosa 148 Milano 20156 Italy	0039-02-3343011	0039-02-33496180
Kazakhstan	Rambutya Ramstore	Furmanova Street 226 Almaty-Kazakhstan	007-3272-587580 007-3272-587581	007-3272-587570
	Ramstore Shopping Samal	Furmanova Street 226 Almaty-Kazakhstan	007-3272-857580 007-3272-587581	007-3272-587570
	Ramstore Tastak	Tole bi Str. 229 Tastak District Almaty-Kazakhstan	007-3272-414008	007-3272-414015
	Ramstore Astana	Republic Av. Ro. 1 Sary Arka Dist. 473000 Astana Kazakhstan	007-3172-223900 007-3172-223901	007-3172-223900
	Set Auto AVIS	Zheltoksan Str. 181 480099 Alma Ata-Kazakhstan	007-3272-634303	007-3272-503555
Poland	Beko Polska S.A.	U1 Raszyrska 1305-500 Piaseczno-Poland	0048-22-7150701	0048-22-7150700

COUNTRY	COMPANY NAME	ADDRESS	TELEPHONE	TELEFAX
Republic of Ireland	Beko UK Dublin Branch Office	Bracetown Business Park Clonee Country Meath Dublin-Republic of Ireland	00353-18014020	00353-18014015
	Koratrade MTMC Ltd	"4 Harbourmaster" 1 Harbourmaster Street, IFSC Duplin 1, Republic of Ireland	00353-18291822	00353-18291833
Russia Federation	Beko-Arçelik Representative Office	Mosalarko Plaza Marksistkaya Str. No. 16 5 th Floor Moscow-Russia Federation	0070-95-2326730	007-95-2326731 007-95-2326732
	Ram Representative Office	Mosalarko Plaza Marksistkaya Str. No. 16 5 th Floor Moscow-Russia Federation	0070-95-2313010	0070-95-2326731 0070-95-2326732
	Ramenka Ramstore	121351 Yartsevskaya 19 Moscow-Russia Federation	0070-95-9370440 0070-95-9371972	0070-95-9370441 0070-95-9371971
	Ramstore Shopping Kashirskaya	Kashirskaya Shosse 61 b Moscow-Russia Federation	0070-95-9377440	0070-95-9377410
	Ramstore Shopping Kuntsevo	Yartsevskaya Ulitsa 19, Metro Malodyojnaya Kuntsevo-Russia Federation	0070-95-9370440	0070-95-9370441
	Ramstore Shopping Marinoy Rosha	Sheremetyevskaya Ulitsa 60 A Marinoy Rosha Russia Federation	0070-95-9372600	0070-95-9372606
	Ramstore Chertanova	Krasnaya Mayaka Ulitsa 9, Metro Prajskaya Moscow-Russia Federation	0070-95-3140431	0070-95-9379556
	Ramstore Marino	Novocherkasskiy Bulvar No. 41/4 Moscow-Russia Federation	0070-95-3482001	0070-95-3569673
	Ramstore Mitino	Mitinskaya Ulitsa No. 53 Moscow-Russia Federation	0070-95-9338007	0070-95-9338043
	Ramstore Moskovsky	Komsomolskaya Ploshad No. 6 Moscow-Russia Federation	0070-95-2070241 0070-95-2075685	0070-95-2075605
	Ramstore Sokol	Tchsovaya, 13 Moscow-Russia Federation	0070-95-9370510	0070-95-9370511
	Ramstore Sokolniki	Krasnabagatirskaya Ulitsa Str.23 Metro Preabrajenskaya Ploshad Russia Federation	0070-95-9638877 0070-95-9633904	0070-95-1689092
	Ramstore Rechnoi Vagsal	Leningradsy Shosse N.12/1 Mescow-Russia Federation		

COUNTRY	COMPANY NAME	ADDRESS	TELEPHONE	TELEFAX
Russia Federation	Ramstore Babushinskoye	Menjinskaya No. 27 Moscow-Russia Federation		
	Ramstore Krasnapresnaya	Krasnapresnaya No. 2 Moscow-Russia Federation		
Spain	Beko Espana	C/Bergara No 3 3B Barcelona 08002 Spain	0034-93-3184647	0034-93-3184542
Switzerland	Kofisa Trading	7 Rue du Machre 5 fl CH-1204 Geneva-Switzerland	0041-22-3185959	0041-22-3185958
The Netherlands	Koçbank Nederland N.V.	Rembrandt Tower Amstelplein 1, 1096 HA Amsterdam-The Netherlands	0031-20-4624444	0031-20-6631331
Tunisia	Tunusdan S.A.	Rue des Usines Zone Industrielle Sidi Rezig 2033 Megrine, Tunisia	00216-71-427527	00216-71-427007
Turkish Republic Northern Cyprus	Koç Allianz Sigorta Branch Office	M.Akif Cad. Saadet Apt. No. 1 Dereboyu Köşklüçiftlik	00392-2273150 00392-2277041	00392-2282949
		Lefkosa-Turkish Republic of Northern Cyprus	00392-2271292	
Ukraine	Aygaz Ukraine	33, Lenina Street Illichivsk Odeska Oblast, Ukraine	00380-482695116 00380-482695715	
United States	Ramerica	One Rockefeller Plaza Suite 2404 New York, N.Y. 10020 USA	001-212-2186990	001-212-2186999
Uzbekistan	Ram Representative Office	25 Miroqilo Str. 703060 Tashkent-Uzbekistan	0099-871-1523982 0099-871-1523984	0099-871-1521347
	SamKocAuto JSC Automotive Factory	Ruzybaev Str. 5 703060 Samarkand-Uzbekistan	00998-662-220170 00998-662-220171 00998-662-220172 00998-662-220174	00998-662-336906

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Mr. Tahsin Saltık

Corporate Secretary

e-mail: tsaltik@koc.com.tr

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Ko Holding A.ř.

Nakkařtepe Azizbey Sokak, No.1

Kuzguncuk 81207 İstanbul/Turkey

Web-site: <http://www.koc.com.tr>

KOÇ HOLDİNG A.Ş. AND ITS SUBSIDIARIES FINANCIAL HIGHLIGHTS ⁽³⁾

	2001 ⁽¹⁾⁽⁴⁾ (€ in millions)	2001 ⁽⁴⁾ (TL in billions)	2000 (TL in billions)	% Change (TL)
Combined Revenues	7,563	9,591,300	11,620,552	(17.5%)
Combined Net Income	(319)	(404,255)	459,887	(187.9%)
Combined Net Assets	4,104	5,204,412	5,952,908	(12.6%)
Combined Total Assets	7,337	9,304,315	16,400,812	(43.3%)
Consolidated Revenues	5,564	7,055,635	8,336,584	(15.4%)
Non-banking and financial services	5,215	6,813,581	7,165,775	(7.7%)
Banking and financial services	349	442,054	1,170,809	(62.2%)
Consolidated operating profit	(34)	(43,599)	686,472	(106.4%)
Non-banking and financial services	65	82,064	409,646	(80.0%)
Banking and financial services	(99)	(125,663)	276,823	(145.4%)
(Loss)/income before loss on net monetary position, taxation on income and minority interest	(258)	(327,779)	779,291	(142.1%)
(Loss)/income before minority interest	(395)	(501,526)	287,247	(274.6%)
Net Income excluding minority interest	(243)	(307,531)	127,703	(340.8%)
Short-term financial debt	872	1,106,320	1,958,458	(43.5%)
Fixed Assets-Gross	4,020	5,098,252	5,566,932	(8.4%)
Total Assets	5,324	6,751,352	12,894,107	(47.6%)
Total Shareholders' equity excluding minority interest	1,445	1,832,598	1,933,302	(5.2%)
Capital expenditure	526	667,189	804,360	(17.1%)
Number of employees⁽²⁾		39,866	45,626	(13.0%)

(1) Convenience translation with the year end TL 1,268,115 = €1,00 exchange rate.

(2) For the companies included in the consolidation

(3) Amounts expressed in billions of Turkish Lira (TL) in terms of the purchasing power of the TL at 31 December 2001

(4) Koçbank A.Ş. and its subsidiaries are not included in these figures due to regulatory restrictions imposed by the Banking Regulations and Supervision Agency (BRSA)